


IBK



H.H. Sheikh Nawaf

Al-Ahmad Al-Jaber Al-Sabah

Amir of the State of Kuwait


IBK



H.H. Sheikh Meshal

Al-Ahmad Al-Jaber Al-Sabah

Crown Prince of the State of Kuwait


IBK



H.H. Ahmad Nawaf

Al-Ahmad Al-Jaber Al-Sabah

Prime Minister of the State of Kuwait


IBK



Contents

Contents	Page
Financial Highlights	11
The Chairman's message	17
Board of Directors	20
Protection of Shareholders' and Stakeholders' Rights Policy	27
Corporate Governance Report	35
Executive Report	41
Risk Management Disclosures	55
Consolidated Financial Statements And Independent Auditor's Report For The Year Ended 31 December 2022	91
IBK Telephone Directory	151

About the bank



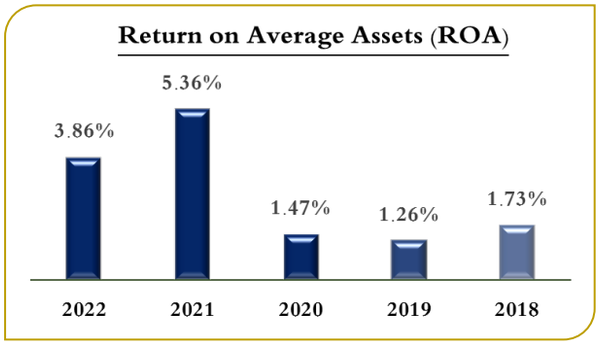
Objectives of the Bank

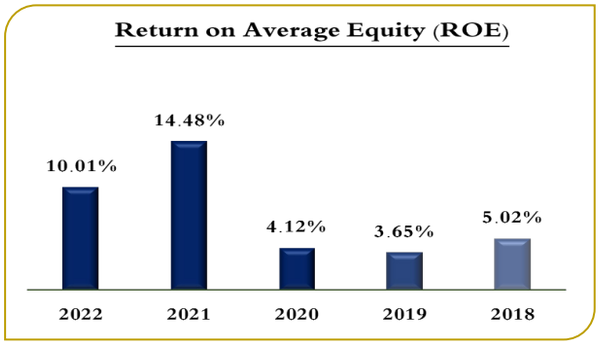
The Industrial Bank of Kuwait ("IBK", or the "Bank") was established in late 1973 by the initiative of the Government of Kuwait, as a joint venture between the Ministry of Finance, the Central Bank of Kuwait, commercial banks, insurance companies, and some large industrial establishments.

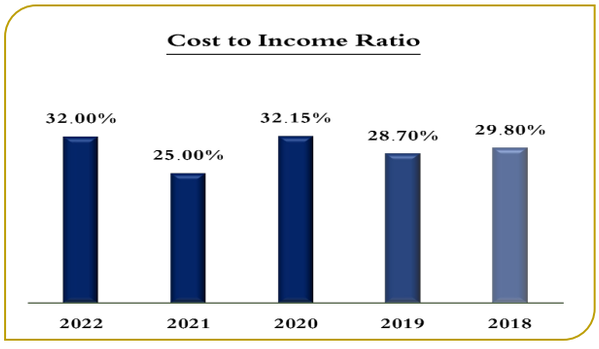
The primary goal of IBK is to promote industrial development in Kuwait by pursuing the following objectives:

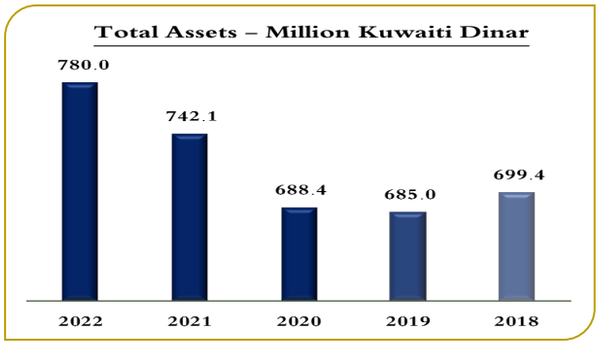
- To participate in developing a long-term strategy for industrial growth in Kuwait and identifying those sectors and activities which would best suit local conditions and constraints.
- To initiate industrial projects and investments in promising sectors.
- To provide financing whether in the form of equity, medium or long-term credits for new projects, or the expansion of existing ones.
- To finance projects outside Kuwait with an emphasis on the Gulf region, especially where Kuwaiti interests are involved.
- To bring new technologies to Kuwait and identify foreign partners with the necessary expertise.
- To support the development of domestic money and capital markets in co-operation with other major financial institutions. Such a development will facilitate the channeling of private savings into industrial areas, whether in or outside Kuwait.

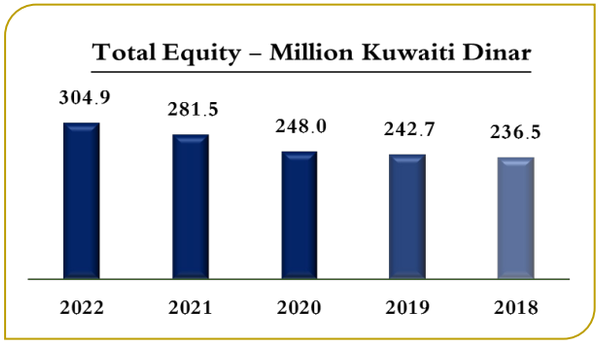
Financial Highlights

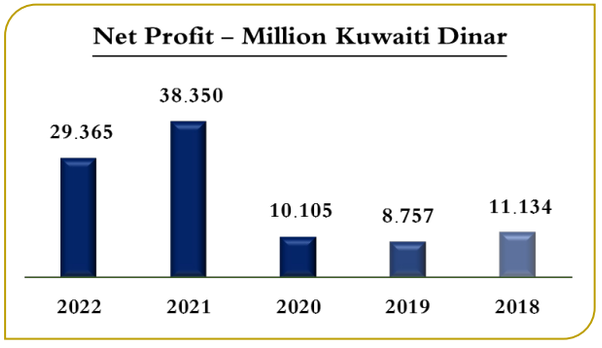












Kuwait Economic developments in 2022

The Kuwaiti economy ended the year 2022 with a stable outlook, as the key credit strengths are its exceptionally strong fiscal and external balance sheets, while key weaknesses include frequent institutional gridlock and political constraints on reforms that would address fiscal and structural challenges stemming from heavy oil dependence.

Rating Agency	Credit Rating Long Term	Credit Rating Short Term	Outlook
Fitch Ratings	AA-	F1+	stable
STANDARD & POOR'S	A+	A-1	stable

In January 2023, Fitch Ratings has affirmed Kuwait's Long-Term Foreign-Currency Issuer Default Rating (IDR) at 'AA-' with a Stable Outlook. supported by the exceptionally strong fiscal and external balance and likely to continue among the strongest. The reduction reflects the difficulty of reaching fundamental decisions regarding the public sector and reducing dependence on oil. Which was previously downgraded by Standard & Poor's in July 2022 to (A+) due to the lack of a comprehensive financing strategy.

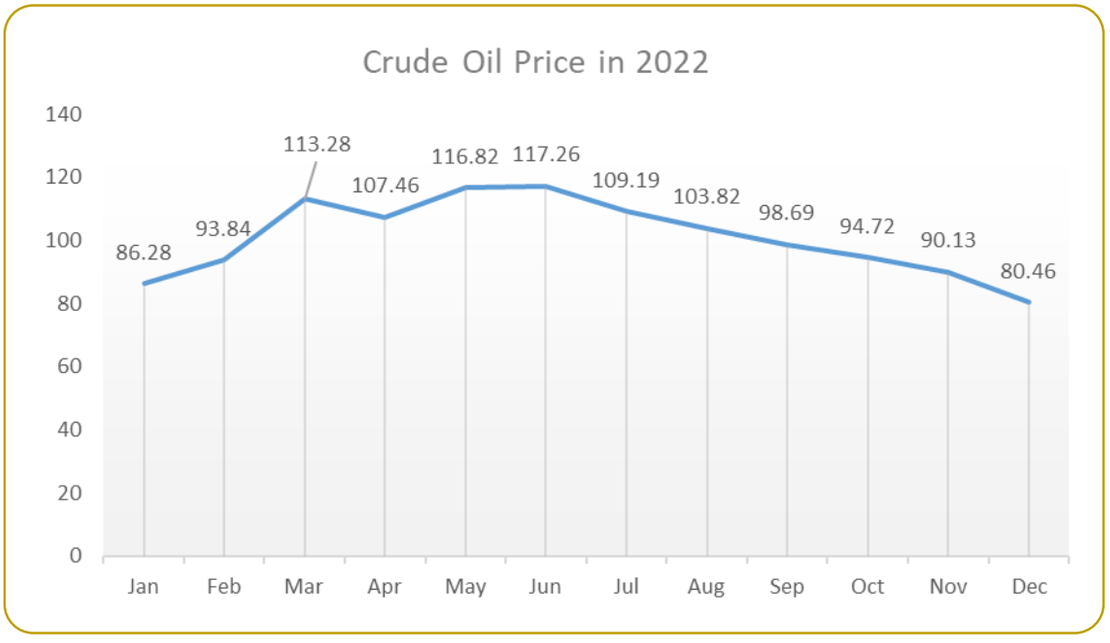
The following points illustrate the most prominent expectations in Fitch report:

- Government debt will double to 20% of GDP in FY24 and rise further in subsequent years with the passage of a debt law, limited fiscal reform and lower oil prices.
- Kuwait's sovereign net foreign asset position will average 470% of GDP in 2022-2024.
- The stability of the level of oil production at about 2.7 million barrels will lead to a narrowing of the budget surplus to 5.9% of GDP in the fiscal year 2024-23 and a return to the deficit in the fiscal year (24/2025), as the agency expects the state's general budget to be recorded (after adding Government investment income) showed a surplus of 12.2% of GDP in the fiscal year 2023-22, driven by the increase in oil production and prices to about $95/barrel.
- The report also indicated that oil revenues are expected to decline in the fiscal years 2024-23 and 2025/24, assuming the stability of average oil prices to reach 79 and 61 dollars / barrel.
- The results of the general budget of the State of Kuwait are highly sensitive to changes in the prices and levels of oil production, as a change in the average price of a barrel of oil by about $10 / barrel "up or down" would change the balance of the general budget of GDP by about 4% "up or down".

As for the position of the export price of Kuwaiti oil, the actual data shown in Chart No. (1) indicates an increase in oil prices during the first half of 2022, except for the month of April, when the price of oil decreased by 5% to reach $107.46/barrel. This is due to the closures in China due to the high number of cases of Covid-19 virus. It rose again to its highest levels during the year in June, to record the oil price at $117.26/barrel due to the consequences of the war in Ukraine, which increased pressure on global oil markets that are struggling to increase production quickly enough to deal with the economies of countries recovering from the pandemic.

On the other hand, the (OPEC +) coalition announced in December 2022 that the production policy will remain unchanged, as it was approved in October, to reduce production by two million barrels per day, about 2% of global demand, starting from November 2022, until the end of 2023. Thus, since October, oil prices began to decline as shown in Chart No. (1), due to the slowdown in growth in China and the world, and the increase in interest rates.

Chart No. (1)



As for Kuwait Stock Exchange, the total liquidity as of December of 2022, reached about 4 billion Kuwaiti dinars, and closed the year with a decline in its collective index, as the price of the all share market index closed at 7,292 points, a decrease of 1.6% compared to the end of June of 2022, and the main index decreased by 1.5%, bringing the index to 5,596 points during the same period. As for the main index (50), which includes 50 companies with the highest liquidity value in the main market, it recorded a decrease of 3% at the end of 2022 compared to June of 2022, bringing the index to 5,719 points.

The state budget for the fiscal year 2022/2023, was approved after amendment and processing by the Ministry of Finance in November 2022, at an estimated total revenue of Kuwaiti Dinar 23.3 billion, and oil revenues were estimated at about Kuwaiti Dinar 21.3 billion, at a price of $80/barrel and production of 2.730 million barrels per day, with estimated expenditures amounting to Kuwaiti Dinar 23.5 billion, and accordingly the budget deficit was estimated at about (Kuwaiti Dinar 124 billion). While all reports of the Budget Committee were withdrawn and postponed for amendment and review by the government and parliament, as observations were raised (with the change in oil prices).

Estimated & Actual Budget (April 2022 – March 2023)

Budget	Estimated (2320March)	Actual (March 2022)	Rate of change %
Oil revenues	21,321*	9,127	%133.6
Non-oil revenues	2,078	1,802	%15.3
Total revenues	23,399	10,929	%114.1
Expenditures	23,523	23,048	%2.1
Surplus (Deficit)	(124)	(12,119)	(%99.0)

* Oil revenues were estimated at oil price of 80 $/barrel and production volume of 2.73 mm barrels/day.

On the other hand, the executive position of the projects of the current annual plan (2022/23) indicates that the number of projects in completion phase has reached 8 projects out of 128 projects of the plan. The projects in the preparatory phase amounted to 55 projects, while the projects in the implementation phase amounted to 58 projects, and thus, 7 projects have not been started.

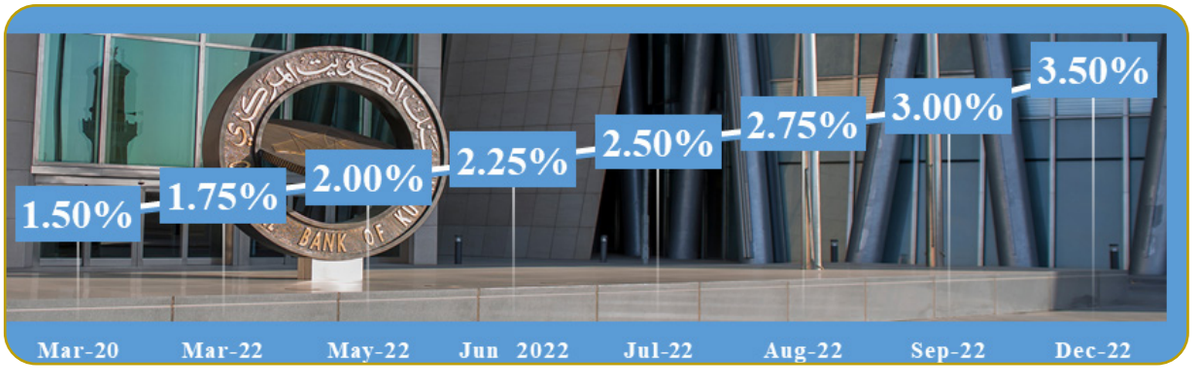
Central Bank of Kuwait data on credit facilities provided by local banks for the total economic sectors in the country, which is expressed in the balance of the cash part used in credit facilities, reached about Kuwaiti Dinar 52,447 million by the end of December 2022, as shown in the following table:

Sector	Credit Facilities Amount (Kuwaiti Dinar Mn)	Rate of change %
Manufacturing	2,817	% 5
Construction	2,288	% 4
Trading	3,359	% 6
Real Estate	9,623	% 18
Others	34,361	% 66
Total	52,447	% 100

In light of the current economic conditions, the Central Bank of Kuwait raised the discount rate more than once during the year 2022, to keep pace with the local and global economic conditions and geopolitical developments and their impact on the rises in global inflation rates. In addition, the CBK Governor pointed out that this decision came in line with the CBK's balanced and progressive approach that aims to reinforce an environment inducing to economic growth, and maintain the financial and monetary stability and attractiveness of the national currency as a store of the local savings.

The decisions of the Central Bank of Kuwait regarding moving the discount rate are all based on thorough reviews of the recent local and international data including the economic performance ratios, e.g. growth and inflation levels, domestic liquidity indicators, deposit movements, and Kuwaiti Dinar and foreign currency interest rates and their expected trends in response to any adverse conditions that may affect the national economy. Chart No. (2) shows the movement of the discount rate. It is worth noting that the Central Bank of Kuwait in March of 2020 (during the Covid-19 pandemic) reduced the discount rate twice, to reach 1.5%, which is the lowest historically. At the end of December, the Central Bank of Kuwait raised the discount rate by half a percentage point to 3.5%.

Chart No. (2)



Kuwait Manufacturing Sector

As for the manufacturing sector, which is considered one of the main pillars for diversifying the production base in the State of Kuwait, the Public Authority for Industry participated in one project in the annual plan (2021/2022) for the establishment, completion, operation and maintenance of the infrastructure for the Shadadiyah Industrial Area. Al-Shadadiya Industrial Area, with an area of 5.89 million square meters, is considered the largest industrial area in Kuwait, as it is scheduled to contain 1,036 industrial plots. On April 2, 2022, the deadline set by the Public Authority for Industry for the distribution of the first batch of industrial plots in Al-Shadadiya area, with 154 plots, expired. It was announced on the 3rd of March, where the Public Authority for Industry set the date of January 1, 2024 as the date for the completion of the construction, completion, operation and maintenance of the infrastructure project for the Shadadiyah Industrial Area, which is the sixth adjustment to the project delivery date, which was scheduled to be completed 5 years ago.

IBK Contribution in developing the Industrial Sector

By the end of 2022, IBK has completed forty-nine years in lending activities, the Bank has provided industrial loans for (1,179) industrial projects. These loans were utilized and made available to (527) industrial establishments in different kinds of manufacturing sectors in the state of Kuwait.

The accumulative industrial loans commitments of the Industrial Bank of Kuwait, since the start of its operations in 1974 until the end of 2022, reached about Kuwaiti Dinar 1.41 billion, provided to 1,179 projects, whose total cost stood at about Kuwaiti Dinar 2.41 billion. The rate of IBK's financing to the cost of the project was an average 59% of the project cost, and the average cost of the project reached Kuwaiti Dinar 2 million, while the average loan size is Kuwaiti Dinar 1.19 million.

Economic Activity (ISIC 4)	No. of Project	Project Cost (Kuwaiti Dinar 000)	IBK Loans (Kuwaiti Dinar 000)	% activity / IBK loans
Other non-metallic mineral products (Building Materials)	246	589,203	304,791	21.6
Extraction of crude petroleum and natural gas	24	242,703	163,328	11.6
Food products	90	228,006	140,307	9.9
Fabricated metal products, except machinery and equipment	131	199,722	120,795	8.5
Basic metals	42	161,886	93,842	6.6
Chemicals and chemical products	70	137,239	78,905	5.6
Paper and paper products	95	116,653	75,216	5.3
Other sectors	481	737,791	436,608	30.9
Total	1,179	2,413,202	1,413,792	100.0

The previous table shows the pattern of industrial financing distribution on various industrial activities during the period 1974-2022, where the manufacture of other non-metallic mineral products (building materials) ranked at the top, with about 21.6% of the total industrial loans. Extraction of crude petroleum and natural gas ranked second for about 11.6%. The third rank was occupied by Manufacture of food products whose relative share reached about 9.9% of industrial loans during the period. The aforementioned three industries together accounted for 43.1%.

The following table shows the Industrial loans activities during the last five years:

Industrial Loan commitments	2018	2019	2020	2021	2022
Number of Industrial Loans	17	29	17	20	24
Projects Cost (Kuwaiti Dinar 000)	20,075	52,829	33,775	67,494	51,376
Total Loans commitments (Kuwaiti Dinar 000)	12,283	41,774	25,901	61,381	39,138
IBK contribution %	61	79	77	91	76

Chairman's Speech



Dear shareholders Peace and blessings be upon you

On behalf of the Board of Directors, it is my pleasure and honor to present the Industrial Bank of Kuwait's annual report for the year 2022 illustrating the significant achievements of the bank in the year 2022.

The year 2022 witnessed geopolitical and economic events and disorders that impacted the world economy and added new burdens in view of their repercussions. As the world was coming out of the Corona epidemic and its adverse effects on production and supply chains, the Russian Ukrainian war erupted with geopolitical consequences. High oil prices aided the oil sector and thus the gross domestic product and macroeconomic stability of the state of Kuwait. However, there is a possibility that this may increase the risk of overdependence on oil revenues that are subject to global demand fluctuations. This necessitates adoption of policies for economic diversification by the State of Kuwait through increase of infrastructure projects, privatization of state assets, expansion of the private sector's role through public private partnerships and creation of a strong support mechanism for small and medium enterprises.

With regard to interest rates, the US Federal Reserve Bank and other central banks have swiftly raised interest rates to the highest level in 16 years as it battles to stabilize prices emanating from geopolitical developments in an attempt to cool down inflation of commodity prices and services due to disruptions in the wake of the Russian Ukrainian war.

Despite of all such major shocks and effects on the global and domestic economies over this year, the Industrial Bank of Kuwait managed to realize shareholder profit of KD 29.4 million by the end of 2022. The Bank continues to have an outstanding credit rating at the international level. The Fitch Rating Agency has rated the Bank at level A on long term basis. In the short term, the bank received an F1 rating with a stable future outlook.

Despite of the economic recession in the industrial sector, the Industrial Bank of Kuwait managed to support and develop this critical sector through provision of easy industrial finance to viable long-term projects. It financed 24 industrial projects in 2022 with a total cost of over KD 51 million compared to 20 industrial projects amounting KD 67.5 million in the previous year.

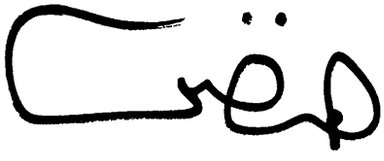
In addition to its core activity of conventional lending for project finance and commercial entities, the bank continued to support economic development through three specialized financial portfolios on behalf of the government through provision of credit facilities and financial services to business activities by Kuwaiti citizens in the fields of small enterprises, agriculture and animal husbandry and industrial finance in accordance with the rules of Islamic Sharia. In 2022, the industrial small enterprise portfolio provided finance to 114 projects in different activities at a total cost of KD 10.25 million. The agriculture finance portfolio of the bank provided funds to 24 projects at a total cost of KD 6.6 million compared to KD 5.91 million in 2021 for 32 projects in agriculture, animal husbandry and fisheries. The Sharia-complaint industrial finance portfolio provided finance to two projects at a cost of KD 0.73 million.

I would also like to offer my sincere thanks to His Excellency the Minister of Finance and His Excellency the Governor of the Central Bank of Kuwait for their sponsorship of industrial development and guidance, which has always stood the Bank in good stead. I extend my sincere thanks to my colleagues the IBK Board of Directors for their continuous interest, effort, support and invaluable contribution to the achievement of the Bank's objectives. Finally, I would like to thank all the employees of our Bank for their dedication, sincerity and concerted effort in the performance of their responsibilities that enabled another year of good and stable achievement for the Bank.

In conclusion, the Industrial Bank of Kuwait extends its sincere thanks and gratitude to His Highness the Emir of Kuwait and His Highness the crown prince and His Highness the prime minister for their honorable sponsorship and support which have had a great impact on the bank's performance and success.

God the sponsor of success

Musaab Salim Al Nisf





Capitalization & Ownership

	Shareholder Name	No. of Shares	Percentage of Ownership (%)
1	Ministry of Finance	627,803	31.390
2	Wafra International Investment Company (Customers) K.S.C.C	464,199	23.210
3	The Central Bank of Kuwait	251,121	12.556
4	The Securities Group Company K.S.C.	91,686	4.584
5	Commercial Bank of Kuwait K.P.S.C.	89,686	4.484
6	Al-Ahli Bank of Kuwait K.P.S.C.	89,686	4.484
7	Kuwait Flour Mills & Bakeries Co. S.A.K.C.	89,686	4.484
8	Privatization Holding Company K.S.C.	89,686	4.484
9	Kuwait Investment Company (Kuwait Investment Authority) S.A.K	71,749	3.587
10	Arab Investment Co. K.S.C.C.	53,812	2.691
11	Financial Assets Company Bahrain W.L.L.	49,496	2.475
12	Burgan Bank K.P.S.C.	17,937	0.897
13	Bobyan Petrochemical Company K.S.C.	13,453	0.673
Total		2,000,000	100.000

Board of Director Members



Mr. / Musab S. Al Nisf
Chairman (As of 10/5/2018)
A representative of Kuwait Investment Authority
* Head of General Managers:
- Al-Nisf Electrical Co.
- Salem M. Al-Nisf General Building Contracting Co.
The Founder & Partner of KMEDIX General Trading Co.
Board Member- Kuwait Chamber of Commerce & Industry
Member of Board of Trustees -Kuwait Institute for Scientific Research – Board of Trustees.
Member -Public Authority for Industry
Board Member - Kuwait Banking Association
Has a Bachelor degree in accounting – Kuwait University (1998)



Mr. / Salah M. Al-Kulaib
Vice chairman (As of 2/5/1995)
A representative of the Kuwait Flour Mills & Bakeries Co.
Chairman – Kuwait Supply Co.
Vice Chairman – Bahrain Flour Mills Co.
Has a Bachelor of Mechanical Engineering – University of New Haven-USA (1977)



Mrs. / Aljazi Ali Al-Mishwat
Board Member (started 12/9/2018)
A representative of the Kuwait Investment Authority
Chief specialist Custodian - Investment Accounts Dept. Kuwait Investment Authority (2020)
Has a Bachelor degree in Mechanical Engineering –Milwaukee School of Engineering USA (2001)



Shaikha / AlAnoud Athbi Al-Sabah
Board Member (started 12/11/2019)
A representative of Commercial Bank of Kuwait
VP Operations – Securities Group Co. (2018)
AL Jazeera Real Estate Development Co.
Gulf Friend Real Estate Co.
Mowasat Health Care Co.
Has Bachelor of Business Administration – Finance- American University of Kuwait (2011)



Mrs. / Basma A. Al-Farsi
Board Member (started 10/5/2018)
A representative of the Kuwait Investment Authority
Investment Manager – Equities Dept. Kuwait Investment Authority (2018)
Has a Bachelor of Information Management Systems – Kuwait University (2003)
Harvard Business School - Has GMP- (2020)



Mr. / Khaled H. Al Shatti
Board Member (started 6/6/2017)
A representative of Al Ahli Bank
CEO - Fair Real Estate Co. (2011)
Board Member -Ahli Capital Investment Co.
Has a Bachelor of Business Administration – Finance – California State University – USA (1988)



Mr. / Khalid A. Al-Fadhalah
Board Member (From 23/12/2014 to 24/09/2022)
A representative of The Public Institution for Social Security.
Deputy Director General for Social Security Affairs –
The Public Institution for Social Security (until September 2022)
Has a Bachelor of Business Administration- Marketing – Kuwait University (1982)



Mrs. / Rasha F. Al- Amir
Board Member (started 10/5/2018)
A representative of the Kuwait Investment Authority
Unit Manager Portfolio Monitoring & Reporting division (2017)
Acting Division Manager – Corporate Development & Reporting Division (2021)
General Reserves – Kuwait Investment Authority
Has a Bachelor of Computer Science – Kuwait University (1994)



Mr / Abbas A. Radhi

Independent Board Member (started 27/07/2021)
Responsible Partner - Awael Public Accountants and Management Consultants – Bahrain (2016)
Certified Public Accountant (CPA) - USA (1996)
Certified Arab Accountant (CAA), International Arab Society of Certified Accountants. (1988)
Master of Business Administration (MBA) majoring in commercial law and finance - Maine State University - USA. (1984)
Master of Science in Business (MSB) majoring in accounting - Husson University, Maine - USA. (1983)
Bachelor of Accounting (BSc) - Kuwait University (1977)
"Insiad" certification for qualification as a board member.
Independent Board Member at:
- Solidarity Group Holding - Bahrain
- BMMI Co. - Bahrain - Shaheen Holding Gr



Mr. / Meshal A. Al Othman

Board Member (From 6/6/2017 to 24/09/2022)
A representative of The Public Institution for Social Security.
Director Manager – The public Institution for Social Security (until September 2022)
Has a Bachelor degree in Science- Major in Marketing - Minor International Studies - University of South Florida – USA (1996)



Mrs. / Hana A. Razzouqi

Independent Board Member (From 27/07/2021 to 20/11/2022)
Master Degree – Computer Science, George Washington University – USA (1984)
Bachelor: Bio Engineering – Syracuse University – USA (1978)



Mrs. / Haya B. Al-Humaidi

Board Member (From 16/02/2021 to 23/04/2022)
A representative of Central Bank of Kuwait
Manager – Financial Stability Office – Central Bank of Kuwait (2021)
Bachelor of Finance & Financial Institutions - Kuwait University (2011)



Mr. / Khalifa A. Al-Rashid

Independent Board Member (As of 08/06/2022)
Director of Debt Capital Markets Division -Gulf Investment Corporation – (2016)
Board Member – ALAFCO Aviation Lease and Finance Co.
Has Bachelor of Accounting - Kuwait University (2002)
Has MBA in General & Strategic Management – Kuwait Maastricht Business School (2007)



Mr. / Mazen M. Madooh

Independent Board Member (As of 08/06/2022)
Manager & Partner in Bright Management Consulting Co. (2019)
Has a Bachelor of Commerce – Accounting – Kuwait University (1986)



Mrs. / Mariam R. Abdulsalam

Board Member (From 16/02/2021 to 23/04/2022)
A representative of the Central Bank of Kuwait
Deputy Manager Financial Stability Office – CBK (2021)
Has a Bachelor Degree in Finance & Financial Institutions – Kuwait University (2011)
Has a Master Degree in Finance – London Business School – UK (2017)

Board of Directors and Committees

General Responsibilities

- The Board has the overall responsibility for the Bank, including approving and overseeing the implementation of the Bank's strategic plans, risk strategy, corporate governance and corporate values. The Board is responsible for providing oversight of the Bank's senior management, including the CEO.
- The Board assumes ultimate responsibility for the Bank's business and its financial soundness, fulfilment of the Central Bank of Kuwait requirements, protecting the legitimate interests of shareholders, depositors, creditors, staff and stakeholders, and ensuring that the Bank is managed in a prudent manner and within the applicable laws and regulations and the internal policies and procedures.

Board Meetings

Members	No. of Meetings	Attendance No.
Mr. / Musab S. Al Nisf – Chairman	8	8
Mr. / Salah M. Al-Kulaib – Vice Chairman		8
Mrs. / Aljazi Ali Al-Mishwat		7
Sheikha / Al Anood Athbi Al Sabah		7
Mrs. / Basma A. Al- Farsi		7
Mr. / Khaled H. Al Shatti		7
Mr. / Khalid A. Al-Fadhalah (until 24/09/2022)		5
Mr. / Khalifa A. Al-Rashid (As of 08/06/2022)		6
Mrs./ Rasha F. Alamir		7
Mr. / Abbas A. Radhi		8
Mr. / Mazen M. Madooh (As of 08/06/2022)		6
Mr. / Meshal A. Al Othman (until 24/09/2022)		5
Ms. / Mariam R. Abdulsalam (As of 24/04/2022)		7
Mrs. / Hana A. Razzouqi (until of 20/11/2022)		6
Mrs. / Haya B. Al-Humaidi (until 23/04/2022)		1

Board Committee

Governance Committee

The role of the Governance Committee is to assist the Board of Directors in fulfilling its supervisory responsibilities relating to the application of proper governance of the Bank; including establishing a set of guiding principles for corporate governance, the preparation and updating the Bank's governance guide and follow-up on the adherence with the parties involved, and provide the board of Directors reports on this subject.



Members	No. of Meetings	Attendance No.
Mr. / Salah M. Al-Kulaib - Chairman	2	2
Mr. / Khalid A. Al-Fadhalah - Vice Chairman (until 24/09/2022)		1
Mrs./ Rasha F. Alamir - Vice Chairman (As of 23/11/2022)		2
Sheikha / Al Anood Athbi Al Sabah - Member		2
Mrs. / Hana A. Razzouqi– Member (until 20/11/2022)		1
Mrs. / Haya B. Al-Humaidi– Member (until 23/04/2022)		0
Ms. / Mariam R. Abdulsalam – Member (As of 27/04/2022)		2

Audit Committee

The role of the Audit Committee is to assist the Board of Directors to fulfill its auditing responsibility, related to the following:

- The integrity of the financial statements of the Bank.
- Oversight of the financial reporting process and disclosures.
- Internal control systems and financial accounting.
- The internal audit function (including the responsibilities and the estimated Budget).
- The independent annual audit of the financial statements.
- Evaluate the performance of the external and internal auditors.
- Ensuring Bank's compliance to relevant policies, rules, regulations and instructions.

Members	No. of Meetings	Attendance No.
Mr. / Abbas A. Radhi - Chairman	7	7
Mrs. Rasha F. Alamir - Vice Chairman		5
Sheikha / Al Anoud Athbi Al-Sabah - Member		6
Mrs. / Basma A. Al-Farsi - Member		6
Mr. / Mazen M. Madooh – Member (As of 16/06/2022)		4

Nominations and Remuneration Committee

The role of the Nomination and Remuneration Committee is to assist the Board of Directors in fulfilling its oversight on the identification of persons eligible for membership of the Board of Directors; the Committee will submit its recommendations to the Board regarding candidates to different committees. The committee is also responsible for the draft, review and update of the Remuneration policy, and assist the board in evaluating the effectiveness and fairness of the policy, and to ensure that the policy is appropriate with the strategic objectives of the Bank.

Members	No. of Meetings	Attendance No.
Mr. / Khalifa A. Al-Rashid - Member (As of 16/06/2022) - Chairman (As of 11/09/2022)	4	2
Mr. / Salah M. Al-Kulaib - Chairman (Until 10/09/2022) - Vice Chairman (As of 11/09/2022)		4
Mr. / Khaled H. Al Shatti - Vice Chairman (Until 10/09/2022)		4
Mrs. / Aljazi Ali Al-Mishwat - Member		4
Mrs. / Basma A. Al-Farsi - Member		4
Mr. / Meshal A. Al Othman - Member (Until 24/09/2022)		3
Mr. / Abbas A. Radhi - Member		4

Risk Committee:

The role of the Risk Committee is to provide advice to the Board of Directors to meet its supervisory responsibilities related to current and emerging risks, strategies and limits of risks associated with the activities of the Bank's banking and credit activities, including investment portfolio. The Risk Committee is responsible for monitoring the implementing of the risk management policies and strategies.

Members	No. of Meetings	Attendance No.
Mrs. / Hana A. Razzouqi - Chairman (Until 20/11/2022)	4	4
Mr. / Khalid A. AL-Fadhalah - Vice Chairman (Until 24/09/2022)		3
Mr. / Mazen M. Madooh - Member (As of 16/06/2022) - Vice Chairman (As of 16/11/2022)		2
Mr. / Khaled H. Al Shatti – Member		4

Finance and Investment Committee

The role of the Finance and Investment Committee is to assist the Board of Directors of the Bank to fulfill its responsibilities relating to industrial and commercial lending, and investment activity of the Bank.

Members	No. of Meetings	Attendance No.
Mr. / Musab S. Al Nisf - Chairman	5	5
Mr. / Salah M. Al-Kulaib - Vice Chairman		5
Mrs. / Aljazi Ali Al-Mishwat - Member		4
Mr. / Meshal A. Al Othman – Member (Until 24/09/2022)		2
Mr. / Khalifa A. Al-Rashid – Member (As of 16/06/2022)		4



Protection of Shareholders' and Stakeholders' Rights Policy

1- Purpose & Scope

IBK is committed to the rules and regulations including Corporate Governance instructions issued by the CBK, as well as the banks' Articles and Memorandum of Association and internal policies, include the controls and basis for protecting stakeholders' rights, particularly, clients, borrowers, vendors, investors, business partners, shareholders, etc.

This policy aims to safeguard the Banks' stakeholders and ensure adequate and equitable treatment.

The purpose of this policy is to ensure that IBK is committed to:

- Stressing on the importance of respecting stakeholders' rights as per the applicable laws, bylaws and regulations.
- Protecting shareholders rights including minority shareholders and the Bank's various stakeholders.
- Providing timely and accurate information of the Bank (i.e. financial information and major shareholders).
- Encouraging effective participation of shareholders at General Assembly meetings while respecting their rights in line with the Bank's AoA, By-Laws and the prevailing laws.
- Ensuring timely disclosure to the shareholders, regulatory bodies and the general public as per the requirements of the various regulatory authorities and the applicable laws.
- Setting in place the required controls, policies and processes to effectively implement this Policy and the protection of stakeholders and shareholders rights.

2- Responsibilities for the Protection of Shareholders and Stakeholders Rights

Definitions:

Shareholder: The owner of one or more shares in the Bank. A shareholder should have his/her name registered with the Bank, and may hold a share certificate which has been assigned over to him/her.

Stakeholder: Any person or entity that has a relation with the Bank is its stakeholder. Stakeholders of the Bank include the Bank's customers, shareholders, creditors, suppliers, employees, the society and the environment, and other related parties.

Roles and Responsibilities

IBK realizes that stakeholders' rights constitute an essential part of the Bank's corporate governance culture. The Bank's goals and achievements are the result of the efforts of the IBKs various stakeholders.

Board of Directors

- The BoD are accountable to the shareholders and stakeholders of the Bank.
- The BoD must emphasize on the equitable and fair treatment of all shareholders, including minority, and give them the opportunity to question the BoD and rectify any violations preventing them for exercising their rights.
- The BoD shall stress on the Bank's bylaws, policies and processes to emphasize on the importance of respecting stakeholders' rights as per relevant laws, bylaws and instructions from regulators, and approve their rights to rectify any violations of their rights in line with the relevant laws.
- The BoD shall oversee whether the CEO and executive management exercise competent and ethical activities of the Bank on a day-to-day basis and assure that the long-term interests of shareholders and the stakeholders are provided.
- The BoD is responsible for protecting the interests of the shareholders and stakeholders by ensuring that the Bank's is adhering to the applicable policies, procedures and regulations pertaining to their rights.
- The BoD shall ensure proper management and control of potential risks that may affect the Bank, particularly its shareholders and the stakeholders.
- The BoD shall assure that their role is not restricted only to the Banks performance, but shall take into account the potential risks on the interests of depositors.
- The BoD is responsible for engaging shareholders to actively participate at AGMs. Other responsibilities include, but is not limited to:
  - Notifying shareholders of the AGMs date and time and agenda at a sufficient time before the meeting and providing them with voting rules and procedures. Furthermore, the location and timing of the meeting shall be announced for the public as per prevailing laws and regulations.
  - Disclosing the capital structure or any arrangements which might result in certain shareholders controlling the Bank.
  - Enabling the shareholders to read and review the minutes of meetings of the AGMs.
  - Preparing a statement of financial and non-financial penalties imposed on the Bank during the financial year according to Article (85) of Law No. 32 of 1968. Such statement will be read by the Board Chairman at the AGM.
- The BoD ensures that there is an effective and efficient disclosure system and annual reporting, pertaining to financial, governance and risk related disclosures, in place within the Bank to enable the shareholders and stakeholders to monitor the performance of the Bank and its management and exercise their rights.

Chairman

- The Chairman of the BoD shall act as the primary spokesperson for the BoD and as a representative of the BoD to shareholders and stakeholders.



- The Chairman presides over all shareholders' meetings and ensures that shareholders and stakeholders are sufficiently informed on the performance of the Bank and provided with the relevant information in a timely manner.
- The Chairman shall ensure that the Bank has sound corporate governance standards in place in order to protect shareholders' and the stakeholders' rights.
- The Chairman shall ensure that AGM and EGM are efficiently and effectively organized with the assistance of the BoD Secretary.
- The Chairman shall ensure that the Bank's management is aware of any concerns of either the BoD or other stakeholders.

Chief Executive Officer (CEO)

- The CEO shall foster a high performing corporate culture within the Bank that promotes ethical practices, encourages individual integrity/accountability, and social responsibility.
- The CEO shall ensure that all operations and activities of the Bank are conducted in accordance with the applicable laws, regulations, the Bank's AoA, and in accordance with the policies and procedures approved by the BoD.
- The CEO shall ensure that the Bank's assets are adequately safeguarded and optimized in the best interests of the shareholders.
- The CEO shall establish a transparent and comprehensive management reporting mechanism to the BoD on all activities and performance results of the Bank.

External Auditor

- The external auditor is responsible for assuring the accuracy and quality of financial reports of the Bank which are provided to the shareholders and other stakeholders.

Compliance and Anti Money Laundering

- The Compliance and Anti Money Laundering functions shall establish mechanisms to ensure compliance with various local laws and regulations, including prevailing CBK regulations and guidelines, as well as instructions pertaining to AML and CFT, in addition to Law No. (106) of 2013.

Internal Audit

- The Internal Audit function is responsible for providing assurance over the adequacy, effectiveness, and reliability of functions controls along with ensuring appropriate control environment is established within the Bank as per the Internal Audit scope and mandate set in the Internal Audit Charter.

Disclosures

The Bank shall abide by all the regulatory requirements pertaining to disclosures in line within the Bank's Disclosure Policy.

3- Shareholders Rights

Protection of Shareholders Rights

The Bank is committed to creating sustainable shareholder value and aims to provide prolific financial returns and act in the best interests of its shareholders.

The Bank's policies, procedures, and practices must reflect the provisions of the laws, bylaws and regulations issued by regulatory entities, such as; controls and measures of protecting shareholders rights, and equality.

Shareholders Rights

- Reviewing and participating in the decisions related to amending the Bank's Article and Memorandum of Association, as well as the decisions related to non-ordinary transactions which might affect the Bank's plans or activities, such as; mergers, sale of a substantial portion of its assets, or establishing subsidiaries.
- Contributing in the decision-making process of any potential significant changes made within the Bank.
- Receiving minutes of meetings of the AGM.
- Shareholders representing fifteen percent of the issued share capital of the Bank or the Ministry, may request for an Extraordinary General Meeting.
- Electing and appointing members of BoD.
- Receiving accurate, timely, and comprehensive information to assist in evaluating the performance of the Bank.
- Hold the Board of Directors and executive management accountable and pursue legal action for responsibility in case if they fail to perform the assigned tasks.
- Securities issued by the Bank shall be subject to the Central Depository System of Securities with the Clearing Agency.
- Receipt of depositing securities with the Clearing Agency shall be considered as a title to the securities and each owner shall deliver a receipt with the number of securities he owns.
- The Bank shall have a special register to be kept with a Clearing Agency, and the names, nationalities and domicile of the shareholders shall be recorded in the Register, the number of shares owned, the type and value paid for each share. The Bank or the Clearing Agency shall be required to provide data from this Register.
- Each share entitles its owner to a share equal to that of another, without discrimination in the ownership of the assets of the bank and in the dividends. Equity of the same class shall be equal in rights, privileges or restrictions, rights, privileges or restrictions relating to a type of shares may be amended only by a resolution of the Extraordinary General Assembly and with the approval of two thirds of the holders of the type of shares to which it relates after the amendment.
- Receive the dividends proposed by the BoD and determined by the AGM and receive the bonus shares to be distributed.



- Participate in the management of the bank through membership in the BoD and attend AGM's and participate in its deliberations, in accordance with the provisions of the Companies Law and the bank's articles of association. Any agreement to the contrary shall be null and void.
- Obtaining a share of the bank's assets upon liquidation after meeting its debts.
- Obtain at least seven days prior to the AGM, the bank's financial statements for the past accounting period, the report of the BoD and the report of the auditor.
- Disposal of shares owned by them and priority in subscribing to any new shares in accordance with the provisions of the Companies Law and the Bank's AoA.

4- Stakeholders Rights

Protection of Stakeholders Rights

The Bank is committed to ensuring delivery of the appropriate stakeholder rights and interests and aims to provide protection for its stakeholders in the best practice.

The Bank shall set a mechanism to ensure maximum benefit is received from stakeholders' contributions and encourages stakeholders to participate in monitoring its activities.

The Bank shall set appropriate mechanisms that would allow stakeholders to report to the Bank's Board of Directors on any improper practices which the Bank exposes them to, while providing them with adequate protection.

Employee Rights

- The Bank is committed to treating its employees fairly and providing equal employment opportunities for all employees in its employment practices, including recruiting, compensation, professional development and career progression.
- The Bank shall attract, develop and retain competent people by providing fair working environment and involving them in prominent decision making process.
- The BoD believes in providing safe and healthy working conditions, respecting human rights, and respecting employee rights.
- The Bank shall abide by the Kuwait Labor Law, and ensure that the Human Resources policies are adequately prepared to reflect best practices in line with the Laws of the State of Kuwait.

Suppliers and Service Providers Rights

- The Bank is committed to dealing with suppliers in a straightforward and honest manner, and seeks to build and maintain good relations with suppliers & service providers and shall ensure the confidentiality of information related to them is protected. For that purpose, IBK is to devise procurement policies and a supplier code of conduct.
- IBK shall ensure that contracts signed with suppliers ensure the best interest of both parties.
- IBK is committed to establish mechanism for supplier to report suspected fraud, waste or misuse of the bank resources or property.
- IBK is committed for settling complaints or disputes which could arise between the Bank and its suppliers in a fair manner for the best interest of both parties.

Customers Rights

- The Bank shall ensure the protection of the rights of its customers by maintaining open communications with them, while taking point on their concerns, and acting upon them.
- The Bank shall develop adequate customer complaints and protection policies on order to safeguard the best interests of the customers.
- All the stakeholders shall be given an opportunity to provide feedback on the business decisions and on their experiences with the bank.
- All complaints and disputes will be addressed promptly and within the guiding principles of transparency, fairness, respect and accountability.
- The Bank respects the values and culture of each stakeholder. When disagreement with stakeholders occurs and cannot be resolved, the Bank employees shall always demonstrate respect for the diversity of views presented and try to resolve issues as quickly as possible.
- The Bank shall have a customer complaints unit to be in charge of receiving customers complaints, and acting upon them in order to ensure the satisfaction of the banks customers and protecting their rights accordingly.
- No preferences shall be given to any related party dealing with the Bank, who shall be dealt in the same way as any other stakeholder.
- The Bank and the stakeholders are required to maintain confidentiality of information and an agreement shall be entered between the parties in this regard.

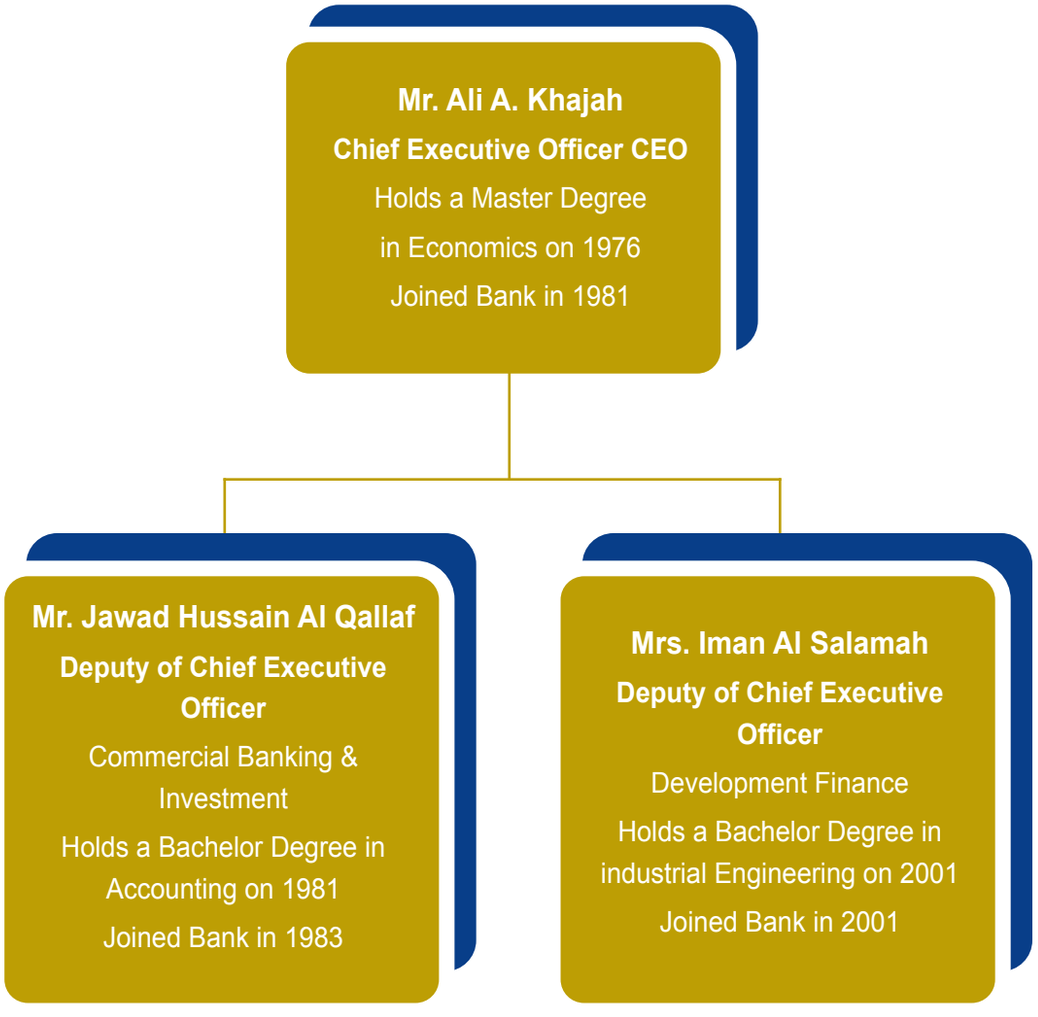
Community Interests

- The Bank is committed to contributing to the overall quality of life wherever it operates and to use resources responsibly to preserve the environment. The BoD wants communities to count on the bank's help in civil, charitable and other community activities by fulfilling its social responsibilities.
- Furthermore, in order to develop successful stakeholder relations, the Bank shall follow the following principles:
  - Those affected by the Bank's business have a right to be informed about the bank's activities, participate in a transparent stakeholder engagement process and be involved in issues and opportunities that affect them.
  - Stakeholders shall be provided with timely and accurate information about the Bank's business and the Bank shall take into account the needs and concerns of stakeholders when making decisions on the bank's behalf.
  - All the stakeholders shall be given an opportunity to provide feedback on the business decisions and on their experiences with the bank.
  - The Bank respects the values and culture of each stakeholder. When disagreement with stakeholders occurs and cannot be resolved, the Bank employees shall always demonstrate respect for the diversity of views presented and try to resolve issues as quickly as possible.



- No preferences shall be given to any related party dealing with the Bank, who shall be dealt in the same way as any other stakeholder.
- The Bank commits to promote contracts and deals of various types, through bids or various purchase orders and to fully disclose it in its related registers.
- The Bank shall be committed to maintaining positive working relationships with its stakeholders and to meet their requirements in a timely and effective manner.
- The Bank shall develop collaborative and two-way communication programs to improve the involvement of the stakeholders in the activities of the Bank.
- All stakeholders shall have an opportunity to inform the Chairman of any inappropriate practices in line with the whistleblower policy.
- All complaints and disputes will be addressed promptly and within the guiding principles of transparency, fairness, respect and accountability.
- The Bank shall ensure adequate disclosures in line with regulatory requirements and other disclosures to the public through its annual report, local newspapers and the Bank's official website.
- The Bank shall maintain and promote fair dealing with its stakeholders and contracts or projects shall be entered only after obtaining competitive quotes from various parties. The policies with respect to entering into contracts shall be followed by the Bank in all cases.
- The Bank and the stakeholders are required to maintain confidentiality of information and an agreement shall be entered between the parties in this regard.

Executive Management



Corporate Governance Report



Corporate Governance Report

Introduction

The Bank has a Corporate Governance Framework in place to ensure that the Bank is appropriately governed as per best practice. The Board of Directors sets the corporate governance policies and directs the process framework and is responsible for ensuring good corporate governance for the Bank while adhering with the guidelines of the Central Bank of Kuwait in letter and spirit.

Board's certificate on adequacy of Internal Control Systems

The Board is responsible for the establishment and review of the Bank's system of internal control, which is designed to ensure effective and efficient operations; quality of internal and external reporting; internal control; and compliance with laws and regulations. It should be noted, however, that such a system is designed to manage, rather than eliminate, the risk of failure to achieve business objectives. The system of internal control can only provide reasonable but not absolute assurance against the risk of material loss. Management is responsible for establishing and maintaining the system of internal controls.

The effectiveness of the internal control system is reviewed regularly by the Board and the Audit Committee, which also receives reports of reviews undertaken by Internal Audit Department.

Risk Management Department reviews all policies and procedures that underpin the internal control framework. It also reviews risks at the departmental and enterprise level. The Risk Committee reviews all identified risks and their mitigation.

The Audit Committee evaluates reports received from the external auditors, and discusses the issues with them over periodical meetings. The Audit Committee is further responsible for overseeing financial and Internal Control Review (ICR) reports.

The Board has assessed the effectiveness of the internal control system and the Bank's risk and financial reports for the year 2022, and concluded that there are no significant deficiencies, confirming effective operation and design of the Bank's internal control system.

Corporate Governance compliance assessment

The Bank has complied with all applicable requirements as per the corporate governance manual as well as with the Code of Conduct and Ethics, which are accessible through the Bank's website through the following link:

https://www.ibkuwt.com/en/about-ibk/corporate-governance-2.



Bank's Financial Remuneration Policies

Remuneration Policy

The Bank's Remuneration Policy is designed to attract and retain highly qualified, skilled, and knowledgeable professionals and incorporates all the requirements of the CBK as mentioned within its corporate governance instructions. The Policy includes all necessary aspects and components of financial remuneration considering reinforcing the Bank's performance objectives and effective risk management.

The Bank's Board, based on the Board Nominations and Remuneration Committee (NRC) recommendations, approves and modifies the Bank's remuneration policy and its design (if any), and reviews the process of its implementation to ensure that it is operating as intended.

Remuneration components:

The various remuneration components are combined to ensure an appropriate and balanced remuneration package that reflects the characteristics of the business, the employee's grade in the Bank and the job function as well as market practice concerning the prevailing remunerations level. The employee remuneration consists of fixed remuneration like salary and other benefits, in addition to variable yearly performance-based remuneration.

The fixed remuneration is determined on the basis of the role of the individual employee, including job responsibility, job complexity, grade, performance and local market conditions and the applicable laws.

The performance-based incentives (STI for all employees and LTI for senior management) are designed to motivate and reward the employees to achieve the goals and objectives of the Bank as per the strategy and annual plans of the Bank.

Performance based incentives are disbursed as an annual cash bonus for employees. The incentive schemes are linked with a balanced mix of performance indicators at the corporate level and the employee level. The primary goal of the STI is to align the incentive with the Bank's annual performance and individual contributions. The LTI for the senior staff is designed to encourage sustainable and risk adjusted long term performance of the Bank.

The Bank implements a formal performance management process for evaluating and measuring staff performance at all levels. In the beginning of the year, the staff and their performance managers plan and document the annual performance goals (KPIs), required competencies and personal development plans for the staff. At the annual performance appraisal, the performance managers and the reviewers evaluate and document performance against the KPIs / performance objectives. Decisions on adjustment of the employee's fixed salary and on performance-based incentives are made on the basis of the annual performance review.

Other benefits like annual leave, medical leave and other leaves, medical insurance, annual tickets, and allowances are provided on the basis of approved policy, and local market practice subject to the applicable laws.

The CEO oversees the implementation of the remuneration system of the employees as per the approved policy, including the design and related procedures. The Board NRC periodically evaluates the sufficiency and effectiveness of the Remuneration Policy to ensure its alignment with the Bank's objectives. The NRC assists the Board to conduct an independent annual review of the Bank's compliance with the Remuneration Policy.

Complying with the Corporate Governance Requirement, the financial remunerations paid to the following groups of employees are disclosed hereunder:

First category: Include CEO, his deputies and /or the other Senior Executives whose appointment is subject to the approval of the regulatory and supervisory authorities.

Second category: Include material risk takers.

Third category: Include the Financial and Risk Control Staff.

Financial remuneration paid for the above categories are:

Category	Nb. Of Staff	Remuneration Paid (annual)			
		Fixed (Kuwaiti Dinar)	Mode of Payment	Variable (Kuwaiti Dinar)	Mode of Payment
First Category	3	Salaries:383,940 Tickets: 4,075 Insurance benefits:3,165 Yearly bonus:57,591 Social Security: 11,055	Cash Cash Cash Cash Deferred Cash	Special bonus: 474,943	Cash
Second Category	5	Salaries: 291,492 Tickets: 5,440 Insurance benefits: 8,806 Yearly bonus: 43,724 Social Security: 22,770	Cash Cash Cash Cash Deferred Cash	Special bonus: 139,384	Cash
Third category	6	Salaries: 271,716 Tickets: 7,190 Insurance benefits: 8,530 Yearly bonus: 40,757 Social Security: 10,627	Cash Cash Cash Cash Deferred Cash	Special bonus: 138,959	Cash

The yearly remunerations (including salaries, yearly bonus, tickets, insurance benefits, social security and special bonus) paid for the five senior executives who have received the highest remuneration packages and for the Chief Internal Auditor and Chief Risk Officer (7 persons) amounted to 764,807 Kuwaiti Dinar.

The financial remuneration package paid to the Board of Directors amounted to 322,000 Kuwaiti Dinar.

protiviti®
Face the Future with Confidence

The Board of Directors
Industrial Bank of Kuwait
P.O. Box 3146, Safat 13032
State of Kuwait

2 January, 2023

Dear Sir,

In accordance with our letter of engagement dated 15 March 2022, please find appended the follow up report as at 31 December 2022 for the exceptions noted during the Accounting and Other Records and Internal Control Systems (AORICS) Reviews for 2021 and which were outstanding as at 30 September 2022 for Industrial Bank of Kuwait.

Our review has been carried out as per the requirements of the Central Bank of Kuwait (CBK) circular dated 19 January 2022.

A summary of the implementation status is as below:

Sr. No	Department	Total No of Observations as at 30 September 2022	No of Implemented Observations	No of Un-Implemented Observations	Partially-implemented Observations
1	Information Technology	2	1	1	-
2	Anti-Money Laundering and Terrorist Financing	1	-	-	1
3	Compliance	1	1	-	-
4	Credit Administration	1	1	-	-
5	Industrial SMEs portfolio	3	1	-	2
6	Industrial finance Islamic portfolio	1	-	-	1
Total		9	4	1*	4**

1. With regards to the Un-Implemented observation, they are as follows:

*(1) One observation where the expected date of completion is not yet due.

Protiviti Member Firm Kuwait WLL
Al Shaheed Tower, 4th Floor, Khaled Ben Al Waleed Street, Sharq P.O. Box: 1773, Safat 13018, Kuwait
T +965 2242 6444 F +965 2240 1555 E kuwait@protivitiglobal.me www.protiviti.com

protiviti®
Face the Future with Confidence

- With regards to the Partially-implemented observations, they are as follows:

  **(4) One observation which was due for implementation and the expected date of implementation has been extended as shown in the report. And 3 observations were partially implemented, and the expected date for implementation is not yet due.

Yours faithfully,



Sanjeev Agarwal
Managing Director
Protiviti Member Firm Kuwait

Executive Report



The Executive Report presents the business performance of the Bank for the financial year 2022. It depicts the achievements of the core activities of the bank as well as it's secondary activities, together with the quality of its asset portfolio in 2022.

In line with its five-year strategic plan for 2022-2026, the Industrial Bank of Kuwait commenced implementation of its strategic initiatives. The main focus is on forty-six strategic initiatives that target its industrial sector clients. These include further development of services currently on offer, restructuring and improving the speed and efficiency of its credit processes, and expansion of the client base. The priorities of these strategic initiatives are reviewed by the Bank's Board of Directors who supervise the progress of implementation.

Despite the disruptions to business in 2022 due to political and economic events, more specifically the effects of the corona pandemic, high inflation rates, the Ukraine-Russia war and the resultant geopolitical fallout and global tensions resulting in significant economic challenges, the Industrial Bank of Kuwait recorded a creditable performance.

The Bank realized a net profit of KD 29.4 million for the year 2022 compared to KD 38.4 million in the previous year. The contraction was primarily attributed to the contraction of investment activity in 2022. However, in its core lending business, the net interest margin of the total interest-yielding assets in 2022 increased by 13.7% compared to the previous year. This can be attributed primarily to the growth of the return on liquid assets managed by the Bank's Treasury. Additionally, the operational revenues from recovery and collection of written off debt increased by 54% over the previous year and contributed an amount of KD 5.5 million to the Bank's revenue.

Despite the exceptional and challenging circumstances faced in the year 2022, executive management and the provisions committee ensured through analysis of client financials and timely follow-up, that the quality of the asset portfolio was maintained at a high level.

Internal control systems

In line with the directives of the Board of Directors and regulatory guidelines of the Central Bank of Kuwait, the Bank maintains an effective internal control system for all its operational activities, financial and accounting systems and banking transactions for protection against all types of banking risks.

The Management reviews the Internal control systems and this is presented to the Board of Directors through the Board Audit Committee. The Bank's policies and procedures are reviewed annually by management and revision and recommendations for changes to policies are reviewed and presented to the Board of Directors by the Board Risk Committee. The Board approved versions are then made available to employees by departmental management to ensure compliance.

The Bank's internal audit function periodically reviews the appropriateness, effectiveness and sufficiency of the Bank's internal control system and compliance with approved policies and procedures. The head of internal audit presents his report through the Board Audit Committee to the Board of Directors.

Based on reports and feedback from Internal Audit and Risk Management, submission of self-assessment reports on operational risks by business departments and units and the audited financial reports of the year 2022, the bank's management submits that the bank's internal control framework does not suffer from fundamental defects.

God is the sponsor of success

Ali A. Khajah





Achievements of Main Operational Activities:

Industrial loans

During the year 2022, the bank has completed studying 24 industrial loan requests, which were approved to be granted long-term industrial loans, consisting of 21 expansion projects and 3 new projects. The total industrial loans commitments reached Kuwaiti Dinar 39 million in year 2022, with total projects cost of about Kuwaiti Dinar 51 million. The total industrial loans commitments represented 76% of total projects cost.

Loan Commitments During 2022

Sub-Sector	No. of Projects	Total project Cost	IBK Financing	Finance Share %
		(Kuwaiti Dinar 000)		
Extraction of crude petroleum and natural gas	1	26,754	21,600	55.2
Mining support service activities	2	5,971	4,050	10.3
Manufacture of products of wood, cork, straw and plaiting materials	1	714	360	0.9
Manufacture of paper and paper products	1	600	500	1.3
Printing and reproduction of recorded media	1	290	290	0.7
Manufacture of chemicals and chemical products	1	1,819	1,500	3.8
Manufacture of rubber and plastics products	3	1,860	1,380	3.5
Manufacture of other non-metallic mineral products	8	6,676	5,088	13.0
Manufacture of fabricated metal products, except machinery and equipment	4	5,494	3,490	8.9
Manufacture of furniture	1	458	400	1.0
Electricity, gas, steam and air conditioning supply	1	740	480	1.2
Total	24	51,376	39,138	100

The table indicates that the Extraction of crude petroleum and natural gas sector ranked first, accounting for 55.2% of industrial loans commitments in year 2022, this is due to financing 1 industrial project for a financing amount of Kuwaiti Dinar 21.6 million while Manufacture of other non-metallic mineral products came second representing 13.0% of industrial loans commitments in year 2022.

Industrial Loan Commitments during 2016-2022

	2016	2017	2018	2019	2020	2021	2022	Cumulative 1974-2022
Number of industrial Loans	28	27	17	29	17	20	24	1,179
Total Cost of Projects Financed (Kuwaiti Dinar 000)	92,365	86,047	20,075	52,829	33,775	67,493	51,376	2,413,712
Total loan Commitments (Kuwaiti Dinar 000)	63,879	56,038	12,283	41,774	25,901	61,381	39,138	1,413,792
Percent of Commitments-to-Total Project Costs (%)	69	65	61	79	76	91	76	59
Average Project Cost (Kuwaiti Dinar 000)	3,299	3,187	1,181	1,822	1,987	3,375	2,138	2,047
Average IBK Financing/project (Kuwaiti Dinar 000)	2,281	2,075	723	1,441	1,524	3,069	1,631	1,199

Cumulative industrial loans commitments since the bank commenced lending operations in year 1974 until the end of year 2022 reached Kuwaiti Dinar 1.414 bn, representing 59% of the aggregate project costs of Kuwaiti Dinar 2.414 bn for 1,179 projects financed by IBK.

Corporate Finance

The Commercial Banking Relationship Management Department continued, during 2022, to offer a full range of commercial banking facilities to the industrial sector clients in Kuwait by providing working capital facility, project finance facility, short/medium term loans, etc. The department also provided bridge financing to industrial clients pending approval / disbursement of long-term industrial loans. The banking facilities granted by the department are priced at market rates. In addition, the department is also responsible for the establishment and monitoring of treasury lines to domestic and international banks and financial institutions.

During 2022, the portfolio total outstanding witnessed an increase to Kuwaiti Dinar 188.968 Million by end of 2022 comparing with Kuwaiti Dinar 174.744 Million by end of 2021, which represent an increase by 8.14%. This increase (in cash facilities) was mainly due to normal life resuming in 2022, where new projects and contracts were tendered by the government. Therefore, our clients utilized the granted facility in this regard. The portfolio also witnessed a decrease in the non-cash facilities by 14.63% compared to last year, decreasing from Kuwaiti Dinar 78.398 Million as of



end 2021 to Kuwaiti Dinar 66.932 Million, as a result of utilizing non-cash facilities to execute the projects and contracts.

On the other hand, the department continued granting some facility packages to existing as well as new customers, particularly in the steel, construction, metal, food products.

Continuing its policy of primary focus on the domestic market, the department's activity on the international side was low-key.

Direct Investment

The Direct Investment & Promotion Department ("DIP") continued investing cautiously in promising opportunities within the Private Equity space (including Venture Capital & Infrastructure) primarily through existing fund managers who have performed well for the bank which has been amply demonstrated through their successful track record. These managers have stuck to their core strategies and investment discipline despite a slowdown in global economic activities; with inflation higher than seen in several decades and tightening financial conditions in most regions; Russia's invasion of Ukraine and the lingering COVID-19 pandemic all weighing heavily on the outlook of 2023. IMF on 1st January 2023 has forecasted global growth to further slow down to 2.7% from 3.2% in 2022 as compared to 6% growth rate seen in 2021.

The bank's cautiously constructed and diversified portfolio of international investments has successfully led the bank to achieve decent returns on its investment portfolio. On the local front, DIP slightly and gradually increased local investment exposure in companies with unique business models that serve the local industrial sector.

As a result of the aforementioned, the investment book of the bank including its subsidiaries has increased by 3.2% reaching Kuwaiti Dinar 166.674 Million in 2022 compared to Kuwaiti Dinar 161.444 Million in 2021, while assets under Management reached Kuwaiti Dinar 110.817 Million for the same period.

The positive performance of the Private Equity Funds portfolio led to decent returns on the overall investment book of the bank. DIP will continue to carefully explore lucrative local and international investment opportunities in the industrial and industrial related sectors, supporting Kuwait's strategic development plans and pursue the Bank's objective of actively participating in new industrial projects and activities.

Treasury

The Treasury Department is responsible for efficiently managing the daily cash flow and liquidity by utilizing the foreign exchange, money markets and capital markets.

In light of the recent rate hikes, the Treasury Department kept a keen eye to deploy funds at high yielding rates. Also, the department overcame the challenges of increasing cost of fund by highly efficient liability management.

In addition, Treasury Department continues to develop and maintain activities in Kuwaiti Dinars and foreign currencies as well as investing in Kuwaiti Dinar denominated bonds issued by the Central Bank of Kuwait to maintain high quality liquid assets and consistent growth.

Treasury Department aims to maximize returns by utilizing selective opportunities that meet IBK's overall diversification strategy. It also maintains its presence in the local and international capital market through active relationships with local and international banks. Along with, continuing to serve the bank's customers by providing the suitable financial solutions and products to serve their financial needs.

Furthermore, by the constant efforts of the ALCO committee, the bank managed to implement CBK's instructions to its operations, which guided the bank to control market risk and liquidity risk beside predicting future trends of foreign exchange prices and interest rates in the financial market.

A signing ceremony of a three-year term loan facility in the amount of $75 million from ABC Bank, one of the leading international banks in the Middle East and North Africa (December 2022).



*IBK's CEO Mr. Ali A. Khajah along with Bank ABC's Acting Group CEO Mr. Sael Al Waary.



*Photo of the Banks CEO's with other senior officials from both Banks.

Portfolio Management

Al-Senai portfolio for small enterprises continued on supporting activities of Kuwaiti youth in the field of small business by providing funds in accordance to Islamic finance which in turn seeks to support the aspirations of the state through national manpower restructuring, and directing youth for self-employment , which contribute in diversification of production and service activities in Kuwaiti economy.

In 2022, the portfolio financed total of 114 projects, with 10.253 million Kuwaiti Dinar investment cost. While Al-Senai portfolio funding amount reached 7.502 million Kuwaiti Dinar equivalent to 73.17 % of total cost of projects.

Project financing:

CATEGORY	No	INVESTMENT	PORTFOLIO SHARE	PERCENTAGE
		(Kuwaiti Dinar 000)		%
Wholesale & Retail trade	32	1,613,748	1,475,810	19.67
Manufacturing	20	1,875,635	1,336,057	17.80
Accommodation and food service activities	18	1,650,891	1,239,327	16.51
Human health and social work activities	6	2,084,919	1,214,763	16.19
Transportation and storage	16	729,310	729,310	9.72
Administrative and support service activities	9	865,694	634,803	8.50
Other service activities	7	735,494	387,538	5.16
Professional, scientific and technical activities	2	419,819	313,898	4.18
Arts, Entertainment and recreation	3	236,352	129,554	1.72
Information and communication	1	41,331	41,331	0.55
Total	114	10,253,193	7,502,391	100

The following table indicates the number of funding projects, according to top three sectors as following:

No.	CATEGORY	No of projects
1-	Wholesale & Retail trade	32
2-	Manufacturing	20
3-	Accommodation and food service activities	18

The following table indicates investment cost and portfolio finance share, according to top three sectors with 53.98 % of Al-Senai portfolio share:

No.	INVESTMENT	INVESTMENT	PORTFOLIO SHARE	PERCENTAGE
		(Kuwaiti Dinar 000)		%
1-	Wholesale & Retail trade	1,613,748	1,475,810	19.67
2-	Manufacturing	1,875,635	1,336,057	17.80
3-	Accommodation and food service activities	1,650,891	1,239,327	16.51



The Islamic Industrial Financing Portfolio has an objective to support the industrial development through providing medium to long term financing to industrial projects and services in compliance with Islamic Sharia'a such as Murabaha, Istisna'a, and Ijara. Thus, (2) new industrial projects were financed during year 2022.

Cumulative industrial financing commitments since the portfolio commenced its financing operations in year 2009 until the end of year 2022 reached KD 69 mm, presented to 39 Industrial projects.

Cumulative Finance Commitments during 2009 – 2022

	2022	Cumulative 2022 - 2009
Number of Projects	2	39
Total Projects Cost (KD 000s)	734	152,012
Portfolio Finance (KD 000s)	514	69,372

Approved Agricultural Projects Loan During The Period:

The agricultural loans committee approved to grant (24) agricultural loans during year 2022. The total estimated project cost was KD (6,584,871); however, the agricultural portfolio's contribution was KD (3,799,000) which represents 58% of the projects` cost as distributed below:

Sector	No	Total Project Cost	Agricultural Portfolio Financing
		(Kuwaiti Dinar 000)	
Planting	12	4,885,826	2,718,000
Food security	3	361,805	155,000
Fish planting	2	329,240	205,000
Short term	3	60,000	60,000
Fishes	1	40,000	21,000
Fruits	1	280,000	160,000
Dairy	2	628,000	480,000
Total	24	6,548,871	3,799,000

According to the previous table, the agriculture portfolio financed 74% of its total sectors financing for planting sector, and 9.5% of its total sectors financing for dairy sector.

Loan Applications for Financing Agricultural Projects:

A number of (17) loan applications are understudy for agricultural projects financing. These loan application projects cost (Kuwaiti Dinar 3,790,000); however, it expected to be financed with loans of (Kuwaiti Dinar 2,257,000).

Signed Loans During the Period (01.01.2022 – 31.12.2022):

During the year 2022, the agriculture portfolio signed (18) loans distributed as follows:

Sector	No	Total Project Cost	Agricultural Portfolio Financing
		(Kuwaiti Dinar 000)	
Planting	8	3,880,346	2,220,000
Food security	1	143,000	65,000
Dairy	2	628,000	480,000
Fishes	1	40,000	21,000
Fish planting	2	329,240	205,000
Fruits	1	280,000	160,000
Short term	3	60,000	60,000
Total	18	5,360,586	3,211,000

Site Visits

The agricultural portfolio visited (335) agricultural sites during the year 2022. The purpose of those visits is to evaluate new projects, loan disbursements, and to follow-up existing financed projects.

Repayments:

The expected repayments (installments) amount of year 2022 is (Kuwaiti Dinar 4,636,169). The total repayments amount of year 2022 is (Kuwaiti Dinar 3,542,843). As a result, the repayment percentage result is 76%.

Research

During the year 2022, the Department conducted several market research studies on various industrial products in Kuwait to determine the viability of producing these industrial products locally, through the current and projected supply and demand in the local market, the level of competition between local and imported products, marketing mix elements, and estimating the market share of the new products.



Furthermore, the Department completed a special sectoral study about “Plastic Bags & Rolls in Kuwait”. As well as the Sectoral Study “Dairy Products and Plant-Based Dairy Substitutes in Kuwait”, the studies were presented at the Finance & Investment Committee. And before the end of the year, a special sectoral study on “Cleaning Products & Oilfield Chemicals in Kuwait” was issued. Summaries (Brochures) of these sectoral studies were posted on the bank website for learning about and benefit. In the meantime, the Department is preparing two sectoral studies “Meat Products Sector” along with “Asphalt, Bitumen & Insulation Material Market in Kuwait”.

Additionally, during the year, the Department presented a special report about the «Highlight of Research Department achievements (2020-2021) & the vision of Research Department (2022-2024)”. Moreover, the special report “The impact of inflation and the lack of supply chain” was published and presented at the Finance & Investment Committee. As for Economic Reports, the Department has completed a special economic report to be included in the IBK Annual Report for 2021. Also submitted two periodical reports of “The Bi-Annual Economic Review”, and has finished the IBK Industrial Loans Commitments History” Report (1974 - 2021). By the end of the year, the Department has completed the updating of the “Projected built-up Area & Materials Demand for the next 5 years” as well as the “The Demography of Kuwait’s Population.

The Department works continuously on updating IBK client’s data and expanding its industrial database on markets and industry in Kuwait, through field visits to factories and to industrial establishments. The Department also continuously builds its updated archive with latest market research studies, statistical data and new industrial guides to be utilized for the bank’s studies.

Information Technology

In the Year 2022, the Information Technology Department’s focused on Technological and Compliance projects.

An enhancement related to a Report in Finacle Treasury was delivered to bring in operational efficiency in Feb 2022.

PACI integration was implemented to enable verification of Customer Civil ID with PACI.

AML system was enhanced to include new transaction type (K-Net) in Sept 2022.

PaymentSafe (Payment Hub) was enhanced to include certain functionalities related to SWIFT messages in Nov 2022.

AFAQ changes (phase 1) for GCC-RTGS payments (for specified currencies, namely, SAR and BHD) were implemented in Dec 2022 in readiness for transaction processing as per CBK’s plan.

Firewalls were upgraded from Juniper to Forti Gate.

NetBackup migration from Windows to Linux was completed.

IBK Website was moved from physical to Virtual Machine.

Human Resources and Corporate Social Responsibility

The Human Resources and Administration Department dedicates its complete efforts for its employees to realize the vision of the Industrial Bank of Kuwait and its strategic objectives through the continuous enhancement of human capital by recruiting candidates that are best fitted, qualified and experienced. Particular emphasis is given to the development of Kuwaiti talent by ensuring their training and enhancement of their skills and providing them with all the necessary foundation to accomplish success. In the fiscal year of 2022, the bank has trained more than 130 employees while giving them the opportunity to build a professional career by elevating their professional and personal skill set and preparing them for a knowledge-based work environment.

This reflects the bank's commitment towards investing strongly in enhancing the efficiency of its employees, by developing programs and workshops in accordance with the requirements of the Central Bank of Kuwait. Additionally, the utilization of the most respected educational institutions around the world to implement programs and training courses that keep pace with the development and requirements of the labor market. Furthermore, proactive steps are taken to support the Kuwaitisation and diversity within the bank. At the end of the fiscal year 2022, the number of Kuwaiti staff were at 150, elevating the percentage of national employment to 80.2% of the total employees in the bank.

The Bank is always keen on its commitment to its employees to participate in media seminars and awareness lectures on the importance of the industry as an essential source of the country's economic tributaries such as:

1) Contribute to lighting the bank building green in conjunction with the occasion of full operation of the environmental fuel project done by the Kuwait National Petroleum Company, due to the importance of the event in preserving the environment.
2) Continuing to participate in the "Diraya" campaign, which is carried out by the Central Bank of Kuwait and the Federation of Kuwait Banks, to educate customers.
3) Participation in the Electronic magazine of federation Kuwaiti Banks.
4) The Bank's participation in publishing electronic "banking illuminations" publications in cooperation with the Institute of Banking Studies in order to spread banking and financial awareness among members of society.
5) Support the Institute of Banking Studies programmers through publish advertisements.
6) Carrying out seasonal influenza and pneumonia vaccination campaigns.
7) The Bank's contribution to the activities of the Red Crescent Society for social responsibility projects within the State of Kuwait.

The Strategic Plan

The five-year strategy (2022-2026) defines the bank's leadership's vision for the next five years, which is: " IBK as a profitable bank with a strong focus on industrial development impact and as the main driver behind growing a diversified Kuwaiti economy".

To achieve this ambitious vision four strategic goals have been defined:



• Optimize to "IBK 2.0":

Address internal improvement areas to ensure continued financial sustainability, e.g., through optimizing and digitizing processes, streamlining customer relationship management, bringing our IT systems up to par.

• Orchestrate industry growth:

Step up to coordinate diversified development of the industrial sector.

• Innovate IBK's product offering :

Expand and reshape the product portfolio and capabilities to provide more additionality.

• Support sustainable economy:

Promote ESG agenda in line with Kuwait's government ambition.

These strategic objectives are attained through the implementation of initiatives addressed by the strategy, which encompasses all major and auxiliary operational areas. To implement the identified initiatives and attain the strategic objectives, work is performed in two important areas:

• Strategy Management.

• Strategic transformation.

I- Strategic management

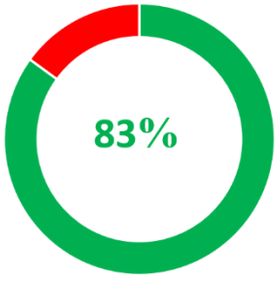
During the first year of strategy implementation, the focus was on defining policies and procedures for implementation, measuring the degree of success in attaining the goals, monitoring impediments, and partnering with the senior management to address impeding issues.

Communicating strategy and ensuring coherence and consistency across strategic objectives was also a key task in the first year.

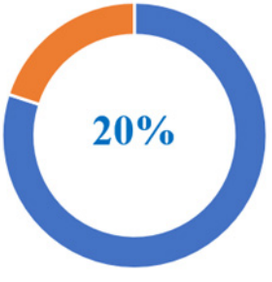
The effectiveness of the strategic plan's implementation is measured by the efficiency with which the action plan is carried out, as well as the rate at which predetermined financial and non-financial metrics are met.

1- Action Plan execution indicator:

Efficiency indicator of strategic plan execution till the end of the fourth quarter of the fiscal year 2022



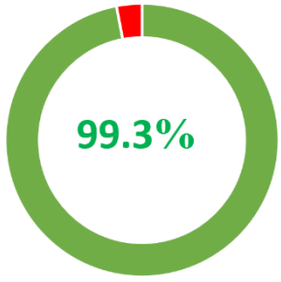
Rate of Action Plan implementation



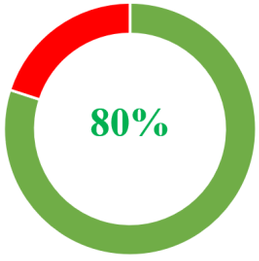
Percentage of time elapsed after 12 months

2- Financial and non-financial KPIs:

Effectiveness indicator of strategic plan execution till the end of the fourth quarter of the fiscal year 2022



Rate of Financial KPIs



Rate of initiatives' KPIs results

II- Strategic Transformation

Transformation capabilities enable modern institutions to adapt to local, regional, and global changes and developments in order to assure their sustained success and competitiveness. From this perspective, the Bank's strategy has accorded substantial significance to the strategic transformation process along two primary levels:

Internal transformation: By improving internal work processes and procedures, as well as carrying out a full digital transformation project.

In this context, a contract was signed with KPMG International to reengineer credit processes, significantly increase business efficiency, and enhance services supplied to bank customers.

To achieve the intended digital transformation, a vision for a comprehensive information infrastructure has been designed, which utilizes the most recent banking technology and practices.

External transformation: By pursuing new prospects and enhancing the bank's role in effectively contributing to the diversification of the national economy.

In this context, a memorandum of understanding was signed with Kuwait University's College of Administrative Sciences to provide advisory services to the bank's clients, as well as coordination with other government agencies such as the Public Authority for Industry and Housing to exchange information, support national industries, and create new financing and investment opportunities.

Risk Management Disclosures



Risk Management Disclosures

Risk Management Objectives:

The Industrial Bank of Kuwait has clear risk management objectives and a well-established strategy to deliver them through core risk management processes under the guidelines of the Central Bank of Kuwait. The Risk management Department's objectives, in coordination with business lines are:

- To identify the Bank's material risks, financial and non-financial.
- To formulate the Bank's risk appetite and ensure that business profile and plans are consistent with it.
- To optimize risk/return decisions by dialogue with business, while establishing a strong and independent review process and structure.
- To adhere to regulatory guidelines relating to risk management.
- To ensure that business growth and strategic plans are properly supported by effective risk assessment.
- To monitor risk profile to ensure that specific financial deliverables remain possible under a range of adverse business conditions.
- To assist business and support functions improve the control and co-ordination of risk taking across the Bank and transfer through the insurance risks that cannot be managed internally.
- To manage security and cyber risks.
- To promote a culture of risk awareness throughout the organization.

Risk Management Structure:

The responsibility for risk management resides at all levels within the Bank, from the Board and the executive level down through the organization to each business manager and risk specialist documented in detail through policies and procedures and available to all staff through an online shared system. In a three-eye approach, the responsibilities for effective review and challenge reside with managers of departments as the primary risk holders, an independent risk management department and, internal audit. For effective corporate governance, the Chief Risk Officer assists the Board Risk Committee to guide and oversee effective risk management across the Bank. Risk Management also assists the Board of Directors in tasks required by the Board Committees. The Board is responsible for approving risk appetite, which is the level of risk tolerance that the Bank chooses to accept in pursuit of its business objectives. The risk appetite is reviewed annually by



the Board Risk Committee so that it is in synchrony with the economic environment and internal strategic objectives.

The Board is also responsible for the internal control and assurance framework. To enhance corporate governance and the management of risk, the following committees have been set up to perform specific roles - the Board Audit Committee, the Board Risk Committee, the Board Nomination and Remuneration Committee and the Board Governance Committee.

Internal Audit is responsible for the independent review of the effectiveness of risk management and the internal control environment in the bank. Its objective is to provide reliable, valued and timely assurance to the Board and Executive Management over the effectiveness of controls, mitigating current and evolving high risks and in so doing enhancing the controls culture within the Bank.

The Board Risk Committee monitors through the risk management department, the Bank's risk profile against the risk appetite documented quantitatively and qualitatively in the risk appetite policy, providing benchmarks for high-level oversight and supervision of the management of risks. The Risk Committee reviews the constituents of the detailed risk appetite statement annually. Where actual performance differs from expectations, the actions being taken by management are reviewed to ensure that the Committee is comfortable with them. The Committee receives regular and comprehensive reports on the Bank,s risk profile, an assessment on all risk factors, key issues affecting each business portfolio, risk measurement methodologies and future risk trends. The Board Risk Committee ensures that appropriate policies and procedures exist to manage risks in a professional and pro-active manner, reviewing the independence and integrity of the Bank's risk management department and critically assessing business and strategic risks within established risk management policies and procedures.

The Chief Risk Officer reports directly to the Chairman of the Board Risk Committee. The risk management department is responsible for independently assessing and managing credit risks, market risks, liquidity risks, and all types of operational risks. Additionally, the IT risk management function (operating independently of the IT department), reports to the CRO. While primary risks are managed by line managers, the risk management department provides a structured and independent assessment of credit, liquidity, market and all types of operational risks by proactively working with line management in identifying, documenting, quantifying, tracking and monitoring Key Risk Indicators and providing solutions whenever KRI's tend to go beyond acceptable levels. It facilitates implementation of risk initiatives and continuously tracks portfolio risks as well as individual credit, investment, new projects and product proposals. It ensures that risks are categorized into groups of low, medium and high risks and that significant risk that are outliers in the boundary provided by the risk appetite policy and those that have potential operational loss impacts, are highlighted, reported and mitigated.

In the collaborative spirit of risk accountability, there are specific committees set up to monitor specific areas of risk. There is an Assets and Liabilities Management Committee (ALCO) that monitors liquidity risks, investment risks and asset projections, in which the CRO participates as an active member. The Credit Committee and Provisions Committees deal with corporate credit and project finance proposals and impairment and provisions issues. Risk management coordinates the Bank's business continuity plans and off-site disaster recovery activities.

Stress Testing: A fundamental duty of the risk management department is to ensure that the Bank does not neglect to prepare for the worst event as they plan for growth. Stress testing helps the Bank understand how its portfolios would react if business conditions became significantly more challenging. Risk Management generates specific forward-looking scenarios and analyses how well liquidity and profitability would hold up, whether the levels of capital would be adequate to meet significant shocks and what managers could do ahead of time to mitigate risk. Stress tests capture a wide range of variables that are relevant to the current environment. The Risk Management department co-ordinates the process of stress testing, using bottom-up analysis on expected and unexpected loss. The results of the stress tests are presented to the Executive Committee, the Board Risk Committee, the Board of Directors and to the regulatory authority – The Central Bank of Kuwait for its assessment of the Bank's resilience to stressed credit risk, market risk and economic conditions. The stress scenarios consider a wide range of factors, including: The Bank,s revenue generation potential, loan loss provisions and the probability of default and possible losses given default within its loan book; and possible declines in the market value of investment assets and effects on capital adequacy.

The results of the stress testing also serve as reference points for triggering action on the Bank's capital planning policy and decisions on whether it requires a change of strategy or additional capital. Presently, the Bank is highly capitalized and the capital support risk is low.

Financial Environment and Regulation: The oil prices regained the lost momentum with certain gains and financial markets around the world transpired to signs of revival. The first half of FY22 started with the war between Russia and Ukraine. The second half of FY2022 witnessed high inflation fears across globe, thereby raising the interest rates across the world. The CBK guidelines which were issued for maintaining the lower levels of capital and liquidity ratios, were allowed to continue even during FY2022 and with marginal increase in the minimum ratios. The rising inflation rates and the dynamic changes in the forex markets could be one of the reasons for the Central Bank of Kuwait (CBK) to raise the discount rates from 1.50% during FY21 to 3.50%, by the end of FY22.

The investment portfolio which was adversely affected during the early pandemic period, and which retraced itself as markets recovered, however witnessed volatile returns and mostly negative side, due to global macro factors. The IFRS9 allows to consider the investment valuations (positive and



negative) directly into Profit and Loss (P&L) account. Based on the valuations of FY22, the profits of Direct Investment in FY22 are booked straight into P&L accounts compared to FY21. The investment valuations are also adversely affected during FY22, due to the global macro factors.

Risk Rating by External Rating Agencies:

During 2022, the international rating agency Fitch reaffirmed the rating of the Industrial Bank of Kuwait as shown below:

Fitch Ratings Foreign Currency	
Long Term IDR Short Term IDR Support Rating	A F1 A
Sovereign Risk Foreign Currency Long Term IDR Local Currency Long Term IDR	 AA- AA-
Outlooks Foreign Currency Long Term IDR Sovereign Foreign Currency Long Term IDR Sovereign Local Currency Long Term IDR	 Stable Stable Stable

Fitch comments that IBK's IDRs and Support rating reflect the extremely high probability of support from the government of Kuwait, in case of need. This is based on the government of Kuwait's 49% direct ownership and 12% indirect ownership of IBK, as well as the long-term government funding provided for the bank's development activities. The ratings also consider the Kuwaiti authorities' long history of strong support for Kuwaiti banks.

The rating agency 'Capital Intelligence' reaffirmed their existing rating of IBK at AA- for 2022 with a 'Stable' outlook. Their summary rating is as follows:

Foreign Currency Long-term	A+
Foreign Currency Short Term	A1
Financial Strength	bbb+
Support	3
Outlook – Foreign Currency	Stable
Outlook – Financial Strength	Stable

Basel III Pillar 3 Consolidated Disclosures:

Overview of Basel III and Pillar 3:

Since December 2005, The Industrial Bank of Kuwait has applied the Basel framework as part of its risk and capital management strategy. The accord is made up of three pillars:

Pillar 1 covers the calculation of risk-weighted assets for credit risk, market risk and operational risk.

Pillar 2 allows firms and supervisors to take a view on whether the firm should hold additional capital to cover the three Pillar 1 risk types, or to cover other risks. A firm' own internal models and assessments support this process which is interactive between the Bank and its regulator, the Central Bank of Kuwait.

Pillar 3 covers external communication of risk and capital information by banks.

The Basel guidelines provides for different approaches to calculating capital requirements:

- The first is the Standardized approach, where risk weights used to assess requirements against credit exposures are consistent across the industry.
- The second approach is the Internal Ratings Based approach (IRB) which relies on the bank's internal models to derive the risk weights.
- The third approach is the advanced approach suitable for very large and complex structures.

As per the guidelines of the Central Bank of Kuwait, the Bank's Pillar I capital adequacy calculations are based on the Standardized approach. For stress testing purposes, however the Bank uses an internal modeling methodology, which is specifically designed for large credit exposures, which constitutes the main business line of the Bank, as under its mandate it cannot have retail or real estate exposures. Stress tests are simultaneously carried out as per parameters and scenarios provided by the Central Bank of Kuwait. Stress test submissions are made based on both internal and regulatory methodologies.

Stress tests are conducted twice a year, in accordance with the Bank's Basel Pillar 3 Policy and as per the guidelines of the Central Bank of Kuwait. A full report (qualitative and quantitative) is prepared based on December year-end results and a quantitative-only report is prepared based on June mid-year results and projections.

Capital Risk Management:

Capital adequacy is the degree to which capital resources on the Bank's balance sheet are sufficient to cover the businesses' capital requirements now and in the foreseeable future. The Group's permission to operate as a bank is dependent upon the maintenance of adequate capital resources. Capital risk management is the process for reviewing capital requirements to enable the Bank to:



- Meet minimum regulatory requirements in Kuwait where its business is focused and where itis solely located.
- Support its credit rating and maintain cost of funds.
- Support business growth and the ability to withstand and tide over shocks.

The Bank ensures that it is sufficiently capitalized by continually assessing its capital resources and requirements given current financial projections. This considers material risks to the projections as well as strategies employed to manage those risks.

The Bank's capital management considers both economic and regulatory capital. Regulatory capital requirements are calculated on the basis of Pillar 1 risks of the Basel framework. Pillar 1 capital covers credit, market and operational risks. The calculation methods and risk weights are specified by Basel III rules. Pillar 2 capital can also be held against the three risk types above, but mainly covers other types of risk. Being an industrial bank with a focused but restricted mandate, a significant weight is given to Concentration Risk. The Bank uses its own internal capital framework and stress testing processes to help determine its capital requirements under stressed scenarios. The Bank ensures that it maintains sufficient buffers above regulatory minima at all times. The adequacy of these buffers is assessed by Risk Management and presented periodically to the Board Audit and Risk Management Committee as part of the Capital Management Policy, the risk governance process, the risk appetite review process and the stress testing process. The Bank's stress testing process forecasts the projected capital requirements and resources in a range of stress scenarios. This enables the Bank to ensure it can meet its minimum regulatory capital requirements in a stressed environment, and to assess that there is adequate buffer above regulatory capital to meet economic capital needs if trigger points are approached. The stress testing process forms a key component of the internal capital adequacy assessment process (ICAAP).

For Pillar I regulatory capital adequacy calculations, the Bank has adopted the Standardized approach of Basel III, as recommended by the Central Bank of Kuwait in determining the capital required for each component of credit, market and operational risk. As the Bank is a specialized development bank which also offers commercial banking facilities to its customers, it has long term support from the Government of Kuwait. This, together with its significant disclosed reserves, makes its available capital substantially in excess of the minimum requirements of Basel III even after considering the additional requirements of ICAAP under the new Pillar II and buffers determining economic capital. With the planned expansion of the asset portfolio as per the Bank's three-year strategic plan, the capital adequacy ratio is expected to remain substantially above minimum regulatory requirements and economic capital estimates in the foreseeable future. This strong capitalization provides a cushion against low diversification opportunities due to the government mandate to service and develop the industrial sector in Kuwait. The overall capital adequacy ratio based on Basel III was 51.20% as on 31st December, 2022.

Capital Structure and Adequacy:

In addition to the paid-up capital of Kuwaiti Dinar 20 million and significant disclosed voluntary reserves, the principal corpus of long-term funds for the Bank is a renewable long-term loan of Kuwaiti Dinars ("KD") 300 Million (= USD 990 Million approx..) from the Government of Kuwait first given through an Amiri decree in 1973, from which the Bank's Projects Division provides medium- and long-term project finance to its industrial borrowers at concessionary pricing.

Subsidiaries:

The top corporate entity is The Industrial Bank of Kuwait K.S.C. The Bank has two wholly owned subsidiaries, Kuwait Industrial Projects Company KSCC (KIPCO), a Kuwaiti closed shareholding company ("KIPCO"), and Senaey Enterprises Ltd, a limited liability company incorporated in George Town, Grand Cayman, the British West Indies (together "the Group"). KIPCO is the Group's vehicle for domestic investments and for holding and managing assets taken over by the Bank because of domestic loan defaults; it accounts for some 6% of the total Group assets. Senaey Enterprises is insignificant and not a material element of the Group statement of financial position. Capital adequacy data submitted to the Central Bank of Kuwait includes relevant data from both subsidiaries on a fully consolidated basis.

Capital Structure – 31st December 2022 (All figures in Kuwaiti Dinar 000)

Total Tier - 1 Capital		304,758
Capital		20,000
Reserves		
Legal reserves	45,210	
Voluntary reserves	149,499	
Fair value reserve	0	
Retained Earnings	90,049	284,758
Total Tier - 2 Capital		7,328
General Provision as allowed		7,328
Total eligible capital after deductions		312,086



Capital Structure Disclosure - 31st December 2022 (Sheet 2) (All Values in Kuwaiti Dinar 000)			
Asset Categories		Net Credit Risk Exposure (After CRM)	After CRM Risk Weighted Assets
1	Cash Items	181	0
2	Claims on Sovereigns	52,726	0
3	Claims on International Orgns	0	0
4	Claims on PSE	0	0
5	Claims on MDB	0	0
6	Claims on Banks	282,459	58,803
7	Claims on Corporates	358,661	358,661
8	Claims on Securitized Assets	0	0
9	Credit Derivative Claims	0	0
10	Regulatory Retail	0	0
11	Past Due Exposures	307	307
12	Other Exposures	168,460	168,460
Total Exposure		862,794	586,231
Less General Provision			(36,347)
Total Credit Risk Exposure			549,884
Minimum Capital Requirements for Credit Risk			71,485

Capital Requirements for Market Risk	
Total Market Risk Weighted Exposure	4,575
Minimum Capital required	595
Capital Requirements for Operational Risk	
Total Operational Risk Weighted Exposure	55,063
Minimum Capital required	7,158
Total Risk Weighted Exposure	609,522
Total Min Capital requirement (Cr Risk + Mkt Risk + Op Risk)	79,238
Eligible Tier - 1 Capital	304,758
Eligible Tier - 2 Capital	7,328
Total Eligible Capital	312,086
Unused Capital	232,848
Capital Adequacy Ratio as per Basel - III	%51.20
Capital Adequacy Ratio based on Tier - 1 capital	%50.00
CET - 1 Capital Adequacy Ratio	%50.00

Financial Leverage Ratio:

The Basel III framework introduced a simple, transparent, non-risk-based leverage ratio to act as a credible supplementary measure to the risk-based capital requirements. The leverage ratio is intended to (1) restrict the build-up of leverage in the banking sector to avoid destabilizing deleveraging processes that can damage the broader financial system and the economy; and (2) reinforce the risk-based requirements with a simple, non-risk based "backstop" measure.

The Basel Committee is of the view that a simple leverage ratio framework is critical and complementary to the risk-based capital framework; and a credible leverage ratio is one that ensures broad and adequate capture of both the on- and off-balance sheet sources of banks' leverage. The Basel III leverage ratio is defined as the capital measure (the numerator, Tier I capital) divided by the exposure measure (the denominator), with this ratio expressed as a percentage: Leverage ratio = Capital measure/Exposure measure (%). For Kuwait the minimum regulatory leverage ratio is 3%.



IBK Leverage Ratio December 31 2022 - Consolidated

S.No.	Item	Leverage ratio Framework (Kuwaiti Dinar 000)
On-balance sheet exposures		
1	On-balance sheet items	779,957
2	(Amounts of assets deducted when calculating theT1 of the capital)	0
3	Total On-balance sheet exposures	779,957
Derivative Exposures		
4	Gross Exposure (including the amount of additional factor)	9,585
5	Adjustments	9,415
6	Total derivative exposures	170
Securities financing transaction exposures		
7	SFT Assets	0
8	Total securities financing transaction exposures	0
Off Balance sheet items		
9	Commitments	125,082
10	(Adjustments for conversion to credit equivalent amounts)	(100,066)
11	Total Commitments	25,016
12	Contingencies	66,932
13	(Adjustments for conversion to credit equivalent amounts)	(35,690)
14	Total Contingencies	31,242
15	Total Off-Balance sheet items	56,428
Capital & Total Exposures		
16	Tier 1 Capital	304,758
17	Total Exposures	836,385
Leverage Ratio		
18	Basel III Leverage Ratio	% 36.44

Credit Risk Management:

Credit risk is the risk of suffering financial loss should any of the Bank's customers or market counterparties fail to fulfill their contractual obligations to the Bank. The granting of credit is one of the Bank`s major sources of income and, as the most significant risk; the Bank dedicates considerable resources and energy to control it.

The credit risk that the Bank faces arises mainly from project finance and working capital finance. The Bank is also exposed to other credit risks arising from its treasury activities, including debt securities, settlement balances with market counterparties and available for sale assets.

The role of the risk management department is to provide bank-wide direction, independent risk assessment, oversight and challenge of credit risk-taking. The Bank has dedicated departmental credit policies reviewed by a committee for policies and procedures (where the CRO is a member). The Board of Directors approves the credit risk control framework, which provides a structure within which credit risk is managed together with supporting risk management departmental policies. Loans and advances to customers provide the principal source of credit risk to the Group although the Bank can also be exposed to other forms of credit risk through, for example, loans to banks, loan commitments and debt securities. The Bank's risk management policies and procedures are designed to identify and analyze risk, to set appropriate risk appetite, limits and controls, and to monitor the risks, delinquency, adequacy of follow up and rating assessments. The risk management department independently reviews and rates all individual credit proposals generated by the two credit granting departments, relating to project finance and commercial, working capital and trade finance. It also quantifies reviews and monitors the quality and movement of the overall credit portfolio of the Bank.

One area of particular review is concentration risk. A concentration of credit risk exists when a number of customers belong to the same group, or are engaged in similar activities and have similar economic characteristics that would cause their ability to meet contractual obligations to be similarly affected by changes in economic and other business conditions. As a result, the Bank constantly reviews its concentration in a number of areas including, for example, geography, maturity, industrial sector and group control. Diversification is achieved through setting maximum exposure guidelines to individual counterparties not exceeding 15% of capital. However, given the specific mandate to operate within the industrial sectors, concentration risk is on the higher side.



The Bank has in place a system for internal credit risk rating of all exposures on a scale of 1 to 10. Risk Management recommends credit ratings for new clients and periodically reviews all existing borrower ratings in the Bank using well defined internal rating parameters. Risk Management tracks the weighted average rating of the credit portfolio and each risk category within the portfolio.

In order to mitigate credit risk, exposures are usually secured by acceptable collateral. The existing portfolio of loans and advances reflects the Bank's emphasis on lending inside Kuwait and in particular to industrial units in Kuwait - a country whose dynamics the Bank comprehends well and where the Bank has a better understanding of the inherent risks. The Bank has credit concentration to the industrial sector due to the terms of its constitution. The Bank manages the risk by avoiding concentration by obligor, by a particular industry and, in the case of cross border exposures, by geographical area.

Special attention is paid to overdue accounts by committees especially set up for this purpose. Follow up measures are discussed and remedial action taken. If required, appropriate provisioning levels are determined.

At both the departmental level as well as the overall bank level, disciplined credit processes are in place. The processes are intended to ensure that risks are accurately assessed, properly approved and continuously monitored. The primary tool for managing credit risk is a set of credit policies and procedures that are periodically reviewed and updated. A stringent approval framework exists in the Bank which mandates a rigorous and thorough evaluation of the creditworthiness of every obligor. All credit and investment proposals and their extensions and renewals of existing credits are assessed by Risk Management.

Credit limits are established for all customers after careful assessment of the relevant credit application. As per procedure, the approval of the Board of Directors is necessary for credit limits above a certain level. Management's appetite is conveyed by limits for country, industry, borrower and product. Excesses above approved limits require approval by appropriate credit authorities in the Bank.

Concentrations by size, industry, business and industry sectors are monitored and limited. Central Bank of Kuwait defines concentration as 15 percent of a bank's total eligible capital base as defined under Basel III/CBK; all concentrations in the portfolio by industry are monitored closely for adverse financial or economic conditions.

Risk Management tracks delinquencies at the company and portfolio level and is in constant dialogue with the Business departments so that action on irregularities can be taken in time and slippage down the past-due time buckets are controlled as far as possible.

Information related to credit exposures

Past Due / Impaired Assets and Provisioning

IBK follows the Central Bank of Kuwait definitions of irregular assets and guidelines for impairment provision. Classification of credit exposures and computation of provisions are as below:

A. Credit Facilities to Customers (Resident & Non-Resident):

(i) Exposure is classified as Irregular if:

- The debit balance in the current account has been constantly showing an excess of over 10% of the approved Overdraft limit.
- The current account is in debit, without an approved Overdraft limit.
- Credit facilities have expired, outstanding's have not been settled and the Bank has decided not to renew the facilities on credit grounds.
- Loan installments are defaulted.
- Interest is in arrears.

(ii) Irregular exposures are classified as below:

- Sub-Standard: Where any of the irregularities as above has been existing for a period exceeding 90 days but less than 180 days, or if, in the Bank's judgment, there is noticeable deterioration in the customer's financial condition.
- Doubtful Debts: Where any of the irregularities as above has been existing for a period exceeding 180 days but less than 365 days, or if, in the Bank's judgment, there is noticeable deterioration in the customer's financial condition.
- Bad Debts: Where any of the irregularities as above has existed for a period exceeding 365 days, or if, in the Bank's judgment, there is noticeable deterioration in the customer's financial condition.

(iii) Provision requirements:

Specific provisions are made as below:

- Sub-Standard exposures: 20%
- Doubtful Debts: 50%
- Bad Debts: 100%



1% General Provisions are made on all exposures not subject to a specific provision after deducting certain allowed collaterals as per the guidelines of The Central Bank of Kuwait. The Bank successfully implemented IFRS 9 system for provisioning approach. The Bank calculates expected credit losses based on CBK – IFRS9 methodology and the existing CBK methodology and applies the higher of the two.

This section discusses the part of the credit portfolio where customers have been delinquent in their repayments.

Disclosure on Past Due Loans - Ageing Criteria as on 31.12.2022		
Past Due Category	Outstanding amount (Kuwaiti Dinar 000)	% of Total Past Dues
0 ≤ 30	16,582	81.35%
31 ≤ 90	2,077	10.19%
91 ≤ 180	1,725	8.46%
181 ≤ 364	0	0.00%
1 year (365) ≤ 3 year	0	0.00%
Above 3 years	0	0.00%
Total	20,384	100%

The ratio of Non-Performing Loans (NPL) to credit exposure stood at 0.63% as on 31.12.2022.

(iv) Loan Loss Provisions as per International Financial Reporting Standards (IFRS-9):

According to CBK guidelines credit loss provisions are calculated based on IFRS9-CBK criteria, as well as CBK's existing criteria as explained above. The higher of the two applies.

According to the IFRS9 method, the Bank is required to maintain provisions for performing credits in Stage 1 where credits are not impaired. However, there are three staging levels/criteria in the process. The placement in a stage classification depends on multiple factors, i.e. the credit rating, class probability of default, delinquency record and other information of significant rise in credit risk. The objective is to have a forward-looking statistical estimate of loan loss provisions. The Bank uses its internal credit rating system and classification system to model credit risk to and calculate the probabilities of default. This is then used in the model with the Loss Given Default rate (1 minus the recovery rate) and the Exposure at Default.

IFRS-9 Stage 1 is for performing and regular credits. Stage 2 is for credits where the risk levels have risen and as per CBK, the company is at least 30 days delinquent. Stage-3 is where there is significant rise in credit risk and as per CBK at least 90 days delinquent. Customer lists classified as per IFRS9 Staging criteria are submitted to the Bank's Provisions Committee and IFRS-9 data is reported to the Central Bank of Kuwait. As the Bank has maintained more provisions as per the traditional CBK method, and as the higher of the two methods applies, the Bank has continued to make provisions based on the CBK method as described above.

B. Sovereign Exposures:

The Bank has a minimal sovereign exposure and the capital charge for that exposure is computed based on the guidelines issued by CBK from time to time.

C. Information on Credit Exposures as on 31.12.2022 (All figures in Kuwaiti Dinar 000)

Disclosure on Total Credit Risk Exposure (Funded & Non-Funded) Asset Category - wise Report: 31.12.2022.

	Asset Category	Funded Credit Risk Exposure	Non - Funded Risk Exposure	Total Credit Risk Exposure
1	Cash Items	181	0	181
2	Claims on Sovereigns	52,726	0	52,726
3	Claims on International organizations			
4	Claims on PSEs			
5	Claims on MDBs			
6	Claims on Banks	282,289	170	282,459
7	Claims on Corporates	316,081	43,467	359,548
8	Claims on Securitized Assets			
9	Credit Derivative claims			
10	Regulatory Retail			
11	Past Due Exposures	307	0	307
12	Other Assets	155,669	12,792	168,461
Total Credit Risk Exposure		807,253	56,429	863,682

Geographical Distribution of Exposures as on: 31st December 2022 (All figures in Kuwaiti Dinar 000)												
Geography	Loans & Advances: Commercial Facilities				Loans & Advances: Industrial loans				Total Loans and Advances			
	Dec 2022		Dec 2021		Dec 2022		Dec 2021		Dec 2022		Dec 2021	
Kuwait	255,214	100%	250,789	100%	147,005	100%	148,685	100%	402,219	100%	399,475	100%
Others	0	0 %	0	0 %	0	0 %	0	0 %	0	0 %	0	0 %
Grand Total	255,214	100%	250,789	100%	147,005	100%	148,685	100%	402,219	100%	399,475	100%

Residual Maturity of the Loans and Advances Portfolio as on 31st December 2022 (All figures in Kuwaiti Dinar 000)						
category	Loans & Advances at Commercial rates		Industrial Loan at encouraged rates		Total Portfolio	
	Dec 2022	Dec 2021	Dec 2022	Dec 2021	Dec 2022	Dec 2021
Up to 1 Month	39,425	55,887	60,838	39,301	100,263	95,188
1 to 3 Month	48,920	51,519	3,814	3,232	52,734	54,751
3 to 12 Month	99,237	62,616	22,098	19,582	121,335	82,198
Over 1 Year	16,153	15,377	110,565	121,400	126,718	136,777
Balance at Year end	203,735	185,399	197,315	183,515	401,050	368,914

Loans and Advances Portfolio by Sector as on 31st December 2022 (Outstanding Balances in Kuwaiti Dinar 000)				
Sector	2022		2021	
	Outstanding Balance	As a % of Total Exposure	Outstanding Balance	As a % of Total Exposure
Chemicals	17,205	4.28%	16,137	4.04%
Food & Beverages	33,724	8.38%	35,507	8.89%
Metal Products & Engineering	185,413	46.10%	160,955	40.29%
Construction & Building Material	80,973	20.13%	85,290	21.35%
Furniture	6,282	1.56%	4,262	1.07%
Textile	505	0.13%	445	0.11%
Paper & Printing	6,083	1.51%	9,698	2.43%
Government	0	0%	0	0.00%
Oil and Gas	69,837	17.36%	84,375	21.12%
Agriculture and Fishing	0	0%	0	0.00%
Others (Non-Financial)	0	0%	0	0.00%
Total Non-Financial Sectors	400,022	99.45%	396,669	99.30%
Financial Sectors	2,196	0.55%	2,805	0.70%
Total Sectors	402,218	100.00%	399,474	100.00%

Impaired Loans – Geographical Distribution as on 31st December 2022 (All figures in Kuwaiti Dinar 000)				
Geography	Outstanding loans		Provision provided for impaired loans	
	2022	2021	2022	2021
Kuwait	2,110	86	1,803	0
Other GCC countries	0	0	0	0
Grand total	2,110	86	1,803	0
Impaired loans as a percentage of outstanding loans portfolio	0.63%	0.027%		
Coverage percentage			85.50%	0%

Credit risk mitigation

Netting: In cases where the Bank's claims against customers are not settled, the Bank exercises set-off rights and pursues its claim on a net basis. During the course of any legal action, the Bank preserves its claim at the original net level, disregarding any partial payment(s) in order to avoid inadvertently triggering any legal issues that could otherwise arise.

Collateral Valuation and Management: In cases where collateral is to be taken, the Bank accepts standard collateral types such as cash, chattel mortgage over movable assets, mortgage over fixed assets, personal / corporate/ bank guarantees etc. In the case of mortgages, the Bank insists on being named the loss-payee in the related insurance policy. Where guarantees are taken, the Bank satisfies itself of the creditworthiness of the guarantor by obtaining full financial information about the guarantor, on the rationale that the Bank views the guarantor as though he were himself the primary obligor who would himself have to be eligible for the size of the commitment. In respect of bank guarantees, a formal guarantor line for the bank concerned is a pre-requisite.

Given its status as a specialized industrial finance institution, the Bank has sufficient skills and means in-house to evaluate projects, factories and other types of fixed assets under mortgage to the Bank.

Credit Risk Concentration: The Bank's charter limits its customer-base to manufacturing industries specifically to entities holding industrial license. Accordingly, there is a credit concentration in the industrial sector. Within that class, the Bank's portfolio is composed of customers spanning a wide variety of activity. Additionally, the Bank participates in syndicated loans to non-resident banks. The Bank's customer-base is not subject to any significant degree of cyclicality.

Credit Exposure after risk mitigation and credit conversion factor as on 31st December, 2022:

Credit Exposure after Credit Risk Mitigation (CRM) and credit conversion factor: 31.12.2022 (All figures in Kuwaiti Dinar 000)			
Asset Categories	Credit Exposure before CRM	Credit Exposure after CRM	Credit Risk Weighted Assets
Cash Items	181	181	0
Claims on Sovereigns	52,726	52,726	0
Claims on International organizations			0
Claims on PSEs			0
Claims on MDBs			0
Claims on Banks	282,459	282,459	58,803
Claims on Corporates	359,548	358,661	358,661
Claims on Securitized Assets			
Credit Derivative claims			
Regulatory Retail			
Past Due Exposures	307	307	307
Other Assets	168,460	168,460	168,460
Total Credit Risk Exposure	863,681	862,794	586,231

IFRS9 - EXPECTED CREDIT LOSSES - STAGEWISE - AS ON 31.12.2022		
Stages	Exposure (in Kuwaiti Dinar 000)	Expected Credit Loss (ECL) (in Kuwaiti Dinar 000)
Stage - 1	332,823	1,461
Stage - 2	150,850	5,919
Stage - 3	31,062	8,010
TOTAL	514,735	15,390

Market Risk Management:

Market Risk is the risk that the Bank's earnings or capital, or its ability to meet business objectives, will be adversely affected by changes in the level or volatility of market rates or prices such as interest rates, credit spreads, commodity prices, equity prices and foreign exchange rates. This risk is inherent in the financial instruments associated with our operations and/or activities including loans granted at commercial rates, deposits, securities and trading account assets, and derivatives. The majority of market risk exposure resides in the Bank's treasury and investment departments and market risk through the local equity holdings of the Bank's subsidiary KIPCO which are passive AFS holdings. IBK Risk Management's market risk objectives are to:

- Understand and control market risk by robust measurement and the setting of limits and monitoring of the same.
- Ensuring accuracy in the deal/settlement process.
- Facilitate business growth within a controlled and transparent risk management framework.
- Measure and report non-traded market risk.

Market risk for the Bank is relatively limited as, except for managing an FX book for its own account and its local industrial customers, and in rare cases using derivatives for hedging purposes, the Bank does not expose itself significantly to market risks. Appropriate limits have been established and treasury and investment activities are constantly monitored.

The focus at IBK is on industrial lending and on corporate banking. The Bank has a long-term investment in its wholly owned subsidiary (KIPCO) which invests in the local market and has a non-traded Kuwaiti equity portfolio. There is also an international component in the Bank's equity book which is invested in start-up ventures through reputed international managers. These investments are of long-term nature and are exposed to the downside risk of direct equity investments. These investments are diversified and individual investments are capped within limits. The Bank is not actively involved in equity or bond trading, trading in derivative products, options, commodities or most of the other market risk generating activities that commercial/investment banks usually engage in.

Market risk is monitored taking into consideration market analysis, market liquidity, business strategy and dealer experience. The Bank has limits on investment size, country, and counterparty exposure as well as on open positions by dealers and for the Bank as a whole. These limits help to reduce the absolute amounts of market risk. In addition, the Bank has established stop-loss limits for certain activities involving market risk.

Market risk for trading portfolio and foreign exchange exposures:

The Bank currently does not have a proprietary trading portfolio of any significance in foreign exchange or money market instruments. It does not have derivative trading exposures or exposures in commodities. However, all forward foreign exchange swap positions, used for hedging Bank's position have been considered as part of derivative exposures.



Market Risk

Disclosure on Market Risk - Capital Requirements as on 31.12.2022 (All figures in Kuwaiti Dinar 000)		
Type of Risk	Risk Weighted Exposure	Minimum Regulatory Capital Requirement
Interest Rate Risk	0	0
Equity Position Risk	0	0
Foreign Exchange Risk	4,575	595
Note: The Figures are match with Capital Adequacy computations - The Bank docs not have any exposures in the Trading baok.		

Equity position in the banking book:

Given the specialized nature of the Bank and under its constitution, the Bank invests in equity of companies both for strategic and relationship reasons as well as to generate capital gains. The Direct Investments and Promotions department manages the equities portfolio which has local and international dimensions. It makes investments in new ventures and funds with the objective of making capital gains in the international private equity markets. The equities portfolio for investments within Kuwait is managed by “Kuwait Industrial Projects Company KSCC”(KIPCO), a wholly owned subsidiary of the Industrial Bank of Kuwait, whose financial statements are consolidated with those of the Bank.

Strategic investments are those that fit in with the Bank’s objectives of long-term industrial development and expected to benefit the Bank in terms of reach and network presence. Strategic investments in equities may be made to ensure growth and development of existing companies, investment in new ventures as well as to exercise control over companies which have turned severely delinquent and are underperforming and thus have to be taken over. Equity investments may be made by KIPCO as pre-IPO placements or may be made directly through the stock exchange for listed companies. Since these are long term investments, this is a passive investment portfolio with valuations subject to the movements of the market. Following world and regional trends, the Kuwait Stock Exchange index continues to witness high volatility.

Impaired investments form a small component of the equity’s portfolio. This is retained to exercise remedial control over companies which have turned severely delinquent, are underperforming and thus have to be taken over. These are under management of KIPCO and relate to domestic exposures only.

Differentiation is made between the component of the portfolio which has been made with the objective of making capital gains and those that have been made for strategic reasons mentioned above. It is recognized that equity investments carry considerable downside risk as well as expectation of high returns. Risk Management rates all investments made by the Direct Investments and Promotions department using a rating methodology for private equity developed internally by the risk management department.

Interest Rate Risk Management:

The overall goal is to manage interest rate sensitivity so that movements in interest rates do not adversely affect net Interest Income. Interest rate risk is measured as the potential volatility in Net Interest Income caused by changes in market interest rates. The Bank uses interest rate gap analysis to measure the interest rate sensitivity of its earnings caused by re-pricing mismatches between rate sensitive assets, liabilities and off-balance sheet positions.

The Bank has received a 20-year loan from the Government of Kuwait (initiated in 1973 and rolled over) which is partly priced at the fixed rate of 1/2 % per annum to the extent of the total industrial loans and commitments made by the Bank. In 2007, this was extended by another Kuwaiti Dinar 100 million by the Government. This low-cost source is a very important component of the Bank's total cost base. The Bank engages in subsidized fixed rate lending to the industrial sector. To that extent, fixed cost sources and applications of funds are outside the framework of interest rate risk calculations.

Substantially all remaining Kuwaiti Dinar loans are floating and priced at the Central Bank discount rate plus margin and are re-priced when the Central Bank changes the discount rate.

Around 90% of the Bank's assets are denominated in Kuwaiti Dinars. Among other currencies, the US Dollar is significant. As to all other currencies, the exposure, though not significant, is nonetheless generally matched in each of the maturity buckets.

From time to time, stress tests are conducted to gauge the impact on income under stress conditions e.g. sensitivity to a 1% reduction in the discount rate of the Central Bank.

Counterparty Credit Risk

Since the Bank may deal with other banks and financial institutions in foreign exchange forward contracts / swaps used for hedging bank's exposure, the Bank computes the capital charge for the notional exposure and the mark to market positions of those derivatives, using the Current Exposure Method (CEM) guidelines issued by CBK in this regard. The total capital charge for such exposures is Nil.

Industrial Bank of Kuwait	
Disclosure on Counterparty Credit Risk as on 31st December 2022 (All figures in Kuwaiti Dinar)	
Description	Total Weighted Value
Notional Exposure of Foreign Exchange Forward Contracts	9,510
Positive MTM	75

Interest rate risk in the banking book

Interest rate risk in the banking book arises from the mismatches between assets and liabilities, in the various maturity buckets. These are however kept within prescribed limits set for each maturity bucket. There is a downside risk in providing hedging as the Kuwaiti Dinar market lacks depth, with limited number of players in the interbank Kuwaiti Dinar market. Interbank activity is sporadic beyond short maturities. Central Bank of Kuwait intervention bonds, direct one-month intervention and treasury bonds are the only available instruments for deploying excess liquidity. As a result, CBK interventions can have a major impact on KIBOR rates. The lack of interest rate hedging instruments in the Kuwaiti Dinar market is a concern. However, the Bank's overall exposure to interest rate risk is mitigated by the following factors: (i) active and effective management of the Treasury investments portfolio; (ii) commercial loans are priced on floating rate basis; and (iii) project loans are funded by the Government loan and are thus market-independent.

Interest Rate Sensitivity – 31st December 2022 (Currency: Kuwaiti Dinar) (All figures in Kuwaiti Dinar 000)			
	Up to 1 Year	1 - 5 Years	Over 5 Years
Interest Earning Assets	385,324	97,875	13,689
Interest Bearing Liabilities	1,993	262,765	0
GAP	383,331	(164,890)	13,689
Cumulative GAP	383,331	218,441	232,130
Sensitivity to 1% interest rate change in the next 1 year			2,321

Interest Rate Sensitivity – 31st December 2022 (Foreign Currency: USD) (All figures in KD '000)			
	Up to 1 Year	1 - 5 Years	Over 5 Years
Interest Earning Assets	25,240	0	0
Interest Bearing Liabilities	65,568	0	0
GAP	(40,328)	0	0
Cumulative GAP	(40,328)	(40,328)	(40,328)
Sensitivity to 1% interest rate change (in KD terms, after conversion)			(403)
Overall Interest Rate Sensitivity (Combine Position) for 1% Interest Rate Change			1,918

Liquidity Risk Management:

Liquidity risk is the risk to earnings or capital arising from a bank's inability to meet its obligations or commitments to a customer, creditor, or investor as they fall due without incurring unacceptable losses. It generally arises from a failure to recognize or address changes in market conditions that affect the ability to liquidate assets (i.e. convert them to cash) quickly and with minimal loss in value.

The primary objective for IBK is to ensure that the Bank has sufficient liquidity to meet its obligations in both normal and stressed conditions without having to make emergency and unplanned sales of assets or be forced to borrow expensive funds under emergency conditions.

The Board has established an appropriate liquidity policy for the management of the Bank's funding and liquidity management requirements. The Bank's Asset and Liability Committee ("ALCO") oversees the implementation of the liquidity policy and risk management plays an active role with the CRO being a part of the Committee and the risk management department performing a risk-monitoring role. The Bank's senior management manages liquidity risk effectively in the context of the Bank's business plan and long-term funding strategy, taking into account prevailing economic and financial conditions and currency needs. To this end, the Board has set limit and tolerance levels for its liquidity risk appetite which is monitored by risk management and reported regularly to the Board Risk Committee.

The Bank through its Treasury Department manages liquidity risk on a continuous basis within established liquidity risk management policies and limits. This involves monitoring and managing several liquidity metrics, a portfolio of high-quality liquid assets, reserves, and the continuous monitoring of forecast and actual cash flows together with institutional relationships as funding sources. In addition, the Bank uses liquidity ratios (LCR, NSFR) and liquidity scenarios, regular and stressed together with volatility tracking, as key metrics to establish its liquidity risk tolerance levels, which are built into the risk appetite statement. These metrics measure the Bank's ability to fulfill all its payment obligations stemming from ongoing business operations under various scenarios.

The Bank's Treasury Department is responsible for maintaining effective communication channels within the Bank's operational and business areas to alert the funding desks of imminent funding requirements including loan drawdowns, deposit withdrawals and off-balance sheet commitments. Business departments provide Treasury with their forecasts and actual trends within ALCO.

The Risk Management function periodically reviews liquidity risk policies and procedures and the adequacy of these policies and the overall liquidity management process. It also monitors and reports adherence to the various liquidity ratios and limits, both internal and regulatory on a regular basis. It also monitors asset liability gaps and adherence to limits. A strong plus in the term structure of funding is the long-term loan from the government available on a roll over basis that funds the long-term developmental finance provided by the bank, which obviates the need to use short term liabilities to fund long term assets, thus covering risks. The Bank maintains excess liquidity in the form of cash and unencumbered high-quality liquid securities that together serve as the Bank's primary means of liquidity risk mitigation.



Stress Testing

The Bank's Liquidity management policies and limits ensure that liquidity is maintained at sufficiently comfortable levels to support operations and meet payment demands even under stressed market conditions. Stress testing is integrated into the Bank's liquidity risk management and assesses the Bank's ability to generate sufficient liquidity under extreme conditions and is a key input when defining liquidity targets and limits.

Other Qualitative Information

The Liquidity Coverage Ratio (LCR) is a Basel III metric that measures the sufficiency of High-Quality Liquid Assets (HQLA) available to meet net short-term financial obligations over a thirty-day period in an acute stress scenario. HQLAs are assets which can be easily and immediately converted into cash at little or no loss of value.

In December 2014, CBK released the final guideline on "Liquidity Coverage Ratio Disclosure Standards", requiring banks to disclose the LCR ratio beginning in Q1, 2016. LCR is disclosed using CBK's template and is calculated using the average of daily positions during the quarter.

The LCR report for the Bank is prepared in accordance with the public/market disclosure requirements and guidelines in respect of the Liquidity Coverage Ratio Disclosure Standards as published by Central Bank of Kuwait ("CBK") in December 2014.

The Net stable funding ratio (NSFR) is designed to promote medium- and long-term stable funding of the assets and off-balance-sheet activities over a one-year time horizon. Effective January 2022, Central Bank of Kuwait ("CBK") has increased minimum LCR and NSFR levels from 80% to 90% for both the ratios.

As at 31 December 2022, the Industrial Bank of Kuwait's short-term Liquidity Coverage Ratio (LCR) and the longer-term Net Stable Funding Ratio (NSFR) stood at well above 90%, at 586.31% and 151.81% respectively. Thus, the Bank is in a good position to manage any short-term funding stress should they arise.

Accounting policies: Financial assets which are intended to be held for an indefinite period of time and which are not classified as at fair value through statement of income, loans and receivables and Held to Maturity assets are classified as Available for Sale investments. Such investments are reported at fair value, determined on a quarterly basis and marked to market where market valuations are available. Unlisted equity participations or private investments in Funds whose fair value cannot be reliably determined are carried at cost less impairment. Other Available-for-Sale investments are initially recognized at cost and subsequently re-measured at fair value with unrealized gains or losses recognized directly in Other Comprehensive Income. The fair value investments listed on the stock exchange are based on their quoted market price (bid price) at the balance sheet date without any deduction for transaction cost. All classifications of investments are based on International Financial Reporting Standards.

Disclosure on Liquidity Coverage Ratio (LCR):

Based on the CBK guidelines on Liquidity Coverage Ratio, the LCR disclosure for the period ended 31.12.2022 is as under

Group	ID	Description	Values (Kuwaiti Dinar 000)	Values After Flow Rates (Kuwaiti Dinar 000)
HIGH QUALITY LIQUID ASSETS	1	Total High Quality Liquid Assets (Before Revisions)	-	50,463
CASH OUTFLOWS	2	Retail Deposits And Smes:	20,204	4,218
	3	Stable Deposits	-	-
	4	Less Stable Deposits	14,507	3,031
	5	Other Unsecured Deposits And Funds From Wholesale Funding Excluding Deposits of Smes Customers:	67,432	50,784
	6	Operational Deposits	-	-
	7	Non-Operational (Other Unsecured Funding)	67,432	50,784
	8	Secured Funding	-	-
	9	Other Cash Outflows, Including:	116,780	31,087
	10	From Derivatives	-	-
	11	From Asset-Backed Securities And Commercial Papers (Assuming Non-Feasibility of Re-Financing)	-	-
	12	> Committed Credit And Liquidity Drawbacks	116,780	31,087
	13	Other Prospective Future Funding Obligations	75,384	3,769
	14	Other Cash Contractual Outflows	55	55
	15	Total Cash Outflows	-	89,914
CASH INFLOWS	16	Secured Lending Transactions	-	-
	17	Cash Inflows From Performing Loans	607,462	303,731
	18	Other Cash Inflows	261	261
	19	Total Cash Inflow	607,723	303,992
LIQUIDITY COVERAGE RATIO	20	Total High-Quality Liquid Assets (After Revisions)	-	50,463
	21	Net Cash Outflows	-	22,478
	22	Liquidity Coverage Ratio	-	% 229.9

Disclosure on Net Stable Funding Ratio (NSFR):

Based on the guidelines received from Central Bank of Kuwait, on Net Stable Funding Ratio, the disclosure details are as under:

Table 4: NSFR Common Disclosure Template for the period ending on: 31.12.2022 (All values in Kuwaiti Dinar 000)						
Unweighted Values (before applying relevant factors)						
Sr	Item	No specified maturity	Less than 6 Months	More than 6 months & less than 1 year	Over 1 Year	Total weighted value
Available Stable Funding (ASF):						
1	Capital:					
2	* Regulatory Capital	312,086				312,086
3	* Other Capital Instruments	-	-	-	-	-
4	Retail Deposits and Deposits from small business customers:					
5	* Stable Deposits	-	-	-	-	-
6	* Less Stable Deposits	7,639	403	63	0	419
7	Wholesale funding:					
8	* Operational Deposits	-	-	-	-	-
9	* Other wholesale funding	19,318	20,163	20,562	384,813	399,049
10	Other Liabilities:					
11	* NSFR Derivative Liabilities	-	-	-	-	-
12	* All other liabilities not included in the above categories	108,134	8,551	21	-	-
13	Total ASF	447,177	29,117	20,646	384,813	711,555
Required Stable Funding (RSF):						
14	Total NSFR high - quality liquid assets (HQLA)	53,095	-	500	-	2,663
15	Deposits held at other financial institutions for operational purposes	-	-	-	-	-
16	Performing Loans & Securities:					
17	* Performing Loans to financial institutions secured by Level 1 HQLA	7,773	226,765	25,000	-	35,177
18	* Performing loans to financial institutions secured by non - Level 1 HQLA and unsecured performing loans to financial institutions	-	-	-	-	-

Table 4: NSFR Common Disclosure Template for the period ending on: 31.12.2022 (All values in Kuwaiti Dinar 000)						
	Unweighted Values (before applying relevant factors)					
Sr	Item	No specified maturity	Less than 6 Months	More than 6 months & less than 1 year	Over 1 Year	Total weighted value
19	* Performing loans to non - financial corporate clients, loans to retail and small business customers, and loans to sovereigns, central banks and PSE's of which:	68	97,151	78,030	157,596	245,186
20	** With a risk weight of less than or equal to 35% as per Capital Adequacy Ratio - Basel 3 Guidelines	-	-	-	-	-
21	* Performing residential mortgages, of which:	-	-	-	-	-
22	** With a risk weight of less than or equal to 35% under CBK Capital Adequacy Ratio - Basel III Guidelines	-	-	-	-	-
23	* Securities that are not in default and do not quality as HQLA, including exchange - traded equities	-	-	-	-	-
24	Other Assets:					
25	* Physical traded commodities, including gold	-	-	-	-	-
26	* Assets posted as initial margin for derivative contracts and contributions to default funds of CCPs	-	-	-	-	-
27	* NSFR derivative assets	-	-	-	-	-
28	* NSFR derivative liabilities before deduction of variation margin posted	-	-	-	-	-
29	* All other assets not included in the above categories	-	8,517	-	178,091	182,350
30	Off - Balance Sheet Items	-	66,932	-	-	3,347
31	Total RSF	60,935	399,365	103,530	335,687	468,722
32	NSFR (%)					% 151.81

Note: Quantitative Information nothing to investment is available in the financial statements.



Operational Risk Management:

Operational risk is the risk of direct or indirect losses resulting from human factors, external events, and inadequate or failed internal processes and systems. Operational risks are inherent in the Bank`s operations. Major sources of operational risk include: operational process reliability, IT security, outsourcing of operations, dependence on key suppliers, implementation of strategic change, integration of acquisitions, fraud, human error, customer service quality, regulatory compliance, recruitment, training and retention of staff, and social and environmental impacts. The Bank is committed to the identification, measurement and management of operational risks. Such risks are managed through bank-wide or line of business specific policies and procedures, controls, and monitoring tools. A critical element is the identification of business specific Key Risk Indicators (KRIs) and their monitoring across business lines. In particular, Risk Management has worked closely with business units and implemented improved management approaches for operational risk, including self-assessment formats and surveys, to focus on critical risk areas, to strengthen control, and minimize operating losses.

The Bank`s operational risk management framework aims to:

- Understand and report the operational risks being taken by the Bank.
- Capture and report KRIs and operational errors made.
- Understand and minimize the frequency and impact, on a cost benefit basis, of Operational risk events.
- Manage residual exposures using insurance.

An operational risk self-assessment process is in place with focus on Key Risk Indicators that are specific to the operational area. Risk Management and Internal Audit departments play a vital role in reviewing and maintaining the integrity of the control environment. Additionally, the Bank has covered certain specific areas of operational risk that cannot be controlled internally, through insurance policies.

Information Technology Management

Procedures are in place to safeguard the confidentiality and integrity of stored data and information. These include:

- The installation of firewall systems to protect the network from external interference.
- Access controls over application systems.
- Compliance with the principle of dual control in operating procedures.
- Various monitoring and internal control processes.

- Online data replication process on independent servers.
- Onsite contingency planning.
- Offsite business continuity and disaster recovery programs.

The Bank is in the process of substantially upgrading the IT infrastructure including transactional, data warehousing and risk management solutions in order to form the base for future growth opportunities.

Information Security:

To improve the efficiency and service delivery to customers, adoption of newer technology in banking is increasing. This has brought with it Information security risks that are on the rise in Gulf Region. Information security risks such as Cyber - attacks using malwares, ransomware and internal threats may affect the banking operations and lead to monitory and reputational loss.

To mitigate these information security risks, IBK has established a dedicated Information Security Unit reporting to the Chief Risk Officer. The Information Security Unit monitors and assesses the Bank's Technology and Information related risks and ensures controls and adherence to Industry standards and Central Bank of Kuwait guidance to mitigate these risks related to Information Security.

Capital allocation for Operational Risk:

For the purpose of capital adequacy under Basel III, the Bank presently follows the Standardized Approach of measurement for calculating its operational risk capital charge based on three years' gross income. This is calculated as per the CBK guidelines. The Bank maintains a database of its operational losses. The total amount of capital charge for operational risk for FY2022 is: Kuwaiti Dinar 7.158 Million.

Disclosure on Operational Risk (Using Standardized Approach) as on 31st December 2022	
Description	Value (Kuwaiti Dinar 000)
Total Operational Risk Weighted Assets	55,063
Total Capital Charge	7,158
Methodology: Based on the average of last 3 years gross income, the approach as suggested by Central Bank of Kuwait / Basel - III	



Anti-Money Laundering Policies:

The Bank is subject to the rules and regulations of its regulator, the CBK, in the conduct of banking business. The Bank is bound by CBK Instruction No. (2/RB/RBA/432/2019) and Law No. 106 of 2013 and subsequent amendments which have been designed to combat money laundering.

The Bank has internal written policies and procedures authorized by its Board of Directors, designed to prevent, detect and combat money laundering. Its anti-money laundering systems include processes, policies, personnel and training, documentation, reporting, and control systems. In 2013, based on new guidelines of the Central Bank of Kuwait the AML policy and procedure was updated to cover the latest developments.

The Bank is required to obtain from its customers, copies of the license and registration at the time of opening customer accounts. The Bank follows Know Your Customer ("KYC") processes, and the identity of the Bank's customers is established ab initio through official documents as above. Customer records are preserved for a period of 5 years after the termination of the banking relationship. Suspicious transactions are tracked. Staff training and awareness programs are conducted from time to time. The Bank has implemented a state of the art automated anti-money laundering system to track and analyze suspicious transactions. The Bank has initiated the process of becoming FATCA compliant.

New guidelines of the Central Bank of Kuwait require all customers of the Bank to be rated for money laundering and terrorist financing risks. An internal methodology for AML risk assessment for companies and businesses has been developed by risk management and has been incorporated in Board approved policies of AML-TF.

Information related to the Bank's remuneration policy:

Overview of the key features and objectives of the remuneration policy:

The Bank's Remuneration Policy is designed to attract and retain highly qualified, skilled, and knowledgeable professionals and incorporates all the requirements of the CBK as mentioned within its corporate governance instructions. The Policy includes all necessary aspects and components of financial remuneration taking into account reinforcing the Bank's performance objectives and effective risk management. The Bank's Remuneration Policy incorporates all the requirements of the CBK as mentioned within its corporate governance instructions,

The Bank's Board, based on the Board Nominations and Remuneration Committee (NRC) recommendations, approves and modifies the Bank's remuneration policy and its design, and reviews the process of its implementation to ensure that it is operating as intended.

Remuneration components: The various remuneration components are combined to ensure an appropriate and balanced remuneration package that reflects the characteristics of the business unit, the employee's grade in the Bank and the job function as well as market practice concerning the prevailing remunerations level. The employee remuneration components are:

1. Fixed remuneration,

2. Performance based Annual Incentives for all staff (STI),

3. Risk and Return Based Long-Term Incentives for Senior Staff (LTI),

4. Other benefits, and

5. End of service payments.

The fixed remuneration is determined on the basis of the role of the individual employee, including job responsibility, job complexity, grade, performance and local market conditions and the applicable laws.

The performance-based incentives (STI and LTI) are designed to motivate and reward the employees to achieve the goals and objectives of the Bank as per the strategy and annual plans of the Bank. Performance based incentives are disbursed as an annual cash bonus for all staff (STI) and deferred cash bonus for the senior staff (LTI). The incentive schemes are linked with a balanced mix of performance indicators at the corporate level, department / unit level and the employee level. The primary goal of the STI is to align the incentive with the Bank's annual performance and individual contributions. The LTI for the senior staff is designed to encourage sustainable and risk adjusted long term performance of the Bank. The LTI scheme is applicable from 2015 onwards.

The Bank has introduced a formal performance management process for evaluating and measuring staff performance at all levels. In the beginning of the year, the staff and their performance managers plan and document the annual performance goals (KPIs), required competencies and personal development plans for the staff. At the annual performance appraisal interview, the performance managers and the reviewers evaluate and document performance against the documented goals. Decisions on adjustment of the employee's fixed salary and on performance based incentives are made on the basis of the annual performance review.

Other benefits like annual leave, medical leave and other leaves, medical insurance, annual tickets, and allowances are provided on the basis of individual employment contracts, local market practice subject to the applicable laws. End of service payments are payable in accordance with the employment contract subject to the applicable laws.

The CEO oversees the implementation of the remuneration system of the employees as per the approved policy, including the design and related procedures. The Board NRC periodically evaluates the sufficiency and effectiveness of the Remuneration Policy to ensure its alignment with the Bank's objectives. The NRC assists the Board to conduct an independent annual review of the Bank's compliance with the Remuneration Policy.



Nomination and Remuneration Committee (NRC): The role of the Nomination and Remuneration Committee is to assist the Board of Directors in fulfilling its oversight on the identification of persons eligible for membership of the Board of Directors; the Committee will submit its recommendations to the Board regarding candidates to the different committees. The committee is also responsible for the draft, review and update of the Remuneration policy, and assist the board in evaluating the effectiveness and fairness of the policy, and to ensure that the policy is appropriate with the strategic objectives of the Bank. The NRC conducts regular revision of Remuneration Policy and makes recommendations on any updates to the Board. It carries out regular evaluation of the sufficiency and effectiveness of Remuneration Policy to ensure alignment with Bank's objectives. It makes recommendations to the Board regarding the level and components of the remuneration of the CEO and his direct reports as well as the Bank's executive staff. It works closely with the Bank's Risk Committee and the CRO in order to evaluate the incentives proposed by the remuneration system.

The Bank consulted Ernest & Young during 2014 for structuring an incentive policy. The Bank follows a Board approved Remuneration Committee Charter and Procedures, which was approved in 2014. Since FY2015, the Bank has been implementing revised performance management system for all employees.

Risk Assessment: The main business of the Bank is in the nature of a combination of development and commercial banking supplemented by an investment's portfolio. It also manages two government funded portfolios related to small scale industry and handicrafts and agricultural financing. It is risk management department's assessment that the remuneration policy of the bank evenly weights the long and the medium term results and this is well documented and recorded in the new performance appraisal system (PMS) through a SMART process (Specific, Measurable, Achievable, Relevant and Time based) through detailed and quantified KPIs (Key performance indicators), continuous performance monitoring and coaching, periodic reviews and final performance based on financial results as well as defined qualitative objectives. Senior management is judged by the Remuneration Committee on a distribution and combination of return on investment, defined risk measures including CAMEL-BCOM components, and business elements. The Bank took measures to ensure that no material risk taker or the senior management approached areas for short term gains such as financial market trading or areas subject to high risk and potential reward or indulged in excessive risk taking. All proposals of the Bank and the overall portfolio of the Bank was assessed independently by risk management and reported to the Board Risk Committee.

The performance review and the remuneration for control departments such as Internal Audit and Risk Management is determined by the Board Audit Committee and the Board Risk Committee respectively. The performance criteria for the control departments are recorded

through specific Key Performance Indicators or KPIs relevant for these departments and none of the KPIs are based on a business target such as revenue, profits or related targets. As per corporate governance principles, the control departments do not report to the CEO and the executive arm of the Bank but directly to the Board and the remuneration is determined accordingly.

With respect to the determination of relationship between performance and levels of remuneration, the Bank has established adequate links and weights for individual performance, business unit performance and corporate performance according to the different levels of bank staff with assistance of the external consultants. Corporate performance in turn, takes measures relating to ROE, assets portfolio and defined risk measures.

Variable remuneration for senior staff has short term and long-term components. The long-term component is vested after 3 years from the date of granting. The vesting amount may increase or decrease according to the 3-year average performance in terms of EPS and risk measures. The Bank has only cash based variable remuneration and does not provide stock options or shares. Corporate performance targets have a ROE weight of 40%, asset portfolio performance of 30% and risk rating measure of 30%, as designed by E&Y consultants. All staff of the Bank is eligible for performance based variable incentives. Only senior management and staff are eligible for long term variable incentives. There were no sign-on awards provided to any staff.

Senior Management is defined as the CEO and his executive team of DCEOs. Reporting to the CEO, is the DCEO – Development Finance, the DCEO – Commercial Banking and Investments. Material risk takers include the heads of revenue generating business departments which are Project Finance, Commercial Banking, Direct Investments and Treasury. Included under the control departments is the Chief Risk Officer, Head of Internal Audit, Head of Financial Control Unit, Head of AML, Head of Accounts and the Compliance officer.



Remuneration paid in 2022 (in Kuwaiti Dinar)

Category 1: CEO & Senior Management - 3 employees

Fixed

Unrestricted Cash-based	Deferred Cash-based	Unrestricted Other
445,606	3,165	11,055

Variable

Unrestricted Cash-based	Deferred Cash-based	Unrestricted Other
	474,943	

Category 2: Material Risk Takers - 6 employees

Fixed

Unrestricted Cash-based	Deferred Cash-based	Unrestricted Other
340,656	8,806	22,770

Variable

Unrestricted Cash-based	Deferred Cash-based	Unrestricted Other
	139,384	

Category 3: Financial & Risk Control Staff - 6 employees

Fixed

Unrestricted Cash-based	Deferred Cash-based	Unrestricted Other
319,663	8,530	10,627

Variable

Unrestricted Cash-based	Deferred Cash-based	Unrestricted Other
	138,959	


IBK

Consolidated Financial Statements And Independent Auditor's Report For The

YEAR ENDED 31 DECEMBER 2022



CONTENTS	PAGE
Independent auditor's report	93
Consolidated statement of financial position	96
Consolidated statement of profit or loss and other comprehensive income	97
Consolidated statement of changes in equity	98
Consolidated statement of cash flows	99
Notes to the consolidated financial statements	100



Ernst & Young
Al Aiban, Al Osaimi & Partners
P.O. Box 74
18–20th Floor, Baitak Tower
Ahmed Al Jaber Street
Safat Square 13001, Kuwait

Tel: +965 2295 5000
Fax: +965 2245 6419
kuwait@kw.ey.com
ey.com/mena

INDEPENDENT AUDITORS' REPORT TO THE SHAREHOLDERS OF THE INDUSTRIAL BANK OF KUWAIT K.S.C.C.

Report on the Audit of the Consolidated Financial Statements

Opinion

We have audited the consolidated financial statements of The Industrial Bank of Kuwait K.S.C.C. (the "Bank") and its subsidiaries (together, the "Group"), which comprise the consolidated statement of financial position as at 31 December 2022 , and the related consolidated statement of profit or loss and other comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the year then ended, and notes to the consolidated financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at 31 December 2022, and its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs), as adopted by the Central Bank of Kuwait for use by the State of Kuwait.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Consolidated Financial Statements* section of our report. We are independent of the Group in accordance with the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants (including International Independence Standards)* (IESBA Code), and we have fulfilled our other ethical responsibilities in accordance with the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other information included in the Annual Report of the Group for the year ended 31 December 2022

Management is responsible for the other information. Other information consists of the information included in Annual Report of the Bank for the year ended 31 December 2022, other than the consolidated financial statements and our auditors' report thereon. We have obtained the report of the Bank's Board of Directors, prior to the date of our auditor's report, and we expect to obtain the remaining sections of the Group's Annual Report for the year ended 31 December 2022 after the date of our auditor's report.

Our opinion on the consolidated financial statements does not cover the other information and we do not and will not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained during the audit, or otherwise appears to be materially misstated. If, based on the work we have performed on the other information that we obtained prior to the date of this auditor's report, we conclude that there is a material misstatement in this other information; we are required to report that fact. We have nothing to report in this regard.

EY
Building a better working world

INDEPENDENT AUDITORS' REPORT TO THE SHAREHOLDERS OF THE INDUSTRIAL BANK OF KUWAIT K.S.C.C. (continued)

Report on the Audit of the Consolidated Financial Statements (continued)

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with IFRSs as adopted for use by the State of Kuwait, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group's financial reporting process.

Auditors' Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

Auditors' Responsibilities for the Audit of the Consolidated Financial Statements (continued)

- Conclude on the appropriateness of management's use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the consolidated financial



Building a better working world

INDEPENDENT AUDITORS' REPORT TO THE SHAREHOLDERS OF THE INDUSTRIAL BANK OF KUWAIT K.S.C.C. (continued)

Report on the Audit of the Consolidated Financial Statements (continued)

Auditors' Responsibilities for the Audit of the Consolidated Financial Statements (continued)

statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Group to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on Other Legal and Regulatory Requirements

Furthermore, in our opinion proper books of account have been kept by the Bank and the consolidated financial statements, together with the contents of the report of the Bank's Board of Directors relating to these consolidated financial statements, are in accordance therewith. We further report that we have obtained all the information and explanations that we required for the purpose of our audit and that the consolidated financial statements incorporate all information that is required by the Capital Adequacy Regulations and Financial Leverage Ratio Regulations issued by the Central Bank of Kuwait ("CBK") as stipulated in CBK Circular Nos. 2/RB, RBA/336/2014 dated 24 June 2014, and its amendments, and 2/B.S. 342/2014 dated 21 October 2014, and its amendments, the Companies Law No 1 of 2016, as amended, and its executive regulations, as amended, and by the Bank's Memorandum of Incorporation and Articles of Association, that an inventory was duly carried out and that, to the best of our knowledge and belief, no violations of the Capital Adequacy Regulations and Financial Leverage Ratio Regulations issued by the CBK as stipulated in CBK Circular Nos. 2/RB, RBA /336/2014 dated 24 June 2014, and its amendments and 2/B.S. 342/2014 dated 21 October 2014, and its amendments, respectively, the Companies Law No 1 of 2016, as amended, and its executive regulations, as amended, or of the Bank's Memorandum of Incorporation and Articles of Association, have occurred during the year ended 31 December 2022 that might have had a material effect on the business of the Bank or on its financial position.

We further report that, during the course of our audit, to the best of our knowledge and belief, we have not become aware of any violations of the provisions of Law No. 32 of 1968, as amended, concerning currency, the Central Bank of Kuwait and the organisation of banking business, and its related regulations during the year ended 31 December 2022 that might have had a material effect on the business of the Bank or on its financial position.

SHEIKHA AL FULAIJ
LICENCE NO. 289 A
EY
AL-AIBAN, AL-OSAIMI & PARTNERS
10 April 2023
Kuwait

Consolidated statement of financial position as at December 31, 2022

	Notes	2022 KD'000	2021 KD'000
Assets			
Cash and cash equivalents	3	20,610	61,198
Treasury bills and bonds	4	47,935	70,179
Deposits with banks and other financial institutions		265,003	183,888
Financial assets at fair value through profit or loss	5	137,391	132,341
Loans and advances to customers	6	289,091	278,450
Investments in associates	7	7,118	6,935
Other assets		8,201	4,045
Property and equipment		4,608	5,103
Total assets		779,957	742,139
Liabilities			
Deposits from banks and other financial institutions		22,481	36,363
Deposits from customers		45,558	48,259
Other liabilities	8	22,195	29,380
Term loans	9	84,813	46,592
Loan from the State of Kuwait	9	300,000	300,000
Total liabilities		475,047	460,594
Equity			
Share capital	10	20,000	20,000
Treasury shares reserve		152	152
Statutory reserve	10	45,210	42,177
Voluntary reserve	10	149,499	146,466
Retained earnings		90,049	72,750
Total equity		304,910	281,545
Total liabilities and equity		779,957	742,139

The accompanying notes an integral part of these consolidated financial statements.

Musab Salem Al Nisf
Chairman

Ali A. Khajah
Chief Executive Officer



Consolidated statement of profit or loss and other comprehensive income for the year ended December 31, 2022

	Notes	2022 KD'000	2021 KD'000
Interest income		20,210	15,864
Interest expense		(5,090)	(3,503)
Net interest income		15,120	12,361
Fee and commission income		4,205	4,382
Foreign exchange gain		758	3,605
Net investment income	11	10,020	31,915
Recoveries from loans written-off	6	15,733	10,192
Other income		153	83
Total income		45,989	62,538
Staff costs	12	(9,902)	(10,788)
Depreciation		(655)	(643)
Other expenses	13	(3,286)	(2,858)
Provision for credit losses	6	(1,916)	(8,768)
Other provisions reversal (charged)		103	(35)
Total expenses		(15,656)	(23,092)
Profit for the year before contribution to Kuwait Foundation for the Advancement of Sciences ("KFAS"), Board of Directors' remuneration and Zakat		30,333	39,446
Contribution to KFAS		(298)	(382)
Board of Directors' remuneration	14	(367)	(322)
Zakat		(303)	(391)
Net profit for the year		29,365	38,351
Other comprehensive income for the year		-	-
Total comprehensive income for the year		29,365	38,351
Basic and diluted earnings per share (KD)	15	14.683	19.176

The accompanying notes an integral part of these consolidated financial statements.

Industrial Kuwait K.S.C. (closed) and its subsidiaries

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDING DECEMBER 31, 2022

	Share capital	Treasury shares	Treasury shares Reserve	Statutory reserve	Voluntary reserve	Retained earnings	Total
	KD'000	KD'000	KD'000	KD'000	KD'000	KD'000	KD'000
Balance at 1 January 2022	20,000	-	152	42,177	146,466	72,750	281,545
Total comprehensive income for the year	-	-	-	-	-	29,365	29,365
Transfer to reserves (note 10)	-	-	-	3,033	3,033	(6,066)	-
Dividends for 2021 (note 10)	-	-	-	-	-	(6,000)	(6,000)
Balance at 31 December 2022	20,000	-	152	45,210	149,499	90,049	304,910
Balance at 1 January 2021	20,000	-	-	38,232	142,521	47,289	248,042
Total comprehensive income for the year	-	-	-	-	-	38,351	38,351
Transfer to reserves (note 10)	-	-	-	3,945	3,945	(7,890)	-
Dividends for 2020 (note 10)	-	-	-	-	-	(5,000)	(5,000)
Purchase of treasury shares (note 10)	-	(3,163)	-	-	-	-	(3,163)
Redemption of treasury shares (note 10)	-	3,163	152	-	-	-	3,315
Balance at 31 December 2021	20,000	-	152	42,177	146,466	72,750	281,545

The accompanying notes an integral part of these consolidated financial statements.



Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Consolidated statement of cash flows for the year ending December 31, 2022

	Notes	2022 KD'000	2021 KD'000
Cash flows from operating activities			
Net profit for the year before contribution to KFAS, directors' remuneration and Zakat		30,333	39,446
Adjustments for:			
Foreign exchange gain		(758)	(3,605)
Dividend income	11	(500)	(276)
Realised gain on financial assets at fair value through profit or loss	11	(15,401)	(26,540)
Unrealised loss (gain) on financial assets at fair value through profit or loss, net	5	6,120	(4,493)
Share of results from associates	7	(239)	(606)
Depreciation		655	643
Provision for credit losses, net	6	1,916	8,768
Other provisions		(103)	35
		22,023	13,372
Changes in:			
Treasury bills and bonds		22,244	5,505
Deposits with banks and other financial institutions		(81,115)	(20,885)
Loans and advances to customers		(12,557)	(3,280)
Other assets		(4,053)	1,692
Deposits from banks and other financial institutions		(13,882)	(7,790)
Deposits from customers		(2,701)	(676)
Other liabilities		(8,153)	16,430
Net cash flows (used in) from operating activities		(78,194)	4,368
Cash flows from investing activities			
Additions to property and equipment		(160)	(206)
Purchase of financial assets at fair value through profit or loss		(17,518)	(22,730)
Proceeds from disposal of financial assets at fair value through profit or loss		21,749	35,811
Proceeds from redemption of investment at amortized cost		-	10,000
Dividends received from associates	7	56	57
Dividend income received		500	276
Net cash flows from investing activities		4,627	23,208
Cash flows from financing activities			
Term loans obtained		38,979	31,266
Term loans paid		-	(16,498)
Purchase of treasury shares		-	(3,163)
Proceeds from redemption of treasury shares		-	3,315
Dividends paid	10	(6,000)	(5,000)
Net cash flows from financing activities		32,979	9,920
Net (decrease) increase in cash and cash equivalents		(40,588)	37,496
Cash and cash equivalents at 1 January		61,198	23,702
Cash and cash equivalents at 31 December	3	20,610	61,198

The accompanying notes an integral part of these consolidated financial statements.

Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

1. INCORPORATION AND ACTIVITIES

The Industrial Bank of Kuwait K.S.C. (Closed) ("the Bank") is a closed shareholding company incorporated in the State of Kuwait in 1973 under the commercial registration number 20139 as a specialized bank and is regulated by the Central Bank of Kuwait ("CBK") to provide banking services to the industrial projects and investments in related activities and the bank is principally engaged in the following activities:

- Contribute to developing the Kuwaiti economy, diversify its production structure by encouraging new industries and support existing industries. For this purpose, it may undertake the operations described explicitly in its Articles of Association, as amended; and
- The Bank may have an interest or to participate in any aspect in other entities conducting similar activities or which may help to achieve its objectives in Kuwait or abroad and may purchase these entities or merge therewith.

The Bank's registered office in Kuwait is at Joint Banking Complex, Commercial Area 9, Mubarak Al Kabeer Street, Darwaza Abdul Razaq, P.O. Box 3146, Safat 13032, Kuwait. The number of employees of the Group as at 31 December 2022 is 187 (2021: 188).

The consolidated financial statements of the Bank and its subsidiaries (together the "Group") (Note 2.5) were authorized for issue by the Board of Directors on 9 February 2023 The Annual General Assembly of the shareholders has the power to amend these consolidated financial statements after issuance.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES

2.1 BASIS OF PREPARATION

The consolidated financial statements have been prepared under the historical cost basis except for measurement of financial assets at fair value through profit or loss and derivative instruments which carried at fair value.

The consolidated financial statements are presented in Kuwaiti Dinars ("KD") which is the functional currency of the Bank, rounded to the nearest thousand Kuwaiti Dinars, except when otherwise stated.

2.2 STATEMENT OF COMPLIANCE

The consolidated financial statements have been prepared in accordance with the regulations for financial services institutions as issued by the Central Bank of Kuwait (CBK) in the State of Kuwait. These regulations require banks and other financial institutions regulated by CBK to adopt the International Financial Reporting Standards with the following amendments:

a) Expected credit loss ("ECL") to be measured at the higher of ECL on credit facilities computed under IFRS 9 in accordance with the CBK guidelines or the provisions as required by CBK instructions along with its consequent impact on related disclosures.

The above framework is hereinafter referred to as 'IFRS as adopted by CBK for use in the State of Kuwait'.



Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (continued)

2.3 CHANGES IN ACCOUNTING POLICIES AND DISCLOSURES

New and amended standards and interpretations

The accounting policies used in the preparation of these consolidated financial statements are consistent with those used in the previous year except for the adoption of certain standards and amendments, which are effective for annual periods beginning on or after 1 January 2022. The Group has not early adopted any other standard, interpretation or amendment that has been issued but is not yet effective.

Interest Rate Benchmark Reform – Phase 2: Amendments to IFRS 9, IAS 39, IFRS 7, IFRS 4 and IFRS 16

In August 2020 the IASB issued Interest Rate Benchmark Reform - Phase 2 Amendments to IFRS 9, IAS 39, IFRS 7, IFRS 4 and IFRS 16, (IBOR reform Phase 2) to address the accounting issues which arise upon the replacement of an IBOR with a risk-free rate ("RFR").

IBOR reform Phase 2 includes a number of reliefs and additional disclosures. The reliefs apply upon the transition of a financial instrument from an IBOR to RFR. As a practical expedient, changes to the basis for determining contractual cash flows as a result of interest rate benchmark reform are required to be treated as changes to a floating interest rate, provided that, for the financial instrument, the transition from the IBOR benchmark rate to RFR takes place on an economically equivalent basis.

IBOR reform Phase 2 provides temporary reliefs that allow the Bank's hedging relationships to continue upon the replacement of an existing profit rate benchmark with an RFR. The reliefs require the Bank to amend hedge designations and hedge documentation. For new RFRs that are not yet an established benchmark, relief is provided from this requirement provided the Bank reasonably expects the RFR to become separately identifiable within 24 months. Any hedging relationships that prior to application of IBOR reform Phase 2, have been discontinued solely due to IBOR reform and meet the qualifying criteria for hedge accounting when IBOR reform Phase 2 is applied, must be reinstated upon initial application.

The Group is currently in the process of running a project on the Group's transition activities and prepared for adopting alternate reference rates and continues to engage with various stakeholders to support the orderly transition and to mitigate the risks resulting from the transition.

The majority of LIBOR and other Interbank Offer Rates were discontinued after 31 December 2022 and replaced with certain Alternative Benchmark Rates, with the exception of certain USD LIBOR rates where cessation is delayed until 30 June 2023. The corresponding date for majority of USD IBOR based contracts is 30 June 2023.

Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (continued)

2.3 CHANGES IN ACCOUNTING POLICIES AND DISCLOSURES (continued)

New and amended standards and interpretations (continued)

Interest Rate Benchmark Reform – Phase 2: Amendments to IFRS 9, IAS 39, IFRS 7, IFRS 4 and IFRS 16 (continued)

The transition from IBORs to alternative benchmark profit rates will impact GBP and EUR denominated financial instruments referencing LIBOR rates for terms that extend beyond 31 December 2022.

The Bank will be using Secured Overnight Financing Rate (SOFR) as alternative benchmark profit rates.

Other amendments to IFRSs which are effective for annual accounting period starting from 1 January 2022 did not have any material impact on the accounting policies, financial position or performance of the Group.

2.4 NEW STANDARDS AND INTERPRETATIONS ISSUED BUT NOT YET ADOPTED

A number of new standards, amendments to standards and interpretations which are issued for annual periods beginning on or after 1 January 2022 have not been early adopted in the preparation of the Group's consolidated financial statements. None of these are expected to have a significant impact on the Group's consolidated financial statements.

2.5 BASIS OF CONSOLIDATION

The consolidated financial statements comprise the financial statements of the Bank as at 31 December 2022 (the "reporting date") and its subsidiaries (investees which are controlled by the Bank) as at the same date or a date not earlier than one month from the reporting date. The Bank consolidates a subsidiary when it controls it. Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. Specifically, the Group controls an investee if and only if the Group has:

- Power over the investee (i.e. existing rights that give it the current ability to direct the relevant activities of the investee)
- Exposure, or rights, to variable returns from its involvement with the investee, and
- The ability to use its power over the investee to affect its returns

Generally, there is a presumption that a majority of voting rights results in control. To support this presumption and when the Group has less than a majority of the voting or similar rights of an investee, the Group considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- The contractual arrangement with the other vote holders of the investee
- Rights arising from other contractual arrangements
- The Group's voting rights and potential voting rights



Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (continued)

2.5 BASIS OF CONSOLIDATION (continued)

The Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Group obtains control over the subsidiary and ceases when the Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the Group's consolidated financial statements from the date the Group gains control until the date the Group ceases to control the subsidiary.

Profit or loss and each component of the other comprehensive income are attributed to the equity holders of the Bank and to the non-controlling interests, even if this results in the non-controlling interests having a deficit balance. When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with the Group's accounting policies. All intra-group assets and liabilities, equity, income, expenses and cash flows relating to transactions between members of the Group are eliminated in full on consolidation.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction.

If the Group loses control over a subsidiary, it derecognises the related assets (including goodwill and intangible assets), liabilities, non-controlling interest and other components of equity while any resultant gain or loss is recognised in profit or loss. Any investment retained is recognised at fair value.

The subsidiaries of the Group are as follows:

Name of subsidiary	*Country of incorporation*	*Principal activities*	*Percentage of ownership*	
			2022	2021
Senaey Enterprises Limited	Cayman Islands	Investments	100%	100%
Kuwait Industrial Projects Company K.S.C. (Closed) ("KIPC")*	State of Kuwait	Investments	99.6%	99.6%
Entities held through KIPC				
Al Reada Petrochemical Company K.S.C. (Closed)	State of Kuwait	Petrochemicals	96%	96%
Intermediate Petrochemical Products Company K.S.C. (Closed)	State of Kuwait	Petrochemicals	96%	96%
Derwaza Company for Construction, Managing and Leasing Warehouses	State of Kuwait	Leasing	100%	100%

*The Parent Company effectively owns 100% of equity interest of the above entity. Accordingly, the consolidated financial statements have been prepared on this basis. The ownership of the remaining equity interest in this subsidiary is registered in the name of related parties as nominees. However, the Parent Company is the beneficial owner of 100% equity interest.

Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (continued)

2.6 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Financial Instruments

Recognition

A financial asset or a financial liability is recognised when the Group becomes a party to the contractual provisions of the instrument. All regular way purchase and sale of financial assets are recognised using settlement date accounting. Changes in fair value between the trade date and settlement date are recognised in the consolidated statement of profit or loss and other comprehensive income (OCI) in accordance with the policy applicable to the related instrument. Regular way purchases or sales are purchases or sales of financial assets that require delivery of assets within the time frame generally established by regulations or conventions in the marketplace.

Classification and measurement

Initial classification and measurement of financial instruments

The classification of financial instruments at initial recognition depends on the business model for managing the instruments and on their contractual cash flow characteristics. Financial instruments are initially measured at their fair value, except in the case of financial assets and financial liabilities recorded at FVTPL, transaction costs are added to, or subtracted from this amount. When the fair value of financial instruments at initial recognition differs from the transaction price, the Bank accounts for the Day 1 profit or loss.

Business model assessment

The Group determines its business model at the level that best reflects how it manages groups of financial assets to achieve its business objective. The Group's business model is not assessed on an instrument-by-instrument basis, but at a higher level of aggregated portfolios and is based on observable factors such as:

- How the performance of the business model and the financial assets held within that business model are evaluated and reported to the entity's key management personnel;
- The risks that affect the performance of the business model (and the financial assets held within that business model) and, in particular, the way those risks are managed;
- The expected frequency, value and timing of sales are also important aspects of the Group's assessment.

The business model assessment is based on reasonably expected scenarios without taking 'worst case' or 'stress case' scenarios into account. If cash flows after initial recognition are realised in a way that is different from the Group's original expectations, the Group does not change the classification of the remaining financial assets held in that business model but incorporates such information when assessing newly originated or newly purchased financial assets going forward.



Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (continued)

2.6 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

Business model assessment (continued)

Contractual cashflow characteristics

The Group also assesses the characteristics of the contractual cashflow of the financial asset to identify whether the contractual cashflow is Solely for purpose of Payment of Principal and Interest (SPPI test).

'Principal' for the purpose of this test is defined as the fair value of the financial asset at initial recognition and may change over the life of the financial asset. The most significant elements of 'interest' within a lending arrangement are typically the consideration for the time value of money and credit risk. The Group also considers relevant factors such as the currency in which the financial asset is denominated, and the period for which the interest rate is set during its assessment of the SPPI test.

If the contractual terms introduce a more than de minimis exposure to risks or volatility in the contractual cash flows that are unrelated to a basic lending arrangement, the financial asset is required to be measured at FVTPL as the contractual terms do not give rise to contractual cash flows that are solely payments of principal and interest on the amount outstanding.

The Group reclassifies when and only when its business model for managing those assets changes. The reclassification takes place from the start of the first reporting period following the change.

Subsequent classification and measurement categories of financial assets

The Group classifies all of its financial assets as either:

- Financial asset carried at amortised cost;
- Financial asset at fair value through other comprehensive income (FVOCI);
- Financial asset at fair value through profit or loss (FVTPL).

Financial asset carried at amortised cost:

A financial asset is carried at amortised cost if it meets both of the following conditions:

- It is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- Its contractual terms give rise on specified dates, to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial assets carried at amortised cost are subsequently measured at amortised cost using the effective interest method. Interest income, foreign exchange gains and losses, impairment and gain or loss on derecognition is recognised in the consolidated statement of profit or loss and other comprehensive income.

Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (continued)

2.6 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

Financial Instruments (continued)

Classification and measurement (continued)

Financial asset carried at amortised cost (continued):

Cash and cash equivalents, Treasury bills and bonds with CBK and others, due from banks and other financial institutions, loans and advances to customers, and certain other assets are classified as financial asset carried at amortised cost.

Financial assets carried at FVTPL

Financial assets carried at FVTPL is initially recorded in the consolidated statement of financial position at fair value. The financial assets classified under this category are either designated by management upon initial recognition or are mandatorily required to be measured at fair value under IFRS 9. Management designates an instrument as financial asset carried at FVTPL where even though it meets the classification criteria of financial asset carried at amortised cost or financial asset carried at FVOCI, this designation eliminates, or significantly reduces, the inconsistent accounting treatment that would otherwise arise. Such designation is determined on an instrument-by-instrument basis.

Financial assets carried at FVTPL are subsequently measured at fair value. The changes in fair value are recorded in the consolidated statement of profit or loss and other comprehensive income. Interest earned or incurred on debt instruments designated at FVTPL is accrued in interest income using the effective interest rate method, considering any discount/ premium and qualifying transaction costs being an integral part of instrument. Interest earned on assets mandatorily required to be measured at FVTPL is recorded using contractual interest rate. Dividend income from equity instruments measured at FVTPL is recorded in the consolidated statement of profit or loss and other comprehensive income as other operating income when the right to the payment has been established. Certain debt securities, equities and derivatives that are not designated as hedging instruments are classified as Financial assets carried at FVTPL.

Subsequent classification and measurement categories of financial liabilities

Financial liabilities, other than financial guarantees and loan commitments, are measured at amortised cost or at FVTPL when they are held for trading and derivative instruments, or the fair value designation is applied.

Deposits from banks and other financial institutions, deposits from customers, other borrowed fund and certain other liabilities are classified as financial liabilities carried at amortised cost.



Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (continued)

2.6 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

Financial Instruments (continued)

Classification and measurement (continued)

Subsequent classification and measurement categories of financial liabilities (continued)

Financial guarantees and loan commitments

In the ordinary course of business, the Bank issues financial guarantees, consisting of letters of credit, guarantees and acceptances. Financial guarantees are initially recognised as a liability at fair value, being the premium received. Subsequent to initial recognition, the Group's liability under each guarantee is measured at the higher of the amount initially recognised less cumulative amortisation recognised in the consolidated statement of profit or loss and other comprehensive income, and the higher of ECL under IFRS 9 according to the CBK guidelines and provision required by the CBK instructions.

Undrawn loan commitments and letters of credits are commitments under which, over the duration of the commitment, the Bank is required to provide a loan with pre-specified terms to the customer. Similar to financial guarantee contracts, under IAS 39, a provision was made if they were an onerous contract and the higher of ECL under IFRS 9 according to the CBK guidelines and provision required by the CBK instructions.

De-recognition

De-recognition of financial assets and financial liabilities other than substantial modification of terms and conditions

A financial asset (or where applicable, a part of a financial asset or part of a group of similar financial assets) is derecognised where:

- The rights to receive cash flows from the asset have expired, or
- The Group has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either (a) the Group has transferred substantially all the risks and rewards of the asset, or (b) the Group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset

When the Group has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, it evaluates if and to what extent it has retained the risks and rewards of ownership. When it has neither transferred nor retained substantially all of the risks and rewards of the asset, nor transferred control of the asset, the Group continues to recognise the transferred asset to the extent of the Group's continuing involvement. In that case, the Group also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group has retained.

Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (continued)

2.6 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

Financial Instruments (continued)

De-recognition (continued)

De-recognition of financial assets and financial liabilities other than substantial modification of terms and conditions (continued)

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Group could be required to repay.

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognised in the consolidated statement of profit or loss and other comprehensive income.

De-recognition of financial assets due to substantial modification of terms and conditions

The Group derecognises a financial asset, such as loans and advances to customers, when the terms and conditions have been renegotiated to the extent that, substantially, it becomes a new loan, with the difference recognised as a derecognition gain or loss, to the extent that an impairment loss has not already been recorded.

When assessing whether or not to derecognise a financing receivable, amongst others, the Group considers the following factors:

- Change in currency of the loan
- Introduction of an equity feature
- Change in counterparty
- If the modification is such that the instrument would no longer meet the SPPI criterion

If the modification does not result in cash flows that are substantially different, the modification does not result in derecognition. Based on the change in cash flows discounted at original effective interest rate, the Group records a modification gain or loss, to the extent that an impairment loss has not already been recorded.

Offsetting of financial assets and financial libailities

Financial assets and financial liabilities are only offset and the net amount reported in the consolidated financial position when there is a legally enforceable right to set off the recognised amounts and the Group intends to settle on a net basis so as to realize the assets and liabilities simultaneously.

Collateral pending sale

The Group occasionally acquires non-monetary assets in settlement of certain financing receivables. Such assets are stated at the lower of the carrying value of the related financing receivables and the current fair value of such assets. Gains or losses on disposal, and revaluation losses, are recognised in the consolidated statement of profit or loss and other comprehensive income.



Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (continued)

2.6 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

Financial Instruments (continued)

Impairment of financial assets

The Group records impairment of financial assets as follows:

Impairment of financial assets classified as credit facilities:

Impairment of financial assets classified as credit facilities is recorded as the higher of ECL on credit facilities computed under IFRS 9 in accordance with the CBK guidelines or the provisions as required by CBK instructions. Credit facilities consists of loans and advances to customers, non-cash credit facilities in the form of bank guarantees, letters of guarantee, documentary letters of credit, bank acceptances, undrawn cash and non-cash credit facilities (revocable and irrevocable).

Impairment of financial assets other than credit facilities:

Impairment of financial assets other than credit facilities is computed under IFRS 9 in accordance with the CBK guidelines. These financial assets comprise of deposits with banks and equity investments are not subject to ECL.

Expected credit losses under IFRS 9 as per CBK guidelines

The Group has established a policy to perform an assessment at the end of each reporting period of whether there has been a significant increase in credit risk since initial recognition by considering the change in the risk of default occurring over the remaining life of the financial instrument. ECLs are estimated based on the present value of all cash shortfalls over the remaining expected life of the financial asset, i.e., the difference between:

- The contractual cash flows that are due to the Group under the contract; and
- The cash flows that the Group expects to receive, discounted at the effective profit rate of the financing facility.

The Group applies a three-stage approach to classify and measure the ECL on the financial assets classified as credit facilities, as described below:

Stage 1: 12-month ECL

For financial assets classified as credit facilities where there has not been any significant increase in credit risk since their initial recognition or those credit facilities which are determined to have a low credit risk at the reporting date, the Group classifies these facilities under Stage 1 and measures the loss allowance which is a result of defaults that are expected to arise over the next 12 months (12-month ECL) on these financial assets.

Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (continued)

2.6 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

Financial Instruments (continued)

Impairment of financial assets classified as credit facilities (continued)

Expected credit losses under IFRS 9 as per CBK guidelines (continued)

Stage 2: Lifetime ECL – not credit impaired

For financial assets classified as credit facilities where there has been a significant increase in credit risk since initial recognition but are not credit impaired, the Group classifies these facilities under Stage 2 and measures loss allowance which is a result of defaults that are expected to arise over the lifetime (Lifetime ECL) on these financial assets.

Stage 3: Lifetime ECL – credit impaired

For financial assets classified as credit facilities which are in default and credit impaired, the Group classifies these facilities under Stage 3 and measures loss allowance at an amount equal to 100% of net exposure i.e. exposure after deduction of eligible collaterals.

Staging of credit facilities

The Group continuously monitors all financial assets classified as credit facilities and applies a series of absolute thresholds and other criteria to determine the staging. All financial assets classified as credit facilities that are more than 30 days past due are deemed to have significant increase in credit risk since initial recognition and are classified under Stage 2. All rescheduled credit facilities are classified under the Stage 2 unless it qualifies for Stage 3. The Group also applies other criteria to determine a significant increase in credit risk for financial assets, such as:

- Deterioration in the customer rating of the borrower indicating default;
- A material decrease in the underlying collateral value where the recovery of the loan is expected from the sale of the collateral;
- A material deterioration in the customer's financial position in the opinion of the Group causing concerns on the repayment ability;
- A material covenant breach in a committed facility;
- Filing for bankruptcy or liquidation;
- Downgrade in the facility's credit rating by 2 grades for the facilities with Investment Grade rating and by 1 grade for those with Non-Investment Grade rating.

Purchased or originated credit-impaired financial assets are those financial assets that are credit-impaired on initial recognition and are classified under Stage 3.



Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (continued)

2.6 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

Financial Instruments (continued)

Impairment of financial assets classified as credit facilities (continued)

Definition of default

The Group considers a financial asset to be in default and therefore Stage 3 (credit impaired) when:

- The borrower is past due for more than 90 days on its credit obligation to the Group;
- The borrower is facing significant financial difficulty;
- The borrower is assessed as credit impaired based on internal qualitative and quantitative assessment;
- Other indicators such as breach of covenants, customer being deceased etc;

The Group assess whether objective evidence of impairment exists on an individual basis for each individually significant asset and collectively for others not deemed individually significant.

Measurement of ECLs

ECLs are probability weighted estimates of credit losses and are measured as the present value of all cash shortfalls discounted at the effective interest rate of the financial instrument. Cash shortfall represent the difference between cashflows due to the Group in accordance with the contract and the cashflows that the Group expects to receive. The key elements in the measurement of ECL includes exposure at default, probability of default and loss given default.

The Exposure at Default ("EAD") is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including expected drawdowns on committed facilities, repayments of principal and interest, whether scheduled by contract or otherwise. In addition, Group also complies with the CBK guidelines with respect to application of Credit Conversion Factors.

The Probability of Default ("PD") is an estimate of the likelihood of default over a given time horizon. A default may only happen at a certain time over the assessed period, if the financial asset has not been previously derecognised and is still in the portfolio. The Group uses Through-The-Cycle PD (TTC PD) for each rating to calculate the ECL. The minimum PD is 1% for investment grade credit facilities and 0.75% for non-investment grade credit facilities except for credit facilities that are rated by an external credit rating agency as investment grade and are granted to government entities and banks.

The Loss Given Default ("LGD") is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the lender would expect to receive, including from the realisation of any collateral. It is usually expressed as a percentage of the EAD.

The LGD threshold for unsecured senior and subordinate loans and advances to customers is determined in accordance with the CBK guidelines relating to IFRS 9.

The maximum period for which the credit losses are determined is the contractual life of a financial asset, unless the Group has the legal right to call it earlier.

Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (continued)

2.6 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

Financial Instruments (continued)

Impairment of financial assets classified as credit facilities (continued)

Measurement of ECLs (continued)

Incorporation of forward-looking information

The Group incorporates forward-looking information into both its assessment of whether the credit risk of an instrument has increased significantly since its initial recognition and its measurement of ECL. The Group has performed a historical analysis and identified the key economic variables impacting credit risk and ECL. Relevant macro-economic adjustments are applied to capture variations from economic scenarios. These reflect reasonable and supportable forecasts of future macro-economic conditions that are not captured within the base ECL calculations. Macro-economic factors taken into consideration include, but are not limited to, gross domestic product, unemployment rates and oil prices and require an evaluation of both the current and forecast direction of the macro-economic cycle. Incorporating forward-looking information increases the degree of judgement required as to how changes in these macro-economic factors will affect ECL. The methodology and assumptions including any forecasts of future economic conditions are reviewed regularly.

Renegotiated loans and advances

In the event of a default, the Group seeks to restructure facilities to customers rather than take possession of collateral. This may involve extending the payment arrangements and the agreement of new financing conditions. When the facility to a customer has been renegotiated or modified but not derecognised, any impairment is measured using the original effective interest rate method as calculated before the modification of terms. Management continually reviews renegotiated facilities to ensure that all criteria are met and that future payments are likely to occur. Management also assesses whether there has been significant increase in credit risk and the facility should be classified in Stage 2.

Presentation of allowance for ECL in the consolidated statement of financial position

Loss allowances for ECL are presented as a deduction from the gross carrying amount of the financial assets for financial assets carried at amortized cost.

Write-offs

Financial assets are written off either partially or in their entirety only when the Group has ceased pursuing the recovery. If the amount to be written off is greater than the accumulated loss allowance, the difference is first treated as an addition to the allowance that is then applied against the gross carrying amount. Any subsequent recoveries are recorded directly in consolidated statement of profit or loss and other comprehensive income.



Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (continued)

2.6 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

Financial Instruments (continued)

Impairment of financial assets classified as credit facilities (continued)

Measurement of ECLs (continued)

Provisions for credit losses in accordance with CBK instructions

The Group is required to calculate provisions for credit losses on loans and advances to customers in accordance with the instructions of the CBK on the classification of loans and advances to customers and calculation of provisions. Loans and advances to customers are classified as past due when a payment has not been received on its contractual payment date or if the facility is in excess of pre-approved limits. Loans and advances to customers are classified as past due and impaired when the interest or a principal instalment is past due for more than 90 days and if the carrying amount of the facility is greater than its estimated recoverable value. Past due and past due and impaired loans and advances to customers are managed and monitored as irregular facilities and are classified into the following four categories which are then used to determine the provisions.

Category	*Criteria*	*Specific provision*
Watch list	Irregular for a period of 90 days	-
Substandard	Irregular for a period of 91- 180 days	20%
Doubtful	Irregular for a period of 181- 365 days	50%
Bad	Irregular for a period exceeding 365 days	100%

The Group may also include a credit facility in one of the above categories based on management's judgement of a customer's financial and/or non-financial circumstances.

In addition to specific provisions, minimum general provisions of 1% on cash facilities and 0.5% on non-cash facilities are made on all applicable loans and advances to customers (net of certain restricted categories of collateral), which are not subject to specific provisioning.

Derivative financial instruments

Derivative instruments are initially recognised in the consolidated statement of financial position at cost (including transaction costs) and subsequently measured at their fair value.

The Group enters into cross currency swaps. Derivatives are stated at fair value. The fair value of a derivative includes unrealised gain or loss from marking to market the derivative using prevailing market rates or internal pricing models. Derivatives with positive market values (unrealised gains) are included in other assets and derivatives with negative market values (unrealised losses) are included in other liabilities in the consolidated statement of financial position.

The resultant gains and losses from derivatives are included in the consolidated statement of profit or loss and other comprehensive income.

Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (continued)

2.6 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

Financial Instruments (continued)

Impairment of financial assets classified as credit facilities (continued)

Measurement of ECLs (continued)

Fair value measurement

The Group measures financial instruments, such as, derivatives, investment securities etc., at each reporting date.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible to by the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the consolidated financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fairvalue measurement as a whole:

- Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For financial instruments quoted in an active market, fair value is determined by reference to quoted market prices. Bid prices are used for assets and offer prices are used for liabilities. The fair value of investments in mutual funds, unit trusts or similar investment vehicles are based on the last published net assets value.

For unquoted financial instruments fair value is determined by reference to the market value of a similar investment, discounted cash flows, other appropriate valuation models or brokers' quotes.



Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (continued)

2.6 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

Financial Instruments (continued)

Impairment of financial assets classified as credit facilities (continued)

Fair value measurement (continued)

For financial instruments carried at amortised cost, the fair value is estimated by discounting future cash flows at the current market rate of return for similar financial instruments.

For assets and liabilities that are recognised in the consolidated financial statements on a recurring basis, the Group determines whether transfers have occurred between Levels in the hierarchy by re-assessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

For the purpose of fair value disclosures, the Group has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

Cash and cash equivalents

Cash and cash equivalents, for the purpose of preparing the consolidated statement of cash flows, comprise of cash and short-term funds with banks and financial institutions (including the Central Bank of Kuwait) maturing within seven days.

Investment in associates

An associate is an entity over which the Group exerts significant influence. Investment in associate is accounted for under the equity method of accounting. Where an associate is acquired and held exclusively for resale, it is accounted for as a non-current asset held for resale under IFRS 5.

Under the equity method, the investment in associate is initially recognised at cost and adjusted thereafter for the post-acquisition change in the Group's share of the associate's net assets. Goodwill relating to an associate is included in the carrying amount of the investment and is neither amortised nor individually tested for impairment. The Group recognises in the consolidated statement of profit or loss and other comprehensive income its share of the total recognised profit or loss of the associate from the date that influence, or ownership effectively commenced until the date that it effectively ceases. Distributions received from the associate reduce the carrying amount of the investment. Adjustments to the carrying amount may also be necessary for changes in Group's share in the associate arising from changes in the associate's equity that have not been recognised in the associate's profit or loss statement. The Group's share of those changes is recognised in the consolidated statement of profit or loss and other comprehensive income.

Unrealised gains on transactions with associate are eliminated to the extent of the Group's share in the associate. Unrealised losses are also eliminated unless the transaction provides evidence of impairment in the asset transferred. An assessment for impairment of investments in associates is performed when there is an indication that the asset has been impaired, or that impairment losses recognised in prior years no longer exist. If such indication exists, the Group estimates the asset's recoverable amount. A previously recognised impairment loss

Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (continued)

2.6 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

Financial Instruments (continued)

Investment in associates (continued)

is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognised. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the consolidated statement of profit or loss and other comprehensive income.

The associate's financial statements are prepared either to the Group's reporting date or to a date not earlier than three months of the Group's reporting date using consistent accounting policies. Where practicable, adjustments are made for the effects of significant transactions or other events that occur between the reporting date of the associates and the Group's reporting date.

Upon loss of significant influence over the associate, the Group measures and recognises any retained investment at fair value. Any difference between carrying amount of the investment in associate upon loss of significant influence and the fair value of the retained investment and proceeds from disposal is recognised in the consolidated statement of profit or loss and other comprehensive income.

Property and equipment

Property and equipment are stated at cost less accumulated depreciation and impairment losses. Depreciation is provided on all premises and equipment, other than freehold land, at rates calculated to write off the cost of each asset on a straight-line basis to their residual values over its estimated useful life. Freehold land is stated at cost less impairment losses.

The estimated useful lives of the assets for the calculation of depreciation are as follows:

Buildings	20 years
Others	1 to 5 years

When assets are sold or retired, their cost and accumulated depreciation are eliminated from the accounts and any gain or loss resulting from their disposal is recognised in the consolidated statement of profit or loss and other comprehensive income.

The carrying amounts of property and equipment are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, the assets are written down to their recoverable amounts and the impairment loss is recognised in the consolidated statement of profit or loss and other comprehensive income.

Expenditure incurred to replace a component of an item of property and equipment that is accounted for separately is capitalised and the carrying amount of the component that is replaced is written off. Other subsequent expenditure is capitalised only when it increases future economic benefits of the related item of property and equipment. All other expenditure is recognised in the consolidated statement of profit or loss and other comprehensive income as the expense is incurred.



Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (continued)

2.6 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

Impairment of non-financial assets

The Group assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Group estimates the asset's recoverable amount. An assets or cash-generating unit's ("CGU") recoverable amount is the higher of its fair value less costs to sell and its value in use. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded companies or other available fair value indicators.

For non-financial assets excluding goodwill, an assessment is made at each reporting date as to whether there is any indication that previously recognised impairment losses may no longer exist or may have decreased. If such indication exists, the Group estimates the asset's or CGU's recoverable amount. A previously recognised impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognised. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceeds the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in the consolidated statement of profit or loss and other comprehensive income.

Post-employment benefits

Employees are entitled to an end of service indemnity payable under the Kuwait Labor Law based on the employees' accumulated periods of service and latest entitlements of salaries and allowances. The expected costs of these benefits are accrued over the period of employment.

Pensions and other social benefits for Kuwaiti employees are covered by the Public Institution for Social Security Scheme, to which employees and employers contribute monthly on a fixed contribution basis. The Group's share of contributions to this scheme, which is a defined contribution scheme, are charged to the consolidated statement of profit or loss and other comprehensive income in the year to which they relate.

Provisions

Provisions are recognised when, as a result of past events, it is probable that an outflow of economic resources will be required to settle a present, legal or constructive obligation and the amount can be reliably estimated.

Treasury shares

The Bank's holding in its own shares is stated at acquisition cost and is recognised in equity. The treasury shares are accounted for using the cost method. Under this method, the weighted average cost of the

Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (continued)

2.6 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

Impairment of non-financial assets (continued)

shares reacquired is charged to a contra account in the equity. When the treasury shares are sold, gains are credited to a separate account in equity, "treasury shares reserve", which is not distributable until all the treasury shares are disposed. Any realised losses are charged to the same account to the extent of the credit balance on that account. Any excess losses are charged to retained earnings then to the voluntary reserve and statutory reserve. Gains realised subsequently on the sale of treasury shares are first used to offset any previously recorded losses in the order of reserves, retained earnings and the treasury shares reserve account. These shares are not entitled to any cash dividend that the Bank may propose. The issue of bonus shares increases the number of shares proportionately and reduces the average cost per share without affecting the total cost of treasury shares.

Contingencies

Contingent assets are not recognised in the consolidated financial statements, but are disclosed when an inflow of economic benefit is probable.

Contingent liabilities are not recognised in the consolidated financial statements, but are disclosed unless the possibility of an outflow of resources embodying economic benefit is remote.

Segment information

A segment is a distinguishable component of the Group that engages in business activities from which it earns revenues and incurs costs. The operating segments are used by the management of the Group to allocate resources and assess performance. Operating segments exhibiting similar economic characteristics, product and services and class of customers are appropriately aggregated and reported as reportable segments.

Fiduciary assets

Third party assets managed by the Group and assets held in trust or in a fiduciary capacity are not treated as assets of the Group and accordingly are not included in these consolidated financial statements but are disclosed in the notes to the consolidated financial statements.

Revenue recognition

Interest and similar income and expense

Interest income and expense for all interest-bearing financial instruments are recognized within 'interest income' and 'interest expense' in the consolidated statement of profit or loss and other comprehensive income using the effective interest rate method.

The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or, when appropriate, a shorter period to the net carrying amount of the financial asset or financial liability. Fees which are considered as an integral part of the effective yield of a financial asset are recognized using the effective interest rate method.



Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (continued)

2.6 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

Revenue recognition (continued)

Interest and similar income and expense (continued)

When a receivable is impaired, the Group reduces the carrying amount to its recoverable amount, being the estimated future cash flow discounted at original effective interest rate of the instrument and continues unwinding the discount as interest income.

Interest income on impaired loans and advances to customers is recognized either when cash is collected or on a cost–recovery basis as conditions warrant.

Fees and commission income

Fees and commission income is recognized when the Group satisfies the performance obligation by transferring the promised service to the customers. At inception of the contract, the Group determines whether it satisfies the performance obligation over a period of time or at a point in time.

Fees income earned from services provided over a period of time is recognized over the period of service. Fees income arising from providing a transaction service are recognized at a point in time on completion of the underlying transaction.

Portfolio and other management advisory and service fee related to investment funds are recognized over the period in which the service is provided.

Dividend income

Dividend income is recognized when the right to receive the payment is established.

Government grants

Government grants are recognised where there is reasonable assurance that the grant will be received and all attached conditions will be complied with. When the grant relates to an expense item, it is recognised as income on a systematic basis over the periods that the related costs, for which it is intended to compensate, are expensed and is included in the same line item in the consolidated statement of profit or loss and other comprehensive income.

Foreign currency

Each entity in the Group determines its own functional currency and items included in the financial statements of each entity are measured using that functional currency.

Transaction and balances

Transactions in foreign currencies are initially recorded at the spot rate ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are retranslated at the spot rate of exchange ruling at the reporting date. Any resultant gains or losses are recognised in the consolidated statement of profit or loss and other comprehensive income.

Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (continued)

2.6 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

Foreign currency (continued)

Transaction and balances (continued)

Non-monetary assets and liabilities in foreign currencies that are stated at fair value are translated to respective entity's functional currency at the foreign exchange rates ruling on the dates that the values were determined. In case of non-monetary assets whose change in fair values are recognised directly in OCI, foreign exchange differences are recognised directly in OCI and for non-monetary assets whose change in fair value are recognised directly in the consolidated statement of profit or loss and other comprehensive income, foreign exchange differences are recognised in the consolidated statement of profit or loss and other comprehensive income.

Taxation

Kuwait Foundation for the Advancement of Sciences (KFAS)

KFAS is calculated at 1% of the profit of the Bank after deducting its share of income from Kuwaiti shareholding subsidiaries and associates and transfer to statutory reserve.

Zakat

Contribution to Zakat is calculated at 1% of the consolidated profit of the Bank after deducting its share of profit from the associates and subsidiaries that are Kuwaiti shareholding companies in accordance with Law No. 46 of 2006 and Ministerial resolution No. 58 of 2007 and its Executive Regulations.

2.7 SIGNIFICANT ACCOUNTING JUDGMENTS, ESTIMATES AND ASSUMPTIONS

The preparation of the Group's consolidated financial statements requires management to make judgements, estimates and assumptions that affect the reported amount of revenues, expenses, assets and liabilities, and the accompanying disclosures, as well as the disclosure of contingent liabilities. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future periods.

Judgments

In the process of applying the Group's accounting policies, management has made the following judgements, apart from those involving estimations, which have the most significant effect on the amounts recognised in the consolidated financial statements:

Classification of financial assets

The Group determines the classification of financial assets based on the assessment of the business model within which the assets are held and assessment of whether the contractual terms of the financial asset are solely payments of principal and profit on the principal amount outstanding.



Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES (continued)

2.7 SIGNIFICANT ACCOUNTING JUDGMENTS, ESTIMATES AND ASSUMPTIONS (continued)

Estimation uncertainty and assumptions

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below. The Group based its assumptions and estimates on parameters available when the consolidated financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances beyond the control of the Group. Such changes are reflected in the assumptions when they occur.

Impairment losses on loans and advances

Considerable judgement by management is required in the estimation of the amount and timing of future cash flows, collateral values, significant increase in credit risk, rating models, ECL models, macro-economic variables when determining the level of provisions required. Such estimates are necessarily based on assumptions about several factors involving varying degrees of judgment and uncertainty, and actual results may differ resulting in future changes to such provisions.

Impairment of financial instruments

The Group estimates ECL for all financial assets carried at amortised cost (except for balances with the CBK and government of Kuwait) or FVOCI except for equity instruments.

Significant judgements are required in applying the accounting requirements for measuring ECL, such as:

- Determining criteria for significant increase in credit risk;
- Choosing appropriate models and assumptions for measurement of ECL;
- Establishing the number and relative weightings of forward-looking scenarios for each type of product/market and the associated ECL; and
- Establishing group of similar financial assets for the purpose of measuring ECL.

The Group has the policy to regularly review its model in the context of actual loss experience and adjust when necessary.

Valuation of financial instruments with significant unobservable inputs

Valuation techniques for financial instruments with significant unobservable inputs includes estimates such as expected cash flows discounted at current rates applicable for items with similar terms and risk characteristics; recent arm's length market transactions; current fair value of another instrument that is substantially the same; valuation models etc.

Any changes in these estimates and assumptions as well as the use of different, but equally reasonable estimates and assumptions may have an impact on the carrying values of unquoted financial assets.

Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

3. CASH AND CASH EQUIVALENTS

	2022	*2021*
	KD'000	*KD'000*
Balances with the CBK	4,651	3,169
Cash in hand and current accounts	1,851	5,029
Deposits with banks and financial institutions maturing within 7 days	14,108	53,000
	20,610	61,198

Deposits with banks and financial institutions carry interest rate ranging from 1.87% to 4.35% (2021: 0.88% to 2%) per annum.

4. TREASURY BILLS AND BONDS

	2022	*2021*
	KD'000	*KD'000*
Treasury bills	17,750	25,429
CBK bonds	30,185	44,750
	47,935	70,179

In accordance with guidelines of the CBK, the Bank is required to maintain a minimum of 15% of the private customer deposits denominated in Kuwaiti Dinars as treasury bills and bonds. Treasury bills and bonds carry interest rate ranging from 2.25% to 5.3% (2021: 1.88% to 3.13%) per annum.

In accordance with the CBK guidelines relating to IFRS 9 issued on 25 December 2018, no expected credit losses have been recorded against the bonds, treasury bills, and public debt instruments issued by the CBK and the State of Kuwait.

5. FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS

	2022	*2021*
	KD'000	*KD'000*
Quoted equities	15,279	13,075
Unquoted equities	1,183	1,148
Funds	120,929	118,118
	137,391	132,341



Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

5. FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS (continued)

The disclosure of fair value measurement and the levels of fair value hierarchy relating to the financial assets at fair value through profit or loss is disclosed in Note 20.

The unrealised (loss) gain on financial assets at fair value through profit or loss for the year is as below:

	2022	*2021*
	KD'000	*KD'000*
Quoted equities	**(280)**	(361)
Unquoted equities	35	(59)
Funds	**(5,875)**	4,913
	(6,120)	4,493

6. LOANS AND ADVANCES TO CUSTOMERS

	2022	*2021*
	KD'000	*KD'000*
Industrial loans at preferential lending rates	145,601	147,267
Loans and advances at commercial lending rates	188,968	174,745
	334,569	322,012
Less: provision for credit losses	**(45,478)**	(43,562)
	289,091	278,450

The provision for credit losses is as follows:

2022	*Industrial loans*			*Commercial loans*			*Total*
	Specific	*General*	*Total*	*Specific*	*General*	*Total*	
	KD'000	*KD'000*	*KD'000*	*KD'000*	*KD'000*	*KD'000*	*KD'000*
Balance at 1 January	-	8,228	8,228	-	35,334	35,334	43,562
Charged/ reversal for the year	1,418	**(27)**	1,391	385	140	525	1,916
Balance at 31 December	1,418	8,201	9,619	385	35,474	35,859	45,478

Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

6. LOANS AND ADVANCES TO CUSTOMERS (continued)

2021	*Industrial loans*			*Commercial loans*			*Total*
	Specific	*General*	*Total*	*Specific*	*General*	*Total*	
	KD'000	*KD'000*	*KD'000*	*KD'000*	*KD'000*	*KD'000*	*KD'000*
Balance at 1 January	-	8,245	8,245	1,024	29,996	31,020	39,265
Charged/ reversal for the year	1,610	(17)	1,593	1,837	5,338	7,175	8,768
Written off during the year	(1,610)	-	(1,610)	(2,861)	-	(2,861)	(4,471)
Balance at 31 December	-	8,228	8,228	-	35,334	35,334	43,562

The available provision balance relating to non-cash facilities of KD 1,273 thousand (2021: KD 1,397 thousand) is included in other liabilities (Note 8).

The expected credit losses on loans and advances to customers determined under IFRS 9 according to the guidelines of the Central Bank of Kuwait amounted to KD 15,390 thousand as at 31 December 2022 (2021: KD 22,564 thousand).

During the year, the Bank has made recoveries amounting to KD 15,733 thousand (2021: KD 10,192 thousand) pertaining to certain loans and advances that were fully provided for and written-off in prior years.

An analysis of the carrying amounts of Loans and advances (cash facilities) based on the staging criteria under IFRS 9 in accordance with CBK regulations:

2022	*Stage 1*	*Stage 2*	*Stage 3*	*Total*
	KD'000	*KD'000*	*KD'000*	*KD'000*
Credit Facilities				
High	62,228	-	-	62,228
Standard	143,747	109,425	-	253,172
Past due or impaired	-	-	19,169	19,169
	205,975	109,425	19,169	334,569

2021	*Stage 1*	*Stage 2*	*Stage 3*	*Total*
	KD'000	*KD'000*	*KD'000*	*KD'000*
Credit Facilities				
High	42,868	-	-	42,868
Standard	163,117	90,540	-	253,657
Past due or impaired	-	-	25,487	25,487
	205,985	90,540	25,487	322,012



Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

6. LOANS AND ADVANCES TO CUSTOMERS (continued)

An analysis of the carrying amounts of contingent liabilities and commitments, the amounts in the table represent the amounts committed or guaranteed (non-cash facilities), based on the staging criteria under IFRS 9 in accordance with CBK regulations.

2022	*Stage 1*	*Stage 2*	*Stage 3*	*Total*
	KD'000	*KD'000*	*KD'000*	*KD'000*
Credit Facilities				
High	12,244	-	-	12,244
Standard	19,105	29,365	-	48,470
Past due or impaired	-	-	6,218	6,218
Contingent liabilities (Note 17)	31,349	29,365	6,218	66,932

2021	*Stage 1*	*Stage 2*	*Stage 3*	*Total*
	KD'000	*KD'000*	*KD'000*	*KD'000*
Credit Facilities				
High	12,459	-	-	12,459
Standard	40,357	23,340	-	63,697
Past due or impaired	-	-	2,242	2,242
Contingent liabilities (Note 17)	52,816	23,340	2,242	78,398

An analysis of the changes in the ECL in relation to credit facilities (cash and non-cash facilities) computed under IFRS 9 in accordance with the CBK guidelines is as follows:

	Stage 1	*Stage 2*	*Stage 3*	*Total*
	KD'000	*KD'000*	*KD'000*	*KD'000*
ECL allowance as at 1 January 2022	1,517	3,669	17,378	22,564
Transfer between stages				
Transfer from Stage 1	(185)	185	-	-
Transfer from Stage 2	1,119	(1,712)	593	-
Transfer from Stage 3		15,082	(15,082)	-
Net (decrease) increase in ECL for the year	(990)	(11,305)	5,121	(7,174)
At 31 December 2022	1,461	5,919	8,010	15,390

Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

6. LOANS AND ADVANCES TO CUSTOMERS (continued)

	Stage 1	*Stage 2*	*Stage 3*	*Stage 4*
	KD 000's	*KD 000's*	*KD 000's*	*KD 000's*
ECL allowance as at 1 January 2021	2,383	4,320	16,547	23,250
Transfer between stages				
Transfer from Stage 1	(226)	226	-	-
Transfer from Stage 2	21	(21)	-	-
Transfer from Stage 3	-	161	(161)	-
Net (decrease) increase in ECL for the year	(661)	(1,017)	992	(686)
At 31 December 2021	1,517	3,669	17,378	22,564

Sensitivity

For measuring the overall sensitivity of the forward-looking information and key economic variables on the Group's ECL on credit facilities, the Group conducts stress tests by allocating a higher weightage to the downside scenario which results in an increase in the Bank's ECL allowance for credit facilities in Stage 3. However, the ECL so determined after incorporating the aggregate impact of these sensitivity adjustments, continues to remain lower than the total provision for credit losses recorded as per CBK instructions, and accordingly will not have an impact on the Group's consolidated statement of profit or loss and other comprehensive income as well as on the carrying value of these assets.

7. INVESTMENTS IN ASSOCIATES

	Country of incorporation	***Principal activities***	***Ownership***		***Carrying value***	
			2022	2021	2022	2021
					KD'000	*KD'000*
Al Rawdatain Water Bottling Co. K.S.C.C.	State of Kuwait	Production and bottling of mineral water	30 %	30 %	3,889	3,894
Qaroh P.E.T. Products Co. K.S.C.C.	State of Kuwait	Specialised industrial products	30 %	30 %	1,550	1,455
Technology Industrial Gases Production Company K.S.C.C.	State of Kuwait	Production of industrial gases	20 %	20 %	1,679	1,586
					7,118	6,935



Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

7. INVESTMENTS IN ASSOCIATES (continued)

As at 31 December 2022, the aggregate amount of assets, liabilities, income and expenses of associates, without adjustment for the ownership interest held by the Group, was KD 33,273 thousand, KD 8,332 thousand, KD 3,239 thousand and KD 2,153 thousand, respectively (2021: KD 33,079 thousand, KD 7,919 thousand, KD 3,535 thousand and KD 1,856 thousand, respectively).

The Group's share of results of the associates and dividend distributed by associates to the Group during the year ended 31 December 2022 was KD 239 thousand and KD 56 thousand respectively (2021: share of results of KD 606 thousand and KD 57 thousand, respectively).

The management has carried out an assessment of impairment indicators on the Group's investment in associates considering the significant adverse changes in economy, market factors, legal environment, industry or the political factors affecting the investees business including the consideration for the changes in investees' financial condition. The management has not identified any indicators of impairment relating to Group's investment in associates as at the reporting date.

8. OTHER LIABILITIES

	2022	2021
	KD'000	KD'000
Provision on non-cash credit facilities (Note 6)	1,273	1,397
Accrued staff benefits	13,144	11,254
Recoveries received under settlement*	-	9,998
Others	7,778	6,731
	22,195	29,380

*During the year ended 31 December 2021, the Bank has received net amount of KD 9,998 thousand which pertains to a recovery of loans previously written off. The Bank has recognized the amount received as other payable as there was an outstanding legal case regarding the sales procedures of the factory pledged against this facility. On 8 June 2022, the final ruling issued in the favor of the Bank. Accordingly, the Bank has reversed the payable balance of KD 9,998 thousand as recoveries from loans written off to the consolidated statement of profit or loss and other comprehensive income.

Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

9. LOANS

Term loans

	Currency	*Facility limit*	*Effective interest rate (EIR)*	*Granting date*	*Settlement date*	2022	2021
						KD'000	*KD'000*
Unsecured medium-term loan	EURO	30 million	Three-month EUROBOR plus a spread of 1.1%	22 June 2021	23 June 2023	9,769	10,292
Unsecured medium-term loan	USD	70 million	Three-month LIBOR plus a spread of 0.55%	15 July 2021	30 June 2023	21,441	21,175
Unsecured medium-term loan	USD	50 million	One-month SOFR plus a spread of 1.45%	25 October 2021	25 October 2024	15,315	15,125
Unsecured medium-term loan	USD	50 million	Three-month SOFR plus a spread of 1.55%	26 October 2022	23 October 2025	15,315	-
Unsecured medium-term loan	USD	75 million	Six-Month SOFR plus a spread of 1.1%	19 December 2022	19 December 2025	22,973	-
						84,813	46,592

Loan from the State of Kuwait

This represents a revolving credit facility of KD 300 million granted by the State of Kuwait under the amended Law No. 43 of 2007 and Law No. 7 of 2001 issued on 1 July 2007 with the same terms of the previous facility. This facility is valid for a period of 20 years and matures in 2027.

The interest on loan from the State of Kuwait is as follows:

- Interest rate of 0.5% per annum on amounts equal to the outstanding balances and undrawn commitments of industrial loans granted by the Bank at preferential lending rates; and
- The unutilised portion of the loan (which is not granted for industrial exposures) is subject to interest rate of 3 months Kuwait inter-bank offering rate.



Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

10. EQUITY

a) The authorised, issued and fully paid-up share capital of the Bank comprises of 2 million shares of KD 10 each, paid in cash (2021: 2 million shares of KD 10 each).

b) As required by the Companies Law No. 1 of 2016, as amended, and its Executive Regulations and the Bank's Articles of Association, as amended, 10% of the profit for the year before contribution to KFAS, Board of Directors' remuneration and zakat has been transferred to the statutory reserve. Distribution from statutory reserve is limited to enable the payment of dividend equivalent to 5% of paid-up share capital to be made in years when retained earnings are not sufficient for the payment of such dividends.

c) In accordance with Article 48 of the Bank's Articles of Association, as amended, the Board of Directors have proposed to transfer an amount of KD 3,033 thousand to voluntary reserve for the year ended 31 December 2022 (2021: KD 3,945 thousand).

d) During the year ended 31 December 2021, the Bank acquired 89,686 treasury shares amounting to KD 3,163 thousand as part of a settlement with a customer. The Bank has redeemed these shares, resulting in a gain of KD 152 thousand, which is included under treasury shares reserve in equity.

e) The Shareholders' Annual General Assembly held on 8 June 2022 approved the audited consolidated financial statements for the year ended 31 December 2021 and cash dividend of 30% amounting to KD 6,000 thousand (2020: cash dividend of 25% amounting to KD 5,000 thousand).

f) For the year ended 31 December 2022, the Board of Directors meeting held on 9 February 2023 have proposed cash dividends of 30% amounting to KD 6,000 thousand. The proposal is subject to the approval of the Shareholders at the Annual General Assembly Meeting.

11. NET INVESTMENT INCOME

	2022	2021
	KD'000	*KD'000*
Dividend income	500	276
Realised gain on financial assets at fair value through profit or loss	15,401	26,540
Unrealised (loss) gain on financial assets at fair value through profit or loss	(6,120)	4,493
Share of results from associates	239	606
	10,020	31,915

Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

12. STAFF COSTS

	2022 *KD'000*	2021 *KD'000*
Salaries and other short-term benefits	5,156	5,130
Post-employment benefits	1,015	978
Other benefits	3,731	4,680
	9,902	10,788

13. OTHER EXPENSES

	2022 *KD'000*	2021 *KD'000*
Administrative expenses	1,299	1,401
Operating expenses	919	790
Other expenses	1,068	667
	3,286	2,858

14. BOARD OF DIRECTORS' REMUNERATION

The Board of Directors proposed an amount of KD 367 thousand towards remuneration of the Board of Directors and respective committees for the year ended 31 December 2022 (2021: KD 322 thousand). The proposed remuneration of the Board of Directors is subject to approval of shareholders at the Annual General Assembly meeting.

The Shareholders' Annual General Assembly held on 8 June 2022 approved the board of directors' remuneration for the year ended December 31, 2021, with an amount of KD 322 thousand.

15. BASIC AND DILUTED EARNINGS PER SHARE

Basic and diluted earnings per share is computed by dividing the net profit for the year by the weighted average number of shares outstanding during the year. There are no potential dilutive shares therefore, the basic and diluted earnings per share are identical.

	2022	2021
Net profit for the year (KD'000)	29,365	38,351
Weighted average number of outstanding shares during the year shares ('000)	2,000	2,000
Basic and diluted earnings per share (KD)	14.683	19.176

16. RELATED PARTY DISCLOSURES

Related parties comprise major shareholders, Board of Directors, entities controlled by them or under their joint control, associates, key management personnel and their close family members. Balances and transactions with related parties arise from commercial transactions in the ordinary course of business on terms approved by the management.



Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

16. RELATED PARTY DISCLOSURES (continued)

As at 31 December 2022, the Bank has 11 members on the Board of Directors (2021: 12 members). And 21 executive officers (2021: 19 executives).

The balances and transactions with related parties as at reporting date are summarised below.

	2022 *KD'000*	2021 *KD'000*
Consolidated statement of financial position		
Balances with shareholders		
Cash and cash equivalents	4,651	3,169
Treasury bills and bonds	47,935	70,179
Other assets	140	341
Deposit from customers	16,847	24,200
Other liabilities	385	170
Loan from the State of Kuwait	300,000	300,000
Balances with other related parties		
Other assets	466	680
Deposits from customers	4,528	3,742
Commitments and contingent liabilities	2,118	2,639
Balances with associates		
Loans and advances to customers	3,748	4,648
Other assets	59	73
Other liabilities	13	51
Commitments and contingent liabilities	752	666
Consolidated statement of profit or loss and other comprehensive income		
Transactions with shareholders		
Interest income	1,385	1,503
Interest expense	2,933	2,558
Fees and commission income	2,491	2,470
Transactions with other related parties		
Interest expense	7	4
Transactions with associate companies		
Interest income	152	236

Details of compensation to key management personnel comprise the following:

	2022 *KD'000*	2021 *KD'000*
Salaries and other short-term benefits	461	473
Variable benefits	475	281
Post-employment benefits	23	32

Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

17. COMMITMENTS AND CONTINGENT LIABILITIES

In the normal course of business, the Group has exposure to various indirect credit commitments which, though not reflected in the consolidated statement of financial position, are subject to normal credit standards, financial controls and monitoring procedures.

These credit commitments do not necessarily represent future cash requirements, since many of these commitments will expire or terminate without being funded. Credit losses, if any, which may result from exposure to such commitments are not expected to be significant.

a) Commitments and contingent liabilities

	2022	2021
	KD'000	*KD'000*
Acceptances	2,328	2,503
Letters of credit	5,085	7,908
Letters of guarantee	59,519	67,987
	66,932	78,398

The contractual or notional amounts in respect of instruments outlined above are used to calculate payments and are a common measure of business volume. However, they are not indicative of credit risk exposure. The credit risk inherent in such contracts, if the counterparty is unable to settle, is limited to the difference between the contracted value of the transaction and the cost of completing it with another party.

b) Other commitments

At 31 December 2022, the Group has commitments in respect of uncalled capital contribution relating to investments carries at fair value through profit or loss amounting to KD 63,956 thousand (2021: KD 59,487 thousand).

18. FIDUCIARY ASSETS

Assets managed for third parties or held in trust or in a fiduciary capacity are not treated as assets of the Group and accordingly are not included in these consolidated financial statements.

At the reporting date, the total amount of fiduciary assets was KD 309,292 thousand (2021: KD 329,492 thousand). The Group earned fees income from managing the fiduciary assets of KD 3,163 thousand during the year ended 31 December 2022 (2021: KD 2,994 thousand).



Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

19. FINANCIAL RISK MANAGEMENT

The Group has exposure to the following risks from financial instruments, as part of its routine operations:

- Credit risk;
- Liquidity risk;
- Market risks; and
- Operational risk.

Risk management framework

The Bank's Board of Directors has overall responsibility for the establishment and oversight of the Group's risk management framework. The Board of Directors has established the Board Risk Committee, which is responsible for developing and monitoring Group's risk management policies through the Bank's Risk Management Department.

The Group's risk management policies are established to identify and analyse the risks faced by the Group, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. The risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Group's activities. The Group, through its training and management standards and procedures, aims to develop a disciplined and constructive control environment in which all employees understand their roles and obligations.

The Board Risk Committee oversees how management monitors compliance with the Group's risk management policies and procedures and reviews the adequacy of the risk management framework in relation to the risks faced by the Group. The Board Risk Committee is assisted in its oversight role by the Risk Management Department. Internal Audit undertakes both regular and ad-hoc reviews of risk management controls and procedures, the results of which are reported to the Group's Board Audit Committee.

19.1 Credit risk

Credit risk is the risk that the party to a financial instrument will fail to discharge an obligation and cause the other party to incur a financial loss. The Group has a credit policy and exposure to credit risk is monitored on an ongoing basis by limiting transactions with specific concentration and assessing continuously the creditworthiness of the counterparties.

Assessment of expected credit losses

Credit limits are established for all customers after a careful assessment of their credit worthiness. Standing procedures require that all credit proposals be subjected to detailed screening under the risk management framework of the Bank including the submission to the appropriate credit committee. Whenever necessary, all loans and advances to customers are secured by acceptable forms of collateral to mitigate the related credit risks.

Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

19. FINANCIAL RISK MANAGEMENT (continued)

Risk management framework (continued)

19.1 Credit risk (continued)

In accordance with the instructions of the Central Bank of Kuwait dated 18 December 1996, setting out the rules and regulations regarding the classification of credit facilities, the Group has formed an internal committee comprising competent professional staff and having as its purpose to study and evaluate of the existing credit facilities of each customer of the Group. This committee is required to identify any abnormal situations and difficulties associated with a customer's position which might cause the debt to be classified as irregular, and to determine an appropriate provisioning level. The committee, which meets regularly throughout the year, also studies the positions of those customers whose irregular balances exceed 25% of their total debt, in order to determine whether further provisions are required.

In addition, all credit facilities are continually monitored based on a periodical review of the credit performance and account rating.

The Group considers a variety of indicators that may indicate unlikeliness to pay as part of a qualitative assessment of whether a customer is in default. Such indicators include:

- Breaches of covenants,
- Borrower having past due liabilities to public creditors or employees, or
- Borrower is deceased.

The Group considers a financial asset as 'cured' (i.e. no longer be in default) and therefore, reclassified out of Stage 3 when it no longer meets any of the default criteria. With respect to the restructured facilities which are classified in Stage 3, these would be required to complete the moratorium period (if any) and meet the scheduled payments (all on current basis) for at least 1 year, or as determined by the Group for consideration for classifying the facility in Stage 2.

Significant increase in credit risk

The Group continuously monitors all assets subject to ECL. In order to determine whether an instrument or a portfolio of instruments is subject to 12-month ECL or lifetime ECL, the Group assesses as there has been a significant increase in credit risk since initial recognition. The quantitative criteria used to determine a significant increase in credit risk is a series of relative and absolute thresholds.

The Group considers a financial instrument with an external rating of "investment grade" as at the reporting date to have a low credit risk. In addition to the quantitative criteria, the Group applies qualitative criteria for the assessment of significant increase in credit risk based on monitoring of certain early warning signals.

Any credit impaired or stressed facility that has been restructured would also be considered as in default.



Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

19. FINANCIAL RISK MANAGEMENT (continued)

Risk management framework (continued)

19.1 Credit risk (continued)

Measurement of ECL

ECL are probability-weighted estimates of credit losses and are measured at the present value of all cash shortfall discounted at the effective interest rate of the financial instrument. Cash shortfall represents the difference between cash flows due to the Group in accordance with the contract and the cash flows that the Group expects to receive. The key elements in the measurement of ECL include Probability of Default ("PD"), Loss Given Default ("LGD") and Exposure at Default ("EAD"). The Group estimates these elements using appropriate credit risk models taking into consideration the internal and external credit ratings of the assets, nature and value of collaterals, forward-looking macro-economic scenarios, etc.

The Group calculates ECL on credit facilities classified in Stage 3 at 100% of the defaulted exposure, net of value of eligible collaterals after applying applicable haircuts.

The Group, in estimating ECL for credit facilities, has taken into consideration the following key parameters based on inputs from CBK:

- Floor for estimating PDs for specific portfolios;
- Eligible collateral with haircuts for determining LGD;
- Deemed maturity for exposures in Stage 2; and
- Credit conversion factor on utilised and unutilised portions for cash and non-cash facilities.

Incorporation of forward-looking information

The Group considers key economic variables that are expected to have an impact on the credit risk and the ECL in order to incorporate forward-looking information into the ECL model. Key economic variables include, but not limited to, gross domestic product, unemployment rates and oil prices. These primarily reflect reasonable and supportable forecasts of the future macro-economic conditions. The consideration of such factors increases the degree of judgment in determination of ECL.

Maximum exposure to credit risk

The maximum exposure to credit risk as at the reporting date is represented by the carrying amount of each financial asset in the consolidated statement of financial position as at reporting date. Information on credit risk relating to commitments and contingent liabilities is provided in note 18.

Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

19. FINANCIAL RISK MANAGEMENT (continued)

19.1 Credit risk (continued)

Maximum exposure to credit risk (continued)

The industry concentration of credit risk pertaining to loans and advances to customers relating to manufacturing and industrial sector is 82.7% (2021: 79.80%).

Geographical concentration of credit risk is reflected in Note 19.1.1.

The table below shows the maximum exposure to credit risk for the components of the consolidated statement of financial position. The maximum exposure is shown gross, before the effect of mitigation through the use of master netting and the related collateral agreements.

	2022	2021
	KD'000	*KD'000*
Credit risk exposures relating to financial assets on consolidated statement of financial position:		
Cash and cash equivalents (excluding cash on hand)	20,429	61,043
Treasury bills and bonds	47,935	70,179
Deposits with banks and other financial institutions	265,003	183,888
Loans and advances to customers	289,091	278,450
Other assets	8,201	4,045
Total	630,659	597,605
Credit risk exposures relating to off balance sheet items:		
Acceptances	2,328	2,503
Letters of credit	5,085	7,908
Letters of guarantees	59,519	67,987
Total	66,932	78,398
Total credit risk exposure	697,591	676,003

Credit risk can also arise due to a significant concentration of Group's assets to any single counterparty and this risk is managed by diversification of the portfolio. The 10 largest gross loans and advances to customers outstanding as a percentage of total loans and advances to customers is 50.96% as at 31 December 2022 (2021: 47.63%).



Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

19. FINANCIAL RISK MANAGEMENT (continued)

19.1 Credit risk (continued)

Collateral and other credit enhancements

The Bank has implemented various policies and practices to minimise credit risk. The Bank seeks collateral coverage, the assignment of contract proceeds and other forms of protection to secure lending and minimise credit risks wherever possible. The Bank's borrowing agreements also include legally enforceable netting arrangements for loans and deposits enabling the Bank to consolidate the customer's various accounts with the Bank and either transfer credit balances to cover any outstanding borrowings or freeze the credit balances until the customer settles their outstanding obligations to the Bank.

The Bank's credit facilities are secured by collateral, consisting primarily of mortgage of industrial projects, shares or listed securities on the stock exchange and commercial papers.

Credit quality of financial instruments

Internal credit quality rating

The Bank uses an internal rating system where borrowers are rated on a scale of 1 to 10. Ratings 1 to 4 are considered to be prime credit and therefore categorized as 'High Grade' and ratings 5A to 5C are other performing credits that are categorized as 'Standard Grade'. Ratings 6 to 10 are past due and non-performing credits.

The credit risk exposure by credit quality of financial assets by class, stage and status presented in Note 6.

Ageing analysis of loans and advances that are past due but not impaired is as follows:

2022	*Past due up to 30 days*	*Past due from 31 to 60 days*	*Past due from 61 to 90 days*	*Total*
	KD'000	*KD'000*	*KD'000*	*KD'000*
Loans and advances to customers				
- Industrial loans	**15,518**	**1,385**	**346**	**17,249**
- Commercial loans	**999**	**10**	**16**	**1,025**
Total	**16,517**	**1,395**	**362**	**18,274**
Fair value of collateral				**78,759**

Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

19. FINANCIAL RISK MANAGEMENT (continued)

19.1 Credit risk (continued)

Credit quality of financial instruments (continued)

Internal credit quality rating (continued)

2021	*Past due up to 30 days*	*Past due from 31 to 60 days*	*Past due from 61 to 90 days*	*Total*
	KD'000	*KD'000*	*KD'000*	*KD'000*
Loans and advances to customers				
- Industrial loans	391	600	-	991
- Commercial loans	4,452	1,640	165	6,257
Total	4,843	2,240	165	7,248
Fair value of collateral				16,911

Past due and individually impaired loans are as follows:

2022	*Gross exposure*	*Impairment*	*Fair value of collateral*
	KD'000	*KD'000*	*KD'000*
Loans and advances to customers			
- Industrial loans	1,418	1,418	1,707
- Commercial loans	385	385	370
Total	1,803	1,803	2,077

2021	*Gross exposure*	*Impairment*	*Fair value of collateral*
	KD'000	*KD'000*	*KD'000*
Loans and advances to customers			
- Commercial loans	-	-	-
Total	-	-	-

19. FINANCIAL RISK MANAGEMENT (continued)

19.1 Credit risk (continued)

19.1.1 Geographical concentration of assets, liabilities and contingent liabilities

2022	*Kuwait*	*GCC*	*Europe*	*North America*	*Asia and Pacific*	*Latin America*	*Total*
	KD'000	*KD'000*	*KD'000*	*KD'000*	*KD'000*	*KD'000*	*KD'000*
Assets							
Cash and cash equivalents	15,585	281	472	4,269	3	-	20,610
Treasury bills and bonds	47,935	-	-	-	-	-	47,935
Deposits with banks and other financial institutions	232,345	32,658	-	-	-	-	265,003
Financial assets at fair value through profit or loss	42,328	-	24,784	50,925	18,020	1,334	137,391
Loans and advances to customers	289,091	-	-	-	-	-	289,091
Investments in associates	7,118	-	-	-	-	-	7,118
Other assets	8,201	-	-	-	-	-	8,201
Property and equipment	4,608	-	-	-	-	-	4,608
Total assets	647,211	32,939	25,256	55,194	18,023	1,334	779,957
Liabilities							
Deposits from banks and other financial institutions	22,481	-	-	-	-	-	22,481
Deposits from customers	45,558	-	-	-	-	-	45,558
Other liabilities	22,195	-	-	-	-	-	22,195
Term loans	-	75,044	9,769	-	-	-	84,813
Loan from the State of Kuwait	300,000	-	-	-	-	-	300,000
Total liabilities	390,234	75,044	9,769	-	-	-	475,047
Commitments and contingent liabilities	63,991	828	1,215	5	893	-	66,932

19. FINANCIAL RISK MANAGEMENT (continued)

19.1 Credit risk (continued)

19.1.1 Geographical concentration of assets, liabilities and contingent liabilities (continued)

2021	*Kuwait*	*GCC*	*Europe*	*North America*	*Asia and Pacific*	*Latin America*	*Total*
	KD'000	*KD'000*	*KD'000*	*KD'000*	*KD'000*	*KD'000*	*KD'000*
Assets							
Cash and cash equivalents	56,880	196	387	3,733	2	-	61,198
Treasury bills and bonds	70,179	-	-	-	-	-	70,179
Deposits with banks and other financial institutions	183,888	-	-	-	-	-	183,888
Financial assets at fair value through profit or loss	18,077	15,196	27,760	50,740	18,895	1,673	132,341
Loans and advances to customers	278,450	-	-	-	-	-	278,450
Investments in associates	6,935	-	-	-	-	-	6,935
Other assets	4,045	-	-	-	-	-	4,045
Property and equipment	5,103	-	-	-	-	-	5,103
Total assets	623,557	15,392	28,147	54,473	18,897	1,673	742,139
Liabilities							
Deposits from banks and other financial institutions	36,363	-	-	-	-	-	36,363
Deposits from customers	48,259	-	-	-	-	-	48,259
Other liabilities	29,380	-	-	-	-	-	29,380
Term loans	-	36,300	10,292	-	-	-	46,592
Loan from the State of Kuwait	300,000	-	-	-	-	-	300,000
Total liabilities	414,002	36,300	10,292	-	-	-	460,594
Commitments and contingent liabilities	73,741	1,232	1,918	-	1,507	-	78,398



Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

19. FINANCIAL RISK MANAGEMENT (continued)

19.2 Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in raising funds to meet commitments. Liquidity risk may also result from an inability to sell a financial asset quickly at close to its fair value.

The table below summarises the maturity profile of the Group's liabilities. The maturities of liabilities have been determined on the basis of the remaining period at the reporting date, to the contractual maturity date. The actual maturities may differ from the maturities shown below since the borrower may have the right to prepay obligations with or without prepayment penalties, and deposits by customers might have to be repaid on demand.

The undiscounted maturity profile of the financial liabilities is as follows:

2022	*Less than 1 month*	*1 to 3 months*	*3 to 12 months*	*1 to 5 years*	*Over 5 years*	*Total*
	KD'000	*KD'000*	*KD'000*	*KD'000*	*KD'000*	*KD'000*
Deposits from banks and other financial institutions	22,493	-	-	-	-	22,493
Deposits from customers	43,746	255	1,701	-	-	45,702
Other liabilities	-	-	22,195	-	-	22,195
Term loans	-	-	32,677	56,262	-	88,939
Loan from the State of Kuwait	-	-	-	-	309,444	309,444
Total undiscounted financial liabilities	66,239	255	56,573	56,262	309,444	488,773

2021	*Less than 1 month*	*1 to 3 months*	*3 to 12 months*	*1 to 5 years*	*Over 5 years*	*Total*
	KD'000	*KD'000*	*KD'000*	*KD'000*	*KD'000*	*KD'000*
Deposits from banks and other financial institutions	36,374	-	-	-	-	36,374
Deposits from customers	47,899	248	114	-	-	48,261
Other liabilities	-	-	29,380	-	-	29,380
Term loans	-	-	21,296	26,080	-	47,376
Loan from the State of Kuwait	-	-	-	-	310,894	310,894
Total undiscounted financial liabilities	84,273	248	50,790	26,080	310,894	472,285

Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

19. FINANCIAL RISK MANAGEMENT (continued)

19.2 Liquidity risk (continued)

The table below shows the contractual expiry by maturity of the Bank's commitments and contingent liabilities:

2022	*Less than 1 month*	*1 to 3 months*	*3 to 12 months*	*1 to 5 years*	*Over 5 years*	*Total*
	KD '000	*KD '000*	*KD '000*	*KD '000*	*KD '000*	*KD '000*
Commitments and contingent liabilities	4,586	12,462	27,973	20,785	1,126	66,932

2021	*Less than 1 month*	*1 to 3 months*	*3 to 12 months*	*1 to 5 years*	*Over 5 years*	*Total*
	KD '000	*KD '000*	*KD '000*	*KD '000*	*KD '000*	*KD '000*
Commitments and contingent liabilities	4,821	18,176	28,010	27,391	-	78,398

The maturity profile of the assets and liabilities as at the reporting date based on contractual repayment arrangements is as follows:

2022	*Less than one year*	*From one year to five years*	*Over five years*	*No fixed maturity*	*Total*
	KD'000	*KD'000*	*KD'000*	*KD'000*	*KD'000*
Assets					
Cash and cash equivalents	20,610	-	-	-	20,610
Treasury bills and bonds	34,435	13,500	-	-	47,935
Deposits with banks and other financial institutions	265,003	-	-	-	265,003
Financial assets at fair value through profit or loss	-	-	137,391	-	137,391
Loans and advances to customers	122,610	118,574	47,907	-	289,091
Investments in associates	-	-	-	7,118	7,118
Other assets	7,159	-	1,042	-	8,201
Property and equipment	-	-	-	4,608	4,608
Total assets	449,817	132,074	186,340	11,726	779,957
Liabilities and equity					
Deposits from banks and financial institutions	22,481	-	-	-	22,481
Deposits from customers	45,558	-	-	-	45,558
Other liabilities	22,195	-	-	-	22,195
Term loans	31,210	53,603	-	-	84,813
Loan from the State of Kuwait	-	-	300,000	-	300,000
Equity	-	-	-	304,910	304,910
Total liabilities and equity	121,444	53,603	300,000	304,910	779,957
Net liquidity position	328,373	78,471	(113,660)	(293,184)	-



Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

19. FINANCIAL RISK MANAGEMENT (continued)

19.2 Liquidity risk (continued)

2021	*Less than one year*	*From one year to five years*	*Over five years*	*No fixed maturity*	*Total*
	KD'000	*KD'000*	*KD'000*	*KD'000*	*KD'000*
Assets					
Cash and cash equivalents	61,198	-	-	-	61,198
Treasury bills and bonds	52,429	12,750	5,000	-	70,179
Deposits with banks and other financial institutions	183,888	-	-	-	183,888
Financial assets at fair value through profit or loss	-	-	132,341	-	132,341
Loans and advances to customers	103,797	95,321	79,332	-	278,450
Investments in associates	-	-	-	6,935	6,935
Other assets	2,800	-	1,245	-	4,045
Property and equipment	-	-	-	5,103	5,103
Total assets	404,112	108,071	217,918	12,038	742,139
Liabilities and equity					
Deposits from banks and financial institutions	36,363	-	-	-	36,363
Deposits from customers	48,259	-	-	-	48,259
Other liabilities	29,380	-	-	-	29,380
Term loans	21,175	25,417	-	-	46,592
Loan from the State of Kuwait	-	-	300,000	-	300,000
Equity	-	-	-	281,545	281,545
Total liabilities and equity	135,177	25,417	300,000	281,545	742,139
Net liquidity position	268,935	82,654	(82,082)	(269,507)	-

19.3 Market risk

Market risk is the risk that the Group's earnings or capital, or its ability to meet business objectives, will be adversely affected by changes in the level or volatility of market rates or prices such as interest rates, credit spreads, commodity prices, equity prices and foreign exchange rates. This risk is inherent in the financial instruments associated with the Group's operations and/or activities including loans granted at commercial rates, deposits, securities and trading account assets. The majority of market risk exposure resides in the Group's treasury and investment functions. The Group's market risk objectives of risk management are to:

- Understand and control market risk by robust measurement, setting and monitoring of limits.
- Accuracy in the deal / settlement process.
- Facilitate business growth within a controlled and transparent risk management framework.
- Measure and report non-traded market risk.

Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

19. FINANCIAL RISK MANAGEMENT (continued)

19.3 Market risk (continued)

19.3.1 Foreign currency risk

Foreign currency risk is the risk that the value of the financial instruments will fluctuate due to changes in foreign exchange rates.

The effect on profit, as a result of change in currency rate, with all other variables held constant is shown below:

2022

Currency	*Change in currency rate in %*	*Effect on profit KD '000*
USD	+1 %	52
Euro	+1 %	(3)

2021

Currency	Change in currency rate in %	Effect on profit KD '000
USD	+1 %	207
Euro	+1 %	(6)

The Group had the following significant net exposures denominated in foreign currencies as at 31 December:

	2022 Long/(short) KD '000	*2021 Long/(short) KD '000*
USD	5,169	20,724
Euro	(326)	(556)

19.3.2 Interest rate risk

Interest rate risk arises from the possibility that changes in interest rates will affect the value of financial instruments. The Group is exposed to interest rate risk as a result of mismatches or gaps in the amounts of assets and liabilities in the consolidated statement of financial position that mature or re-price in a given period.

The table below details the Group's exposure to interest rate risk. Fixed rate instruments are allocated according to the residual term of maturity and floating rate instruments according to the residual term to the next re-pricing date.

19. FINANCIAL RISK MANAGEMENT (continued)

19.3 Market risk (continued)

19.3.2 Interest rate risk (continued)

2022	*Less than 1 year* *KD '000*	*1 to 5 years* *KD '000*	*Over 5 years* *KD '000*	*Total* *KD '000*	*Effective interest rate / range*
Assets					
Cash and cash equivalents	20,429	-	-	20,429	1.87 % - 4.35 %
Treasury bills and bonds	34,435	13,500	-	47,935	2.250 % - 5.30 %
Deposits with banks and other financial institutions	265,003	-	-	265,003	0.500 % - 4.700 %
Loans and advances to customers	122,610	118,574	47,907	289,091	3.000 % - 7.500 %
Total assets	442,477	132,074	47,907	622,458	
Liabilities					
Deposits from banks and financial institutions	22,481	-	-	22,481	2.000 % - 5.100 %
Deposits from customers	45,558	-	-	45,558	0.000 % - 4.625 %
Term loans	31,210	53,603	-	84,813	3.181 % - 5.839 %
Loan from the State of Kuwait	-	-	300,000	300,000	0.500 % - 3.059 %
Total liabilities	99,249	53,603	300,000	452,852	
Net gap	343,228	78,471	(252,093)	169,606	
Cumulative interest rate sensitivity gap	343,228	421,699	169,606		

19. FINANCIAL RISK MANAGEMENT (continued)

19.3 Market risk (continued)

19.3.2 Interest rate risk (continued)

2021	*Less than 1 year* *KD '000*	*1 to 5 years* *KD '000*	*Over 5 years* *KD '000*	*Total* *KD '000*	*Effective interest rate / range*
Assets					
Cash and cash equivalents	61,043	-	-	61,043	0.88 % - 2 %
Treasury bills and bonds	52,429	12,750	5,000	70,179	1.875 % - 3.125 %
Deposits with banks and other financial institutions	183,888	-	-	183,888	0.875 % - 2.000 %
Loans and advances to customers	103,797	95,321	79,332	278,450	2.500 % - 5.500 %
Total assets	401,157	108,071	84,332	593,560	
Liabilities					
Deposits from banks and financial institutions	36,363	-	-	36,363	0.625 % - 1.700 %
Deposits from customers	48,259	-	-	48,259	0.000 % - 1.375 %
Term loans	21,175	25,417	-	46,592	0.674 % – 1.554 %
Loan from the State of Kuwait	-	-	300,000	300,000	0.500 % - 1.500 %
Total liabilities	105,797	25,417	300,000	431,214	
Net gap	295,360	82,654	(215,668)	162,346	
Cumulative interest rate sensitivity gap	295,360	378,014	162,346		

The effect on the consolidated statement of profit or loss and other comprehensive income as a result of an assumed change of +5% in the effective interest rate with all other variables held constant, is KD 848 thousand (2021: KD 812 thousand)



Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

19. FINANCIAL RISK MANAGEMENT (continued)

19.3 Market risk (continued)

19.3.3 Equity price risk

Equity price risk is the risk that the fair values of equities may fluctuate as a result of changes in the levels of equity indices and the value of individual stocks.

The effect on the consolidated statement of profit or loss and other comprehensive income as a result of a change in the fair value of equity instruments held at fair value through profit or loss due to an assumed 10% increase in equity indices, with all other variables held constant, is as follows:

	2022	2021
	KD '000	*KD '000*
Increase in the stock market index (Kuwait stock exchange):		
Effect on investment portfolios on +10% change in index	2,139+	1,504+

The Group's other significant investments are held in well diversified portfolio of funds which invest in a variety of securities and underlying assets whose performance cannot necessarily be measured in relation to movement in any specific equity indexes.

19.3.4 OPERATIONAL RISK

Operational risk is the risk of loss arising from systems failure, human error, fraud or external events. When controls fail to perform, operational risks can cause damage to reputation, have legal or regulatory implications, or lead to financial loss. The Bank cannot expect to eliminate all operational risks, but through a control framework and by monitoring and responding to potential risks, the Bank is able to manage the risks. Controls include effective segregation of duties, access, authorisation and reconciliation procedures, staff training and assessment processes, including the role of internal audit.

20. FAIR VALUE MEASUREMENT

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. Financial instruments comprise financial assets and financial liabilities.

The following shows an analysis of financial assets at fair value through profit or loss by levels of fair value hierarchy:

Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

20. FAIR VALUE MEASUREMENT (continued)

2022	*Level 1 KD'000*	*Level 3 KD'000*	*Total KD'000*
Investments at fair value through profit or loss			
Quoted equities	15,279	-	15,279
Unquoted equities	-	1,183	1,183
Funds	-	120,929	120,929
Total	15,279	122,112	137,391

2021	*Level 1 KD'000*	*Level 3 KD'000*	*Total KD'000*
Investments at fair value through profit or loss			
Quoted equities	13,075	-	13,075
Unquoted equities	-	1,148	1,148
Funds	-	118,118	118,118
Total	13,075	119,266	132,341

The fair value of the financial assets and financial liabilities set out above are subjective in nature and are significantly affected by the assumptions made and the discount rates used.

31 December 2022

	At 1 January 2022	*Additions / (redemptions)*	*Change in fair value*	*At 31 December 2022*
	KD '000	*KD '000*	*KD '000*	*KD '000*
Investments at fair value through profit or loss				
Funds	118,118	8,686	(5,875)	120,929
Unquoted equities	1,148	-	35	1,183
	119,266	8,686	(5,840)	122,112

31 December 2021

	At 1 January 2022	*Additions / (redemptions)*	*Change in fair value*	*At 31 December 2022*
	KD '000	*KD '000*	*KD '000*	*KD '000*
Investments at fair value through profit or loss				
Funds	99,596	13,609	4,913	118,118
Unquoted equities	1,253	(46)	(59)	1,148
	100,849	13,563	4,854	119,266



Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

20. FAIR VALUE MEASUREMENT (continued)

For the assets classified under Level 3, the fair value is estimated using appropriate valuation techniques such as recent arm's length market transactions, reference to current fair value of similar assets and other valuation techniques. Significant unobservable inputs used by the management in these valuation techniques represent the discount for lack of marketability ranging from 5% to 15% (2021: 5% to 15%) which is derived based on tenor, nature underlying assets, geographic location pertaining to these investments.

The Group has also performed a sensitivity analysis by varying the key inputs used in the valuation techniques by 5% which did not result in a material impact on the consolidated financial statements.

Fair values of remaining assets and liabilities carried at amortised cost are not materially different from their fair values as at the reporting date, given most of these are of short-term maturities or are repriced immediately based on market movement in interest rates.

21. CAPITAL MANAGEMENT

The primary objectives of the Group's capital management policy are to ensure that Group complies with regulatory requirements and that the Group maintains a strong credit ratings and healthy capital ratios in order to support its business and maximize shareholder value. Capital adequacy ratio, financial leverage ratio and the use of various levels of regulatory capital are governed by guidelines of Basel Committee on Banking Supervision as adopted by Central Bank of Kuwait.

The Group's regulatory capital and capital adequacy ratio calculated under Basel III in accordance with Central Bank of Kuwait circular number 2/RB, RBA/ 336/2014 dated 24 June 2014, are as shown below;

	2022 *KD'000*	2021 *KD'000*
Risk weighted assets	609,522	581,381
Total minimum capital required	79,238	75,580
Common Equity Tier 1 (CET1) Capital	304,758	275,393
Tier 2 Capital	7,328	7,016
	312,086	282,409
CET 1 capital adequacy ratio	50.00%	47.37%
Total capital adequacy ratio	51.20%	48.58%

The Group's financial leverage ratio as at 31 December, is calculated in accordance with the Central Bank of Kuwait circular number 2/BS/342/2014 dated 21 October 2014 and is shown below:

Industrial Bank of Kuwait K.S.C. (closed) and its subsidiaries

Notes to the consolidated financial statements as at 31 December 2022

21. CAPITAL MANAGEMENT (continued)

	2022	2021
	KD'000	*KD'000*
Tier 1 Capital	**304,758**	275,393
Total exposure	**836,358**	802,446
Leverage ratio	**36.44%**	34.32%

22. DERIVATIVE FINANCIAL INSTRUMENTS

In the ordinary course of business, the Group enters into various types of transactions that involve derivative financial instruments such as cross currency swaps to mitigate foreign currency risk. A derivative financial instrument is a financial contract between two parties where payments are dependent upon movements in price of one or more underlying financial instruments, reference rate or index.

Cross currency swaps

Cross currency swaps are based on agreement between two parties to buy a specified currency at an agreed price on a specified date .

The notional amount, disclosed gross, is the amount of a derivative's underlying asset and is the basis upon which changes in the value of derivatives are measured. The notional amounts indicate the volume of transactions outstanding at the year-end and are neither indicative of the market risk nor credit risk.

Types of derivative contracts

The table below shows the fair value of derivative financial instruments, together with their notional amounts analysed by the terms of maturity:

			Notional amount		
31 December 2022	***Positive fair value KD 000's***	***Negative fair value KD 000's***	***Within 1 year KD 000's***	***Over 1 year KD 000's***	***Total KD 000's***
Derivatives held for trading:					
Foreign exchange contracts	**8**	**-**	**9,452**	**-**	**9,452**
	8	**-**	**9,452**	**-**	**9,452**

			Notional amount		
31 December 2021	*Positive fair value KD 000's*	*Negative fair value KD 000's*	*Within 1 year KD 000's*	*Over 1 year KD 000's*	*Total KD 000's*
Derivatives held for trading:					
Foreign exchange contracts	–	(13)	11,664	–	11,664
	–	(13)	11,664	–	11,664

The Group's derivative financial instruments are classified under level 2 hierarchy of the fair value measurement.



BANK DIRECTORY

Job title	Department	Name	Phone
Chairman		Mr. Musab S. Al-Nisf	22337603 22337602
Chief Executive Officer		Mr. Ali A. Khajah	22337611
Deputy of Chief Executive Officer	Commercial Banking & Investment	Mr. Jawad H. Al-Qallaf	22337888
Deputy of Chief Executive Officer	Development Finance	Mrs. Iman N. Al-Salamah	22337408
Manager	Research Department	Mrs. Afaf H. Al-Adwani	22337300
Manager	Human Resources & Administration Department	_____	22337901
Manager	Projects Finance Relationship Management Department	Mr. Yousef F. Bouresly	22337414
Manager	Projects Finance Assessment Department	Mrs. Bashaer H. Al-Boloshi	22337102
Manager	Commercial Credit Assessment Department	Mr. Mohammad A. Al-Sayegh	22337750
Manager	Direct Investment & Promotion Department	Mr. Jamal B. Al-Rumaih	22337800
Manager	Commercial Banking Relationship Management Department	Mr. Abdulaziz M. Qabazard	22337557
Manager	Anti-Money Laundry Department	Mr. Abdulaziz J. Al-Naqi	22337505
Board Secretary	Board of Directors	Mr. Khaled M. Al-Hamoud	22337577
Manager	Treasury Department	Mr. Nawaf Y. Al-Munaifi	22337070
Manager	Operations Department	Mrs. Showqiya M. Towfiqi	22337003
Acting Manager	Information Technology Department	Mr. Muhaini Y. Al-Muhaini	22337636
Manager	Credit Administration Department	Mrs. Haya A. Al-Ghunaim	22337504
Legal Advisor	Legal Department	Mr. Ashraf M. Sallam	22337203
Manager	Accounts Department	Mr. Jaber J. Morad	22337355
CRO	Risk Management Department	Mr. Bhaskar M. Majumdar	22337420
Manager	Internal Audit Department	Mr. Abdullkarim M. Ibrahim	22337345
Manager	Industrial Financial Islamic Portfolio	Mrs. Bashaer H. Al-Boloshi	22337102
Manager	Agricultural Financing Portfolio	Mr. Osamah M. Al-Othman	22337700
Manager	Al-Senai Portfolio for Small Enterprises	Mrs. Afaf H. Al-Adwani	22337300
Manager	Strategic Planning and Monitoring Unit	Mr. Fuad A. Al-Bahrani	22337109
Manager	Disclosure Unit	Mrs. Farah A. Al-Haroon	22337590
Head	Compliance Unit	Mr. Essa J. Al-Amer	22337064
Head	Financial Planning & Control Unit	Mr. Emad J. Salman	22337078
Head	Information Security Unit	Mr. Mohamed Rushdhi Mohamed	22337765



P. O. Box: 3146 Safat 13032, Kuwait

Telephone: (+965) 22337000 - 1844446

Fax: (+965) 22462057 - Telex: 22469 - 22582

Website: www.ibkuwt.com

Email: ibk@ibkuwt.com